

FINANCIAL STATEMENTS (SUMMARY)

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Consolidated Financial Statements (Summary)

Balance Sheet

	AED '000		USD '000	
	December-20	December-19	December-20	December-19
ASSETS				
Cash and balances with central banks	227,872,592	169,702,008	62,039,911	46,202,561
Investments at fair value through profit or loss	21,266,243	20,099,181	5,789,884	5,472,143
Due from banks and financial institutions	27,357,639	17,026,502	7,448,309	4,635,585
Reverse repurchase agreements	44,069,241	24,678,375	11,998,160	6,718,861
Derivative financial instruments (assets)	32,558,881	15,917,321	8,864,384	4,333,602
Loans and advances	386,643,996	407,903,028	105,266,538	111,054,459
Non-trading investments	131,573,762	114,644,422	35,821,879	31,212,747
Investment properties	7,603,230	7,956,854	2,070,033	2,166,309
Property and Equipment	4,867,126	4,618,986	1,325,109	1,257,551
Intangibles	19,296,864	19,498,087	5,253,706	5,308,491
Other assets	15,950,958	19,923,251	4,342,760	5,424,245
Total assets	**919,060,532**	**821,968,015**	**250,220,673**	**223,786,555**
LIABILITIES				
Due to banks and financial institutions	57,632,476	36,007,875	15,690,846	9,803,396
Repurchase agreements	56,005,314	38,821,848	15,247,839	10,569,520
Commercial paper	31,174,128	21,236,955	8,487,375	5,781,910
Derivative financial instruments (liabilities)	38,832,004	19,228,541	10,572,285	5,235,105
Customer accounts and other deposits	540,882,472	519,161,857	147,259,045	141,345,455
Term borrowings	62,437,103	55,751,819	16,998,939	15,178,823
Subordinated notes	470,805	381,305	128,180	103,813
Other liabilities	22,587,238	23,340,779	6,149,534	6,354,691
Total liabilities	**810,021,540**	**713,930,979**	**220,534,043**	**194,372,714**
EQUITY				
Share capital	10,920,000	10,920,000	2,973,047	2,973,047
Share premium	53,538,584	53,434,461	14,576,255	14,547,907
Treasury shares	(8,980)	(18,864)	(2,445)	(5,136)
Statutory and special reserves	10,920,000	10,920,000	2,973,047	2,973,047
Other reserves	2,882,421	2,474,032	784,759	673,573
Tier 1 capital notes	10,754,750	10,754,750	2,928,056	2,928,056
Share based payment	249,816	249,816	68,014	68,014
Retained earnings	19,418,076	18,872,367	5,286,707	5,138,134
Total equity attributable to shareholders of the Bank	**108,674,667**	**107,606,562**	**29,587,440**	**29,296,641**
Non-controlling Interest	364,325	430,474	99,190	117,200
Total Equity	**109,038,992**	**108,037,036**	**29,686,630**	**29,413,840**
Total liabilities and equity	**919,060,532**	**821,968,015**	**250,220,673**	**223,786,554**

Exchange rate 1 USD = 3.673 AED

Income Statement

	AED '000		USD '000	
	FY'20	FY'19	FY'20	FY'19
Interest Income	20,100,205	24,368,947	5,472,422	6,634,617
Interest Expense	(7,843,726)	(11,594,145)	(2,135,509)	(3,156,587)
Net interest income	**12,256,479**	**12,774,802**	**3,336,912**	**3,478,029**
Net fee and commission income	2,903,141	3,169,429	790,400	862,899
Net foreign exchange gain	1,240,355	2,600,978	337,695	708,135
Net gain on investments and derivatives	951,027	1,506,277	258,924	410,094
Other operating income	1,222,909	197,571	332,946	53,790
Operating income	**18,573,911**	**20,249,057**	**5,056,877**	**5,512,948**
General, adminstration and other operating expense	(5,060,265)	(5,498,991)	(1,377,692)	(1,497,139)
Profit before net impairment charge and taxation	13,513,646	14,750,066	3,679,185	4,015,809
Net impairment charge	(2,619,940)	(1,842,980)	(713,297)	(501,764)
Profit before taxation	10,893,706	12,907,086	2,965,888	3,514,045
Overseas income tax expense	(341,198)	(314,463)	(92,894)	(85,615)
Profit for the year	**10,552,508**	**12,592,623**	**2,872,994**	**3,428,430**
Profit attributable to:				
Shareholders of the Bank	**10,555,229**	**12,520,203**	**2,873,735**	**3,408,713**
Non-controlling interests	(2,721)	72,420	(741)	19,717
Basic earnings per share (AED / USD)	0.93	1.10	0.25	0.30
Diluted earnings per share (AED / USD)	0.93	1.10	0.25	0.30

Exchange rate 1 USD = 3.673 AED

CONSOLIDATED **FINANCIAL STATEMENTS**

FOR THE YEAR ENDED 31 DECEMBER 2020

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Independent Auditors' Report

To the Shareholders of First Abu Dhabi Bank P.J.S.C.

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of First Abu Dhabi Bank P.J.S.C. (the "Bank") and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at 31 December 2020, the consolidated statements of profit or loss, comprehensive income, changes in equity, and cash flows for the year then ended, and notes comprising significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2020, and its consolidated financial performance, and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards ("IFRS").

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing ("ISAs"). Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with International Ethics Standards Board for Accountants International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code") together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the United Arab Emirates, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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Key audit matters (continued)

Description of key audit matters	**How the matter was addressed in our audit**
Impairment of loans and advances – *refer to notes 8 and 31 of the consolidated financial statements*	
The Group recognized allowances for credit losses on its consolidated financial statements using an expected credit loss model ("ECL"). The Group exercises significant judgments and makes a number of assumptions in developing its ECL models which is determined as a function of the assessment of the probability of default ("PD"), loss given default ("LGD"), adjusted for the forward looking information, and exposure at default ("EAD") associated with the underlying financial assets. Qualitative adjustments or overlays may also be recorded by the Group using credit judgement where the inputs, assumptions and / or modelling techniques do not capture all relevant risk factors. Furthermore COVID-19 pandemic has significantly impacted management's determination of ECL. The assumptions regarding the economic outlook are more uncertain which, combined with the government's response (as it pertains to deferral programs and government stimulus package), increases the level of judgement required by the Bank in calculating the ECL, and the associated audit risk. Given the inherent and significant auditor judgement required due to the use of complex models and effort in evaluating audit evidence related to the identification and calculation of qualitative adjustments and overlay adjustments to the ECL due to the impacts of current conditions and forecasts of future economic conditions, this is considered a key audit matter	Our audit procedures in this area include the following, among others: • Evaluating the appropriateness of the accounting policies adopted based on the requirements of IFRS 9, our business understanding and industry practice. • Performing procedures to understand the appropriateness of the ECL accounting estimate including, but not limited, to obtaining information about the entity's control environment in relation to the estimate, obtaining an understanding of the process by which the estimate is developed, understanding the methods, assumptions and data used to develop the accounting estimate, and evaluating any subsequent events that may impact the estimate. • Updating our understanding of the ECL end-to-end processes, including re-assessing the design, implementation, and operating effectiveness of selected relevant controls. • Involving our Financial Risk Management ("FRM") specialists to review the reasonableness and appropriateness of the methodology and assumptions used in various components of ECL modelling and governance over the application of expert credit judgment to determine the ECL. This included challenging key assumptions/judgments relating to significant increase in credit risk ("SICR"), definition of default, probability of default, recovery rates, use of macro-economic variables and probability weighted outcomes to check that the ECL amounts recorded are reflective of underlying credit quality and macroeconomic trends including the impact of COVID-19.

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Description of key audit matters	**How the matter was addressed in our audit**
Impairment of loans and advances – *refer to notes 8 and 31 of the consolidated financial statements (continued)*	
	• Testing the completeness and accuracy of the data used within the ECL calculation. • Involving our Information Technology ("IT") specialists to test the relevant general IT and application controls over key systems used in the ECL process. • Re-performing key aspects of the Group's SICR determinations and selecting samples of loans and advances to determine whether a SICR event was appropriately identified including assessing the additional judgements made for the borrowers who have been granted payment deferrals. • Evaluating the reasonableness of and testing a sample of post model adjustments and management overlays particularly in light of the volatility caused by the current COVID-19 pandemic, as applicable. • Involving our valuation specialist on a sample basis to assess the reasonableness of the valuation of real estate collaterals held by the Group, relating to the determination of ECL, including the impact of the COVID-19 pandemic, as applicable. • Performing credit assessments for a sample of selected customers, including Stage 3 customers, to test the appropriateness of the credit grades at a given point in time, assessing the financial performance of the borrower, source of repayment and future cash flows of the borrower. • Assessing the adequacy of the Group's disclosures by reference to the requirements of the relevant accounting standards and Central Bank of the UAE regulations.

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Other information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the consolidated financial statements and our auditors' report thereon ('the Annual report'). The Annual report is expected to be made available to us after the date of this auditors' report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take appropriate actions in accordance with ISAs.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS and their preparation in compliance with the applicable provisions of the UAE Federal Law No. (2) of 2015, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those Charged with Governance are responsible for overseeing the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists.

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Auditors' Responsibilities for the Audit of the Consolidated Financial Statements (continued)

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

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Auditors' Responsibilities for the Audit of the Consolidated Financial Statements (continued)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Further, as required by the UAE Federal Law No. (2) of 2015, we report that for the year ended 31 December 2020:

i) we have obtained all the information we considered necessary for the purposes of our audit;

ii) the consolidated financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Law No. (2) of 2015;

iii) the Group has maintained proper books of account;

iv) the financial information included in the Chairman's statement is consistent with the books of account of the Group;

v) as disclosed in notes 5 and 9 to the consolidated financial statements, the Group has purchased or invested in shares during the financial year ended 31 December 2020;

vi) note 39 to the consolidated financial statements discloses material related party transactions and the terms under which they were conducted;

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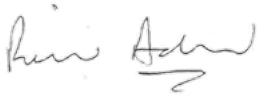
Report on Other Legal and Regulatory Requirements (continued)

vii) based on the information that has been made available to us, nothing has come to our attention which causes us to believe that the Group has contravened during the financial year ended 31 December 2020 any of the applicable provisions of the UAE Federal Law No.(2) of 2015 or in respect of the Bank, its Articles of Association, which would materially affect its activities or its consolidated financial position as at 31 December 2020; and

viii) note 30 to the consolidated financial statements discloses the social contributions made during the year.

Further, as required by Article (114) of the Decretal Federal Law No. (14) of 2018, we report that we have obtained all the information and explanations we considered necessary for the purposes of our audit.

KPMG Lower Gulf Limited



Richard Ackland
Registration No.: 1015
Abu Dhabi, United Arab Emirates

Date: 26 January 2021

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Consolidated statement of financial position

As at 31 December

Assets	Note	2020 AED'000	2019 AED'000
Cash and balances with central banks	4	**227,872,592**	169,702,008
Investments at fair value through profit or loss	5	**21,266,243**	20,099,181
Due from banks and financial institutions	6	**27,357,639**	17,026,502
Reverse repurchase agreements	7	**44,069,241**	24,678,375
Derivative financial instruments	36	**32,558,881**	15,917,321
Loans and advances	8	**386,643,996**	407,903,028
Non-trading investments	9	**131,573,762**	114,644,422
Investment properties	10	**7,603,230**	7,956,854
Property and equipment	11	**4,867,126**	4,618,986
Intangibles	12	**19,296,864**	19,498,087
Other assets	13	**15,950,958**	19,923,251
Total assets		**919,060,532**	821,968,015
Liabilities			
Due to banks and financial institutions	14	**57,632,476**	36,007,875
Repurchase agreements	15	**56,005,314**	38,821,848
Commercial paper	16	**31,174,128**	21,236,955
Derivative financial instruments	36	**38,832,004**	19,228,541
Customer accounts and other deposits	17	**540,882,472**	519,161,857
Term borrowings	18	**62,437,103**	55,751,819
Subordinated notes	19	**470,805**	381,305
Other liabilities	20	**22,587,238**	23,340,779
Total liabilities		**810,021,540**	713,930,979
Equity			
Share capital	21	**10,920,000**	10,920,000
Share premium		**53,538,584**	53,434,461
Treasury shares		**(8,980)**	(18,864)
Statutory and special reserves		**10,920,000**	10,920,000
Other reserves	21	**2,882,421**	2,474,032
Tier 1 capital notes	22	**10,754,750**	10,754,750
Share based payment	23	**249,816**	249,816
Retained earnings		**19,418,076**	18,872,367
Total equity attributable to shareholders of the Bank		**108,674,667**	107,606,562
Non-controlling interest		**364,325**	430,474
Total Equity		**109,038,992**	108,037,036
Total liabilities and equity		**919,060,532**	821,968,015

To the best of our knowledge, the financial statements present fairly in all material respects the financial condition, financial performance and cash flows of the Group as of, and for, the periods presented therein.

These consolidated financial statements were approved by the Board of Directors and authorized for issue on 26 January 2021 and signed on its behalf:

Chairman | Group Chief Executive Officer | Group Chief Financial Officer

The notes 1 to 46 are an integral part of these consolidated financial statements.
The independent auditor's report on audit of consolidated financial statements is set out on pages 2 to 8.

Consolidated statement of profit or loss

For the year ended 31 December

	Note	2020 AED'000	2019 AED'000
Interest income	*24*	**20,100,205**	24,368,947
Interest expense	*25*	**(7,843,726)**	(11,594,145)
Net interest income		**12,256,479**	12,774,802
Fee and commission income	*26*	**4,345,534**	4,730,688
Fee and commission expense	*26*	**(1,442,393)**	(1,561,259)
Net fee and commission income		**2,903,141**	3,169,429
Net foreign exchange gain	*27*	**1,240,355**	2,600,978
Net gain on investments and derivatives	*28*	**951,027**	1,506,277
Other operating income	*29*	**1,222,909**	197,571
Operating income		**18,573,911**	20,249,057
General, administration and other operating expense	*30*	**(5,060,265)**	(5,498,991)
Profit before net impairment charge and taxation		**13,513,646**	14,750,066
Net impairment charge	*31*	**(2,619,940)**	(1,842,980)
Profit before taxation		**10,893,706**	12,907,086
Overseas income tax expense	*32*	**(341,198)**	(314,463)
Profit for the year		**10,552,508**	12,592,623
Profit attributable to:			
Shareholders of the Bank		**10,555,229**	12,520,203
Non-controlling interests		**(2,721)**	72,420
		10,552,508	12,592,623
Basic earnings per share (AED)	*38*	**0.93**	1.10
Diluted earnings per share (AED)	*38*	**0.93**	1.10

The notes 1 to 46 are an integral part of these consolidated financial statements.
The independent auditor's report on audit of consolidated financial statements is set out on pages 2 to 8.

Consolidated statement of comprehensive income

For the year ended 31 December

	2020 AED'000	2019 AED'000
Profit for the year	**10,552,508**	12,592,623
Other comprehensive income		
Items that are or may be reclassified subsequently to profit or loss		
Exchange difference on translation of foreign operations	**3,008**	(47,394)
Net change in fair value reserve during the year (including ECL)	**(110,984)**	1,941,181
Items that will not be reclassified to profit or loss		
Net change in fair value of investments in equity instruments designated at fair value through other comprehensive income	**(74,286)**	27,308
Re-measurement of defined benefit obligations	**(18,825)**	(17,295)
Board of Directors' remuneration	**(48,000)**	(54,750)
Other comprehensive income for the year	**(249,087)**	1,849,050
Total comprehensive income for the year	**10,303,421**	14,441,673
Comprehensive income attributable to:		
Shareholders of the Bank	**10,279,940**	14,372,921
Non-controlling interest	**23,481**	68,752
Total comprehensive income for the year	**10,303,421**	14,441,673

The notes 1 to 46 are an integral part of these consolidated financial statements.
The independent auditor's report on audit of consolidated financial statements is set out on pages 2 to 8.

Consolidated statement of changes in equity

For the year ended 31 December

	Share capital AED'000	Share premium AED'000	Treasury shares AED'000	Statutory and special reserves AED'000	Other reserves AED'000	Tier 1 capital notes AED'000	Share based payment AED'000	Retained earnings AED'000	Equity attributable to share-holders of the Group AED'000	Non-controlling interest AED'000	Total AED'000
Balance at 1 January 2020	**10,920,000**	**53,434,461**	**(18,864)**	**10,920,000**	**2,474,032**	**10,754,750**	**249,816**	**18,872,367**	**107,606,562**	**430,474**	**108,037,036**
Movements during the year	-	-	-	-	**(280,601)**	-	-	**(551,735)**	**(832,336)**	-	**(832,336)**
Profit for the year	-	-	-	-	-	-	-	**10,555,229**	**10,555,229**	**(2,721)**	**10,552,508**
Other comprehensive income for the year	-	-	-	-	**(208,464)**	-	-	**(66,825)**	**(275,289)**	**26,202**	**(249,087)**
Transactions with owners of the Group											
Zakat	-	-	-	-	-	-	-	**(306)**	**(306)**	-	**(306)**
Treasury shares movement *(note 23)*	-	**104,123**	**9,884**	-	-	-	-	-	**114,007**	-	**114,007**
Dividend for the year (net of treasury shares)	-	-	-	-	-	-	-	**(8,066,947)**	**(8,066,947)**	**(89,630)**	**(8,156,577)**
Issuance of Tier 1 capital *(note 22)*	-	-	-	-	-	**2,754,750**	-	-	**2,754,750**	-	**2,754,750**
Payment on Tier 1 capital notes *(note 22)*	-	-	-	-	-	**(2,754,750)**	-	**(426,253)**	**(3,181,003)**	-	**(3,181,003)**
IFRS 9 reserve movement	-	-	-	-	**905,088**	-	-	**(905,088)**	-	-	-
Realised gain on sale of FVOCI investment	-	-	-	-	**(7,634)**	-	-	**7,634**	-	-	-
Balance at 31 December 2020	**10,920,000**	**53,538,584**	**(8,980)**	**10,920,000**	**2,882,421**	**10,754,750**	**249,816**	**19,418,076**	**108,674,667**	**364,325**	**109,038,992**
Balance at 1 January 2019	10,897,545	53,188,043	(25,530)	9,483,238	(37,477)	10,754,750	266,841	17,083,868	101,611,278	361,722	101,973,000
Profit for the year	-	-	-	-	-	-	-	12,520,203	12,520,203	72,420	12,592,623
Other comprehensive income for the year	-	-	-	-	1,924,762	-	-	(72,045)	1,852,717	(3,668)	1,849,049
Transactions with owners of the Group											
Zakat	-	-	-	-	-	-	-	(1,277)	(1,277)	-	(1,277)
Treasury shares movement *(note 23)*	-	246,418	29,121	-	-	-	-	-	275,539	-	275,539
Dividend for the year (net of treasury shares)	-	-	-	-	-	-	-	(8,063,018)	(8,063,018)	-	(8,063,018)
Options granted to staff	-	-	-	-	-	-	(17,025)	-	(17,025)	-	(17,025)
Payment on Tier 1 capital notes *(note 22)*	-	-	-	-	-	-	-	(571,855)	(571,855)	-	(571,855)
Transfer during the year	-	-	-	1,436,762	-	-	-	(1,436,762)	-	-	-
IFRS 9 reserve movement	-	-	-	-	595,921	-	-	(595,921)	-	-	-
Realised gain on sale of FVOCI investment	-	-	-	-	(9,174)	-	-	9,174	-	-	-
Issuance of share capital	22,455	-	(22,455)	-	-	-	-	-	-	-	-
Balance at 31 December 2019	10,920,000	53,434,461	(18,864)	10,920,000	2,474,032	10,754,750	249,816	18,872,367	107,606,562	430,474	108,037,036

The notes 1 to 46 are an integral part of these consolidated financial statements.
The independent auditor's report on audit of consolidated financial statements is set out on pages 2 to 8.

Consolidated statement of cash flows

For the year ended 31 December

	Note	2020 AED'000	2019 AED'000
Cash flows from operating activities			
Profit before taxation		**10,893,706**	12,907,086
Adjustments for:			
Depreciation and amortization	*11,12*	**768,584**	652,936
Loss on revaluation of investment properties	*10*	**248,485**	6,699
Gain on sale of investment property		**(457,071)**	(136)
Gain on sale of fixed assets		**(737,371)**	(28,897)
Net impairment charges	*31*	**2,861,675**	2,187,815
Accreted interest		**699,253**	1,425,680
Foreign currency translation adjustment		**723,971**	(22,997)
		15,001,232	17,128,186
Changes in:			
Investments at fair value through profit or loss		**(1,167,062)**	(5,478,271)
Due from central banks, banks and financial institutions		**19,334,009**	(8,870,320)
Reverse repurchase agreements		**(19,409,967)**	(5,629,982)
Loans and advances		**18,530,367**	(56,983,821)
Other assets		**3,944,696**	681,475
Due to banks and financial institutions		**21,624,601**	(4,258,660)
Repurchase agreements		**17,183,466**	4,052,163
Customer accounts and other deposits		**21,720,850**	53,925,873
Derivative financial instruments		**3,602,005**	2,884,178
Other liabilities		**(1,146,246)**	(2,948,403)
		99,217,951	(5,497,582)
Overseas income tax paid, net of recoveries		**(243,760)**	(314,136)
Directors' remuneration paid		**(54,750)**	(54,750)
Net cash from / (used in) operating activities		**98,919,441**	(5,866,468)
Cash flows from investing activities			
Net purchase of non-trading investments		**(17,111,196)**	(22,427,994)
Purchase of investment property		**(952,811)**	(489,805)
Sale proceeds from disposal of investment property		**1,034,421**	8,865
Purchase of property and equipment, net of disposals		**(343,502)**	(869,740)
Net cash used in investing activities		**(17,373,088)**	(23,778,674)
Cash flows from financing activities			
Proceeds from issue of shares under share based payment		**36,972**	258,514
Dividend paid to shareholders of the bank	*21*	**(7,891,730)**	(7,843,642)
Dividend paid to minority shareholders		**(89,630)**	-
Net movement of commercial paper		**9,937,173**	3,092,850
Issue of term borrowings	*18*	**16,692,127**	23,906,212
Repayment of term borrowings	*18*	**(11,960,709)**	(13,529,379)
Payment on Tier 1 capital notes	*22*	**(3,181,003)**	(571,855)
Issuance of Tier 1 capital notes	*22*	**2,754,750**	-
Net cash from financing activities		**6,297,950**	5,312,700
Net increase / (decrease) in cash and cash equivalents		**87,844,303**	(24,332,442)
Cash and cash equivalents at 1 January		**151,344,934**	175,677,376
Cash and cash equivalents at 31 December	*33*	**239,189,237**	151,344,934

The notes 1 to 46 are an integral part of these consolidated financial statements.
The independent auditor's report on audit of consolidated financial statements is set out on pages 2 to 8.

Notes to the consolidated financial statements

1 Legal status and principal activities

On 7 December 2016, Shareholders of National Bank of Abu Dhabi PJSC ("NBAD") and First Gulf Bank PJSC ("FGB") approved the merger of the two banks pursuant to Article 283(1) of UAE Federal Law No. 2 of 2015 Concerning Commercial Companies (the Law). The merger was effected through the issuance of 1.254 new NBAD shares for every 1 share in FGB on close of business 30 March 2017, subsequent to which FGB shares were delisted from Abu Dhabi Securities Exchange. On 25 April 2017, NBAD shareholders approved the proposal to change the name of the combined bank to 'First Abu Dhabi Bank' (the "Bank") and have its registered office in FAB Building, Khalifa Business Park 1 Al Qurum P. O. Box 6316 Abu Dhabi, United Arab Emirates.

These consolidated financial statements as at and for the year ended 31 December 2020 comprises the Bank and its subsidiaries (together referred to as the "Group"). The Group is primarily engaged in corporate, retail, private and investment banking activities, management services, Islamic banking activities, real estate activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in the United Arab Emirates, Bahrain, Brazil, Cayman Islands, China, Egypt, France, Hong Kong, India, Indonesia, Jordan[1], Kingdom of Saudi Arabia, Kuwait, Lebanon, Libya, Oman, Qatar[2], Singapore, South Korea, Sudan[3], Switzerland, the United Kingdom and the United States of America.

The Group's Islamic banking activities are conducted in accordance with Islamic Sharia'a laws issued by the Internal Shariah Supervision Committee ("ISSC").

The Group is listed on the Abu Dhabi Securities Exchange (Ticker: FAB).

The consolidated financial statements of the Group as at and for the year ended 31 December 2020 are available upon request from the Group's registered office or at http://www.bankfab.com

[1] Under closure.
[2]The Bank has notified the Qatar Financial Centre Regulatory Authority ("QFCRA") that it will relinquish its Qatar Financial Centre ("QFC") branch license and permanently close its QFC branch.
[3] Under sale.

2 Basis of Preparation

(a) Statement of Compliance

These consolidated financial statements have been prepared on going concern basis in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board ("IASB") and the requirements of applicable laws in the UAE.

On 1 April 2015, UAE Federal Law No 2 for Commercial Companies ("UAE Companies Law of 2015") was issued with effective date 1 July 2015. The Bank is in compliance with applicable sections of the UAE Companies Law of 2015 as at the date of these financial statements.

On 23 September 2018, a new Decretal Federal Law No 14 of 2018 regarding the Central Bank and Organization of Financial Institutions and Activities was issued. As per the transitional provisions of the new law, financial institutions are to ensure compliance within 3 years from the date of issuance of the decretal law. The Bank is in the process of adopting the new decretal federal law and will be fully compliant before the transitional provisions deadline.

These consolidated financial statements were authorised for issue by the Board of Directors on 26 January 2021.

(b) Business combinations

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. Acquisition-related costs are expensed as incurred and included in general, administration and other operating expenses, except if related to the issue of debt or equity securities.

2 Basis of Preparation *(continued)*

(b) Business combinations *(continued)*

In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, any previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss. It is then considered in the determination of goodwill.

Any contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred or in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units ("CGU") that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained.

(c) Basis of measurement

These consolidated financial statements are prepared under the historical cost basis except for the following material items, which are measured on the following basis:

- investments at fair value through profit or loss are measured at fair value;
- derivative financial instruments are measured at fair value;
- debt and equity instruments designated at fair value through other comprehensive income are measured at fair value;
- investment properties are measured at fair value;
- recognised assets and liabilities designated as hedged items in qualifying hedge relationships are adjusted for changes in fair value attributable to the risk being hedged; and
- non-financial assets acquired in settlement of loans and advances are measured at the lower of their fair value less costs to sell and the carrying amount of the loan and advances.

2 Basis of Preparation *(continued)*

(d) Functional and presentation currency

These consolidated financial statements are presented in United Arab Emirates Dirhams ("AED"), which is the Group's functional currency. All amounts have been rounded to the nearest thousand, unless otherwise indicated. Items included in the financial statements of each of the Bank's overseas subsidiaries and branches are measured using the currency of the primary economic environment in which they operate.

(e) Use of estimates and judgements

The preparation of consolidated financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in these consolidated financial statements are described in note 42.

3 Significant accounting policies

(a) New and Amended standards and interpretations adopted

The following amendments to existing standards and framework have been applied by the Group in preparation of these interim condensed consolidated financial statements. The adoption of the below did not result in changes to previously reported net profit or equity of the Group.

Description	Effective from
Definition of Material – Amendment to IAS 1 and IAS 8	1 January 2020
Definition of a Business – Amendment to IFRS 3	1 January 2020
Amendment to References to Conceptual Framework in IFRS Standards	1 January 2020
Interest Rate Benchmark Reform - Amendments to IFRS 9, IAS 39 and IFRS 7	1 January 2020
Amendment to IFRS 16 regarding COVID -19 related concession	1 June 2020

Definition of a business:

The Group applied Definition of a Business (Amendments to IFRS 3) to business combinations whose dates of acquisition are on or after 1 January 2020 in assessing whether it had acquired a business or a group of assets. The amendments do not have a material effect on the Group's financial statements because the Group has not acquired any subsidiaries during the year. However, the Group has amended its accounting policies for acquisitions on or after 1 January 2020.

Interest Rate Benchmark Reform:

Interbank offered rates ("IBORs"), such as the London Interbank Offered Rate ("LIBOR"), plays a critical role in global financial markets, serving as reference rates for derivatives, loans and securities, and as parameters in the valuation of financial instruments.

Uncertainty surrounding the integrity of IBOR rates has in recent years, led regulators, central banks and market participants to work towards a transition to alternative risk-free benchmark reference rates ("RFRs") and market-led working groups in respective jurisdictions have recommended alternative risk-free reference rates, which are gradually being adopted. Progress in the transition to these new benchmarks has resulted in significant uncertainty in the future of IBOR benchmarks beyond 1 January 2022.

3 Significant accounting policies *(continued)*

(a) New and Amended standards and interpretations adopted *(continued)*

Interest Rate Benchmark Reform *(continued)*:

The majority of LIBOR and other Interbank Offer Rates ("IBORs") are expected to be discontinued after 31 December 2021 and replaced with certain Alternative Reference Rates ("ARRs"), with the exception of certain USD LIBOR rates were cessation may be delayed until 30 June 2023. The transition away from the IBORs covers most of the business units and support functions of the Group.

FAB initiated its IBOR transition project in 2019. The Group has maintained its momentum in tracking its exposure to IBORs, preparing its IT systems to accommodate the incoming Risk-Free Rates, amending or preparing contractual templates and communicating its progress with both the Regulators and its clients.

IBOR reform exposes the Bank to various risks, which the project is managing and monitoring closely. These risks include but are not limited to the following:

- Conduct risk arising from discussions with clients and market counterparties due to the amendments required to existing contracts necessary to effect IBOR reform;
- Financial risk to the Bank and its clients that markets are disrupted due to IBOR reform giving rise to financial losses;
- Pricing risk from the potential lack of market information if liquidity in IBORs reduces and RFRs are illiquid and unobservable;
- Operational risk arising from changes to the Bank's IT systems and processes, also the risk of payments being disrupted if an IBOR ceases to be available; and
- Accounting risk if the Bank's hedging relationships fail and from unrepresentative income statement volatility as financial instruments transition to RFRs.

The project is sponsored by the Group CFO and is being led by senior representatives from functions across the Bank including the client facing teams, Legal, Finance, Operations and Technology. The project provides monthly progress updates to the Project sponsors. During 2020, the Bank has successfully achieved the readiness to transition significant portion of its IBOR exposure to RFRs and has in place detailed plans, processes and procedures to support the transition of the IBOR exposures prior to the Benchmark cessation. Following the progress made during 2020, the Bank is confident that it has the operational capability to process the large volume of transitions to RFRs that will be necessary during 2021 for those interest rate benchmarks such as GBP LIBOR that will cease to be available and so will be replaced by Sterling Overnight Index Average ("SONIA"). For other benchmark interest rates such as EURIBOR that have been reformed and can therefore continue, financial instruments referencing those rates will not need to transition.

Non-derivative financial assets and loan commitments

The alternative reference rate for sterling LIBOR is SONIA and for US dollar LIBOR is the Secured Overnight Financing Rate ("SOFR"). Changes to the contractual terms of financial assets indexed to sterling LIBOR and US dollar LIBOR to incorporate new benchmark rates are not yet complete as at 31 December 2020. Some of the investment securities held by the Group's UK and US operation are indexed to sterling LIBOR and US dollar LIBOR. Although sterling LIBOR and US dollar LIBOR were planned to be discontinued by the end of 2021, consultations and possible regulatory changes are in progress. This may mean that some LIBORs continue to be published beyond that date. In November 2020, the ICE Benchmark Administration ("IBA"), the FCA-regulated and authorised administrator of LIBOR, announced that it had started to consult on its intention to cease the publication of certain USD LIBORs after June 2023 and other LIBORs after December 2021. It is unclear whether GBP LIBOR or USD LIBOR will continue to be published after the end of 2021, therefore, the Group continues to communicate with counterparties to include a fallback clause or replace those LIBORs with SONIA or SOFR.

The Group has set up a methodical framework to monitor the progress of transition from IBORs to new benchmark rates by reviewing its exposure and contracts on a monthly basis. The Group considers that a contract is not yet transitioned to an alternative benchmark rate when interest under the contract is indexed to a benchmark rate that is still subject to IBOR reform, even if it includes a fallback clause that deals with the cessation of the existing IBOR (referred to as an 'unreformed contract').

3 Significant accounting policies *(continued)*

(a) New and Amended standards and interpretations adopted *(continued)*

Interest Rate Benchmark Reform *(continued)*:

Non-derivative financial assets and loan commitments *(continued)*

The Group's cross-functional IBOR Committee is managing the transition to new benchmark rates (e.g. SONIA, SOFR) for affected financial liabilities. Through this Committee, the Group is actively engaging with counterparties to include appropriate fallback provisions in its floating-rate subordinated liabilities with maturities after 2021 when US dollar LIBOR and sterling LIBOR are expected to be replaced.

Derivatives and hedge accounting

The Group holds derivatives for trading and risk management purposes. Derivatives held for risk management purposes are designated in hedging relationships. The interest rate and cross-currency swaps have floating legs that are indexed to various IBORs. The Group's derivative instruments are governed by ISDA's 2006 definitions.

ISDA has reviewed its definitions in light of IBOR reform and issued an IBOR fallbacks supplement on 23 October 2020. This sets out how the amendments to new alternative benchmark rates (e.g. SOFR, SONIA) in the 2006 ISDA definitions will be accomplished. The effect of the supplement is to create fallback provisions in derivatives that describe what floating rates will apply on the permanent discontinuation of certain key IBORs or on ISDA declaring a non-representative determination of an IBOR. The Group has adhered to the protocol to implement the fallbacks to derivative contracts that were entered into before the effective date of the supplement. If derivative counterparties also adhere to the protocol, then new fallbacks will be automatically implemented in existing derivative contracts when the supplement becomes is effective on 25 January 2021. From that date, all new derivatives that reference the ISDA definitions will also include the fallbacks. Consequently, the Group is monitoring whether its counterparties will also adhere to the protocol and, if there are counterparties that will not, then the Group plans to negotiate with them bilaterally about inclusion of new fallback clauses.

Further, the Group evaluated the extent to which its fair value and cash flow hedging relationships are subject to uncertainty driven by IBOR reform as at the reporting date. The Group's hedged items and hedging instruments continue to be indexed to IBOR benchmark rates, which are mainly Sterling and US Dollar LIBOR. Theses IBOR benchmark rates are quoted each day and IBOR cash flows are exchanged with its counterparties as usual.

The Group's cash flow hedging relationships of sterling LIBOR and US dollar LIBOR risks extend beyond the anticipated cessation dates for both LIBORs. The Group expects that sterling LIBOR and US dollar LIBOR will be replaced by SONIA and SOFR, respectively, but there is uncertainty over the timing and amount of the replacement rate cash flows. Such uncertainty may impact the hedging relationship – e.g. its effectiveness assessment and highly probable assessment. For the purposes of these assessments, the Group assumes that the hedged benchmark interest rate, the cash flows of the hedged item and/or the hedging instrument will not be altered as a result of IBOR reform.

If a hedging relationship impacted by uncertainty about IBOR reform has not been highly effective throughout the financial reporting period, then the Group evaluates whether the hedge is expected to be highly effective prospectively and whether the effectiveness of the hedging relationship can be reliably measured. The hedging relationship will not be discontinued as long as it meets all criteria for hedge accounting, with the exception of the requirement that the hedge was actually highly effective.

Hedging relationships impacted by uncertainty about IBOR reform may experience ineffectiveness attributable to market participants' expectations of when the shift from the existing IBOR benchmark rate to an alternative benchmark interest rate will occur. This transition may occur at different times for the hedged item and the hedging instrument, which may lead to hedge ineffectiveness.

3 Significant accounting policies *(continued)*

(a) New and Amended standards and interpretations adopted *(continued)*

Interest Rate Benchmark Reform *(continued)*:

The Group's exposure to US dollar LIBOR designated in hedge accounting relationships at 31 December 2020 represents a nominal amount of AED 130,828 million. Exposure to EUR Euribor and GBP Libor represents a nominal amount of AED 8,750 million and AED 5,799 million respectively. The objective of the majority of these hedges and consistent with the overall interest rate risk management strategy of FAB is to reduce fluctuations of the fair value of bonds purchased by FAB or its own issuances which pay a fixed rate and also reduce fluctuations from foreign exchange risk if these are denominated in another currency that is not AED or USD.

When the uncertainty arising from IBOR reform no longer exists The Group will cease to apply the assumptions that the hedged benchmark interest rate, the cash flows of the hedged item and/or hedging instrument will not be altered as a result of IBOR reform when the uncertainty arising from IBOR reform is no longer present. In addition, the Group will amend the formal hedge documentation of that hedging relationship to reflect the changes required by IBOR reform by the end of the reporting period during which the changes occur. When a fallback provision inserted in a hedging instrument is triggered, the Group will also amend the description of the hedging instrument in the formal hedge documentation by the reporting date. These changes in the formal hedge documentation will not cause a discontinuation of the hedging relationship. The Group will also remeasure the cumulative changes in the hedged cash flows and the hedging instrument based on new alternative benchmark rates – i.e. SOFR or SONIA – when the uncertainty arising from IBOR reform is removed. For the purpose of remeasuring the cumulative changes in the hedged cash flows, the Group will amend the terms of the hypothetical derivative to reflect the changes required by IBOR reform in the hedged item.

The table below shows the group's balance sheet exposure by currency as at 31st December 2020. Floating-rate instruments linked to LIBOR reference rate and fixed-rate instruments maturing within the next 3 months, are considered as IBOR relevant for management reporting:

Currencies	Assets (AED'000)	Liabilities (AED'000)	Derivatives (Notional Amount) (AED'000)
USD	180,593,818	277,292,690	1,468,464,243
GBP	25,261,875	50,328,224	211,295,071
EUR	12,077,765	26,339,566	54,295,171
SGD	5,687,879	675,857	33,048,156
JPY	6,028,013	71,181	41,093,736
Others	2,170,660	4,536,566	38,467,731
Total	**231,820,010**	**359,244,084**	**1,846,664,108**

(b) Basis of consolidation

(i) Subsidiaries

IFRS 10 governs the basis for consolidation where it establishes a single control model that applies to all entities including special purpose entities or structured entities. The definition of control is such that an investor controls an investee when it is exposed to, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. To meet the definition of control in IFRS 10, all three criteria must be met, including:

(a) the investor has power over an investee;
(b) the investor has exposure to, or rights, to variable returns from its involvement with the investee; and
(c) the investor has the ability to use its power over the investee to affect the amount of the investor's returns.

Subsidiaries are entities that are controlled by the Group. The Group controls the investee if it meets the control criteria set out above. The Group reassesses whether it has control if, there are changes to one or more of the elements of control. This includes circumstances in which protective rights held become substantive and lead to the Group having power over an investee. The financial statements of subsidiaries are included in these consolidated financial statements from the date that control commences until the date that control ceases.

3 Significant accounting policies *(continued)*

(b) Basis of consolidation *(continued)*

(i) Subsidiaries *(continued)*

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Bank and to the non-controlling interests (NCI), even if this results in the NCI having a deficit balance.

The consolidated financial statements comprise the financial statements of the Group and those of its following subsidiaries:

Legal Name	Country of incorporation	Principal activities	Holding % 2020
First Abu Dhabi Bank USA N.V.	Curacao	Banking	100%
FAB Securities LLC	United Arab Emirates	Brokerage	100%
Abu Dhabi National Leasing LLC	United Arab Emirates	Leasing	100%
Abu Dhabi National Properties Pvt. JSC	United Arab Emirates	Property Management	100%
FAB Private Bank (Suisse) SA	Switzerland	Banking	100%
First Abu Dhabi Islamic Finance PJSC	United Arab Emirates	Islamic Finance	100%
Abu Dhabi Securities Brokerage Egypt[1]	Egypt	Brokerage	96%
National Bank of Abu Dhabi Malaysia Berhad[1]	Malaysia	Banking	100%
NBAD Employee Share Options Limited	United Arab Emirates	Shares and Securities	100%
SAS 10 Magellan[1]	France	Leasing	100%
National Bank of Abu Dhabi Representações Ltda	Brazil	Representative office	100%
FAB Global Markets (Cayman) Limited	Cayman Islands	Financial Institution	100%
Nawat Management Services - One Man Company LLC	United Arab Emirates	Services	100%
Mismak Properties Co. LLC (Mismak)	United Arab Emirates	Real estate investments	100%
Moora Properties Co. LLC (Subsidiary of Mismak)	United Arab Emirates	Real estate investments	67%
First Merchant International LLC (FMI)	United Arab Emirates	Real estate investments	100%
FAB Employment Services LLC (Subsidiary of FMI)	United Arab Emirates	Resourcing services	100%
FAB Resourcing Services LLC (Subsidiary of FMI)	United Arab Emirates	Resourcing services	100%
FAB Sukuk Company Limited	Cayman Islands	Special purpose vehicle	100%
First Gulf Libyan Bank[2]	Libya	Banking services	50%
FGB Global Markets Cayman Limited	Cayman Islands	Financial Institution	100%
FAB Properties LLC	United Arab Emirates	Management and brokerage of real estate properties	100%
Aseel Finance PJSC[1]	United Arab Emirates	Islamic finance	100%
Dubai First PJSC[1]	United Arab Emirates	Credit card finance	100%
First Gulf Information Technology LLC (FGIT)	United Arab Emirates	IT Services	100%
FAB Investment KSA (single Shareholder LLC)	Kingdom of Saudi Arabia	Financial Institution	100%
FAB Global Business Services Limited (Subsidiary of FGIT)	India	IT Services	100%

[1] Under liquidation.
[2] Although the Bank owns 50% of the outstanding shares of First Gulf Libyan Bank, the investment has been classified as a subsidiary as the Bank exercises control over the investee because it casts the majority of the votes on the board of directors.

3 Significant accounting policies *(continued)*

(b) Basis of consolidation *(continued)*

(ii) Structured entities

A structured entity is established by the Group to perform a specific task. Structured entities are designed so that their activities are not governed by way of voting rights. In assessing whether the Group acts as a principal or has power over investees in which it has an interest, the Group considers factors such as the purpose and design of the investee, its practical ability to direct the relevant activities of the investee; the nature of its relationship with the investee; and the size of its exposure to the variability of returns of the investee.

The Group acts as fund manager to a number of investment funds. Determining whether the Group controls such an investment fund usually focuses on the assessment of the aggregate economic interests of the Group in the fund. Whilst assessing control, the Group reviews all facts and circumstances to determine whether as a fund manager the Group is acting as agent or principal. If deemed to be a principal, the Group controls the fund and would consolidate them else as an agent the Group would account for them as investments in funds.

The Group's interest in investment funds in which it act as an agent is set out below, these funds are included as part of investments.

Type of Structured Entity	Nature and purpose	Interest held by the Group
Investment Funds managing assets	Generate fees from managing assets on behalf of third-party investors	Investments in units issued by the fund amounting to AED 4,293 thousand *(2019: AED 3,914 thousand)*

(iii) Joint Arrangements and Investments in Associates

An Associate is an investee over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but not control or joint control over those policies. Investment in associates is accounted under the equity method of accounting.

A joint arrangement is an arrangement between the Group and other parties where the Group along with one or more parties has joint control by virtue of a contractual agreement. Joint arrangement may be a joint operation or a joint venture. A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to and record their respective share of the assets, and obligations for the liabilities, relating to the arrangement.

A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement, have rights to the net assets of the arrangement and, thus, are accounted under the equity method of accounting.

Under the equity method, the investment in an associate is initially recognised at cost, which includes transaction costs. Subsequent to initial recognition, the consolidated financial statements include the Group's share of the profit or loss and OCI of equity accounted investees, until the date on which significant influence or joint control ceases. Goodwill relating to the associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment. The consolidated statement of income reflects the Group's share of the results of operations of the associates. Any change in other comprehensive income of those investees is presented as part of the Group's other comprehensive income. In addition, when there has been a change recognised directly in the equity of the associate, the Group recognises its share of any changes, when applicable, in the consolidated statement of changes in equity.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of income. The financial statements of the associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

3 Significant accounting policies *(continued)*

(b) Basis of consolidation *(continued)*

(iii) Joint Arrangements and Investments in Associates *(continued)*

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognises the loss in the consolidated statement of income.

(iv) Non-controlling interests

Non-controlling interests are measured initially at their proportionate share of the acquiree's identifiable net assets at the date of acquisition.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

(v) Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in consolidated statement of profit or loss. If the Group retains any interest in the former subsidiary, then such interest is measured at fair value when control is lost.

(vi) Transactions eliminated on consolidation

The carrying amount of the Group's investment in each subsidiary and the equity of each subsidiary are eliminated on consolidation. All significant intra-group balances, transactions and unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions are eliminated on consolidation. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

(c) Financial assets and liabilities

(i) Recognition and initial measurement

The Group initially recognised loans and advances, deposits, debt securities issued and subordinated liabilities on the date on which they are originated. All other financial instruments (excluding regular way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Group becomes a party to the contractual provisions of the instrument.

All regular way purchases and sales of financial assets are recognised on the settlement date, i.e. the date the asset is delivered to or received from the counterparty. Regular way purchases or sales of financial assets are those that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Classification

On initial recognition, a financial asset is classified as measured at: amortised cost, Fair Value through Other Comprehensive Income ("FVOCI") or Fair Value through profit or loss ("FVTPL").

3 Significant accounting policies *(continued)*

(c) Financial assets and liabilities *(continued)*

(ii) Classification *(continued)*

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payment of Principal and Interest ("SPPI").

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis.

All other financial assets are classified as measured at FVTPL.

In addition, on initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Group makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected); and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Group's stated objective for managing the financial assets is achieved and how much cash flows are realised.

Financial assets that are either held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

3 Significant accounting policies *(continued)*

(c) Financial assets and liabilities *(continued)*

(ii) Classification *(continued)*

Assessment of whether contractual cash flows are solely payments of principal and interest ("SPPI")

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Group considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse loans); and
- features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

The Group holds a portfolio of long-term fixed-rate loans for which the Group has the option to propose to revise the interest rate at periodic reset dates. These reset rights are limited to the market rate at the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty. The Group has determined that the contractual cash flows of these loans are SPPI because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding.

Financial liabilities

The Group classifies its financial liabilities, other than financial guarantees and loan commitments, as measured at amortised cost or fair value through profit or loss.

(iii) Derecognition

Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire (see also 3(iv)), or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in profit or loss.

Any cumulative gain or loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in profit or loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Group is recognised as a separate asset or liability.

The Group enters into transactions whereby it transfers assets recognised on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such cases, the transferred assets are not derecognised. Examples of such transactions are securities lending and sale-and-repurchase transactions.

3 Significant accounting policies *(continued)*

(c) Financial assets and liabilities *(continued)*

(iii) Derecognition *(continued)*

Financial assets *(continued)*

When assets are sold to a third party with a concurrent total return swap on the transferred assets, the transaction is accounted for as a secured financing transaction similar to sale-and-repurchase transactions, because the Group retains all or substantially all of the risks and rewards of ownership of such assets.

In transactions in which the Group neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Group continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

In certain transactions, the Group retains the obligation to service the transferred financial asset for a fee. The transferred asset is derecognised if it meets the derecognition criteria. An asset or liability is recognised for the servicing contract if the servicing fee is more than adequate (asset) or is less than adequate (liability) for performing the servicing.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

(iv) Modifications of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, then the Group evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximise recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Group plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place. This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the Group first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred and fees receivable as part of the modification adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset.

3 Significant accounting policies *(continued)*

(c) Financial assets and liabilities *(continued)*

(iv) Modifications of financial assets and financial liabilities *(continued)*

Financial liabilities

The Group derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and consideration paid is recognised in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. For floating-rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

(v) Offsetting

Financial assets and liabilities are offset and the net amount presented in the consolidated statement of financial position when, and only when, the Group has a legal right to set off the amounts and intend either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS, or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

(vi) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. When one is available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an on-going basis.

If there is no quoted price in an active market, then the Group uses the valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all the factors that market participants would take into account in pricing a transaction. The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in the consolidated statement of profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is supported wholly by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid price and an ask price, the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

3 Significant accounting policies *(continued)*

(c) Financial assets and liabilities *(continued)*

(vi) Fair value measurement *(continued)*

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Group on the basis of the net exposure to either market or credit risk, are measured on the basis of a price that would be received to sell a net long position or paid to transfer a net short position for a particular risk exposure. Portfolio-level adjustments – e.g. bid-ask adjustment or credit risk adjustments that reflect the measurement on the basis of the net exposure – are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

The fair value of investments in mutual funds, private equity funds or similar investment vehicles are based on the last net asset value published by the fund manager. For other investments, a reasonable estimate of the fair value is determined by reference to the price of recent market transactions involving similar investments, are based on the expected discounted cash flows.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The Group recognizes transfers between levels of the fair value hierarchy as at the end of the reporting period during which the change has occurred.

(vii) Impairment

The Bank recognises loss allowances for Expected Credit Loss (ECL) on the following financial instruments that are not measured at FVTPL:

- balances with central banks;
- due from banks and financial institutions;
- reverse repurchase agreements;
- financial assets that are debt instruments;
- loans and advances;
- loan commitments issued; and
- financial guarantee contracts issued.

No impairment loss is recognised on equity investments.

The Group measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition (see Note 43(a).

The Group considers the above financial instruments to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'.

Credit loss allowances are measured using a three-stage approach based on the extent of credit deterioration since origination:

- Stage 1 – Where there has not been a significant increase in credit risk (SICR) since initial recognition of a financial instrument, an amount equal to 12 months expected credit loss is recorded. The expected credit loss is computed using a probability of default occurring over the next 12 months. For those instruments with a remaining maturity of less than 12 months, a probability of default corresponding to remaining term to maturity is used.

3 Significant accounting policies *(continued)*

(c) Financial assets and liabilities *(continued)*

(vii) Impairment *(continued)*

- Stage 2 – When a financial instrument experiences a SICR subsequent to origination but is not considered to be impaired, it is included in Stage 2. This requires the computation of expected credit loss based on the probability of default over the remaining estimated life of the financial instrument.
- Stage 3 – Financial instruments that are considered to be impaired are included in this stage. Similar to Stage 2, the allowance for credit losses captures the lifetime expected credit losses.

Measurement of ECL

The key inputs into the measurement of ECL are:

- Probability of default ("PD");
- Loss given default ("LGD");
- Exposure at default ("EAD")

These parameters are generally derived from statistical models and other historical data. They are adjusted to reflect forward-looking information. Additionally, the Group has elaborate review process to adjust ECL for factors not available in the model.

Details of these statistical parameters/inputs are as follows:

- PD – The probability of default is an estimate of the likelihood of default over a given time horizon.
- EAD – The exposure at default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date.
- LGD – The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD.

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and
- financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Group expects to recover.

3 Significant accounting policies *(continued)*

(c) Financial assets and liabilities *(continued)*

(vii) Impairment *(continued)*

Restructured financial assets

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows.

- If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset. If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition.
- This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt financial assets carried at FVOCI, and finance lease receivables are credit-impaired (referred to as 'Stage 3 financial assets'). A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Purchased or Originally Credit Impaired ("POCI") financial assets

POCI financial assets are assets that are credit-impaired on initial recognition. For POCI assets, lifetime ECL are incorporated on initial recognition.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- financial assets measured at amortised cost: as a deduction from the gross carrying amount of the assets;
- loan commitments and financial guarantee contracts: generally, as a provision; and
- debt instruments measured at FVOCI: no loss allowance is recognised in the consolidated statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognised in the fair value reserve.

Write-off

Financial assets are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Group determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

3 Significant accounting policies *(continued)*

(d) Financial assets and liabilities *(continued)*

(viii) Impairment *(continued)*

Write-off *(continued)*

Recoveries of amounts previously written off are included in 'net impairment charge' in the statement of profit or loss. Financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

Central Bank of UAE ("CBUAE") provision requirements

As per the CBUAE notice no. CBUAE/BSD/2018/458 dated 30 April 2018, clause 6.4, if the specific provision and general/collective provision cumulatively is higher than the impairment allowance computed under IFRS 9, the differential should be transferred to an "Impairment Reserve" as an appropriation from the Retained earnings. This impairment reserve should be split to that which relates to difference in specific provision and general/collective provision. The Impairment reserve will not be available for payment of dividend.

(d) Cash and cash equivalents

For the purpose of consolidated statement of cash flows, cash and cash equivalents comprise cash, unrestricted balances with central banks and due from banks and financial institutions with original maturities of less than three months, which are subject to insignificant risk of changes in fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are non-derivative financial assets stated at amortised cost in the consolidated statement of financial position.

(e) Due from banks and financial institutions

These are non-derivative financial assets that are stated at amortised cost, less any allowance for impairment.

(f) Investments at fair value through profit or loss

These are securities that the Group acquire principally for the purpose of selling in the near term or holding as a part of portfolio that is managed together for short-term profit or position taking. These assets are initially recognised and subsequently measured at fair value in the consolidated statement of financial position. All changes in fair values are recognised as part of profit or loss.

(g) Reverse repurchase agreements

Assets purchased with a simultaneous commitment to resell at a fixed price on a specified future date are not recognised. The amount paid to the counterparty under these agreements is shown as reverse repurchase agreements in the consolidated statement of financial position. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repurchase agreement and charged to the consolidated statement of profit or loss using the effective interest rate method.

(h) Loans and advances

'Loans and advances' captions in the statement of financial position include:

- loans and advances measured at amortised cost; they are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method; and
- finance lease receivables.

3 Significant accounting policies *(continued)*

(h) Loans and advances *(continued)*

Loans and advances are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease and a receivable equal to the net investment in the lease is recognised and presented within loans and advances.

In determining whether an arrangement is a lease, the Group ascertains the substance of the arrangement and assesses whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and whether the arrangement conveys a right to use the assets.

These are derecognised when either the borrower repays its obligations or the loan are sold or written-off.

(i) Islamic financing and investing contracts

The Group engages in Sharia'a compliant Islamic banking activities through various Islamic instruments such as Ijara, Murabaha, Mudaraba and Wakala.

(i) Definitions

Ijara

Ijara consists of Ijara muntahia bitamleek.

Ijara financing is an agreement whereby the Group (lessor) leases or constructs an asset based on the customer's (lessee) request and promise to lease the assets for a specific period against certain rent instalments. Ijara could end in transferring the ownership of the asset to the lessee at the end of the lease period. Also, the Group transfers substantially all the risks and rewards related to the ownership of the leased asset to the lessee. Ijara income is recognised on an effective profit rate basis over the lease term.

Murabaha

A sale contract whereby the Group sells to a customer commodities and other assets at an agreed upon profit mark up on cost. The Group purchases the assets based on a promise received from customer to buy the item purchased according to specific terms and conditions. Profit from Murabaha is quantifiable at the commencement of the transaction. Such income is recognised as it accrues over the period of the contract on effective profit rate method on the balance outstanding.

Mudaraba

A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the funds in a project or a particular activity and any profits generated are distributed between the parties according to the profit shares that were pre-agreed in the contract. The Mudarib would bear the loss in case of default, negligence or violation of any of the terms and conditions of the Mudaraba, otherwise, losses are borne by the Rab Al Mal. Income is recognised based on expected results adjusted for actual results on distribution by the Mudarib, whereas if the Group is the Rab Al Mal the losses are charged to the Group's consolidated income statement when incurred.

3 Significant accounting policies *(continued)*

(i) Islamic financing and investing contracts *(continued)*

(i) Definitions *(continued)*

Wakala

An agreement between the Group and customer whereby one party (Rab Al Mal) provides a certain sum of money to an agent (Wakil), who invests it according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested). The agent is obliged to guarantee the invested amount in case of default, negligence or violation of any of the terms and conditions of the Wakala. The Group may be Wakil or Rab Al Mal depending on the nature of the transaction.

Estimated income from Wakala is recognised on the effective profit rate basis over the period, adjusted by actual income when received. Losses are accounted for when incurred.

(ii) Revenue recognition

Ijara

Income from Ijara is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Murabaha

Income from Murabaha is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Mudaraba

Income or losses on Mudaraba financing are recognised on an accrual basis if they can be reliably estimated. Otherwise, income is recognised on distribution by the Mudarib, whereas the losses are charged to the consolidated statement of profit or loss on their declaration by the Mudarib.

Wakala

Estimated income from Wakala is recognised on an accrual basis over the period, adjusted by actual income when received. Losses are accounted for on the date of declaration by the agent.

(j) Non-trading investments

The 'non-trading investments' caption in the statement of financial position includes:

- debt investment securities measured at amortised cost; these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method;
- debt securities measured at FVOCI;
- equity investment securities designated as at FVOCI; and
- Investment in associate and joint venture

For debt securities measured at FVOCI, gains and losses are recognised in OCI, except for the following, which are recognised in profit or loss in the same manner as for financial assets measured at amortised cost:

- interest revenue using the effective interest method;
- ECL and reversals; and
- foreign exchange gains and losses.

3 Significant accounting policies *(continued)*

(j) Non-trading investments *(continued)*

When debt security measured at FVOCI is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

The Group elects to present in OCI changes in the fair value of certain investments in equity instruments that are not held for trading. The election is made on an instrument-by-instrument basis on initial recognition and is irrevocable. Fair value gains and losses on such equity instruments are never reclassified to profit or loss and no impairment is recognised in profit or loss. Dividends are recognised in profit or loss unless they clearly represent a recovery of part of the cost of the investment, in which case they are recognised in OCI. Cumulative gains and losses recognised in OCI are transferred to retained earnings on disposal of an investment.

(k) Investment properties

Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are stated at fair value which reflects market conditions at the balance sheet date. Gains or losses arising from changes in the fair values of investment properties are included in the consolidated income statement under 'other income' in the year in which they arise.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the consolidated income statement in the year of retirement or disposal.

(l) Property and equipment

(i) Recognition and measurement

All items of property and equipment are measured at cost less accumulated depreciation and impairment losses, if any, Capital projects in progress are initially recorded at cost and regularly tested for impairment and upon completion are transferred to the appropriate category of property and equipment and thereafter depreciated.

Cost includes expenditures that are directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Gains and losses on disposal of an item of property and equipment are determined by comparing the proceeds from disposal with the carrying amount of property and equipment and are recognised net within other operating income in the consolidated statement of profit or loss.

Subsequent expenditures are only capitalised when it is probable that the future economic benefits of such expenditures will flow to the Group. On-going expenses are charged to consolidated statement of profit or loss as incurred.

If significant parts of an item of property and equipment have different useful lives, then they are accounted for as separate items (major components) of property and equipment.

Any gain or loss on disposal of an item of property and equipment is recognised within other income in profit or loss.

(ii) Depreciation

Depreciation is recognised in the consolidated statement of profit or loss on a straight-line basis over the estimated useful lives of all property and equipment. Freehold land and capital work in progress are not depreciated.

3 Significant accounting policies *(continued)*

(I) Property and equipment *(continued)*

(ii) Depreciation *(continued)*

The estimated useful lives of assets for the current and comparative period are as follows:

Buildings and villas	20 to 50 years
Office furniture and equipment	5 to 10 years
Fit-out leased premises	3-10 years
Safes	10 years
Computer systems and equipment	3 to 7 years
Vehicles	3 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Capital work in progress

Capital work in progress assets are assets in the course of construction for production, supply or administrative purposes, are carried at cost, less any recognised impairment loss. Cost includes all direct cost attributable to design and construction of the property capitalised in accordance with Group's accounting policy. When the assets are ready for the intended use, the capital work in progress is transferred to the appropriate property and equipment category and is depreciated in accordance with the Group's policies.

(iv) Impairment of non-financial assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than investment properties and deferred tax assets) to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. Goodwill is tested annually for impairment.

For impairment testing, assets are grouped together into smallest group of assets that generates cash inflows from continuing use that is largely independent of the cash inflows of other assets or CGUs. Goodwill arising from a business combination is allocated to CGUs or group of CGUs that are expected benefit from the synergies of the combination.

The 'recoverable amount' of an asset or CGU is the greater of its value in use and its fair value less cost to sell. 'Value in use' is based on the estimated future cash flows, discounted to their present value using pre-tax discount rate that reflects current market assessments of the time value of money and the risk specific to the asset or CGU.

An impairment loss is recognised if the carrying amount of an asset or CGU exceeds its recoverable amount.

The Group's corporate assets do not generate separate cash inflows and are used by more than one CGU. Corporate assets are allocated to CGUs on a reasonable and consistent basis and tested for impairment as part of the testing of the CGUs to which the corporate assets are allocated.

Impairment losses are recognised in profit or loss. They are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amounts of any other assets in the CGU on a prorate basis.

An impairment loss in respect of goodwill is not reversed. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognised.

3 Significant accounting policies *(continued)*

(m) Intangible assets

Goodwill arises on the acquisition represents the excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured at fair value is less than the fair value of the net assets of the subsidiary acquired in case of a bargain purchase, the difference is recognised directly in the income statement.

For the purpose of impairment testing, goodwill and license acquired in a business combination is allocated to each of the CGUs, or groups of CGUs, that is expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill and license impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of the CGU containing the goodwill is compared to the recoverable amount, which is the higher of value in use and the fair value less costs of disposal. Any impairment is recognised immediately as an expense and is not subsequently reversed.

The Group's intangible assets other than goodwill include intangible assets arising out of business combinations. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the consolidated income statement.

The estimated useful lives of the intangible assets for the calculation of amortisation are as follows:

Customer relationships	7.5 – 15 years
Core deposits	2.5 years – 15 years
Brand	20 years

(n) Collateral pending sale

Real estate and other collateral may be acquired as the result of settlement of certain loans and advances and are recorded as assets held for sale and reported in "Other assets". The asset acquired is recorded at the lower of its fair value less costs to sell and the carrying amount of the loan (net of impairment allowance) at the date of exchange. No depreciation is provided in respect of assets held for sale. Any subsequent write-down of the acquired asset to fair value less costs to sell is recorded as an impairment loss and included in the consolidated statement of profit or loss. Any subsequent increase in the fair value less costs to sell, to the extent this does not exceed the cumulative impairment loss, is recognised in the consolidated statement of profit or loss. The Group's collateral disposal policy is in line with the respective regulatory requirement of the regions in which the Group operates.

(o) Due to banks and financial institutions, Customer accounts and other deposits and Commercial Paper

Due to banks and financial institutions, customer deposits and Commercial Paper are financial liabilities and are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest rate method.

3 Significant accounting policies *(continued)*

(p) Repurchase agreements

Assets sold with a simultaneous commitment to repurchase at a fixed price on a specified future date are not derecognised. The liability to the counterparty for amounts received under these agreements is shown as repurchase agreements in the consolidated statement of financial position. The difference between sale and repurchase price is treated as interest expense and accrued over the life of the repurchase agreement and charged to the consolidated statement of profit or loss using the effective interest rate method.

(q) Term borrowings and subordinated notes

Term borrowings and subordinated notes include convertible notes that can be converted into share capital at the option of the holder, where the number of shares issued do not vary with changes in their fair value, are accounted for as compound financial instruments. The equity component of the convertible notes is calculated as the excess of issue proceeds over the present value of the future interest and principal payments, discounted at the market rate of interest applicable to similar liabilities that do not have a conversion option.

Term borrowing which are designated at FVTPL, the amount of change in the fair value of the liability that is attributable to changes in its credit risk is presented in OCI as a liability credit reserve. On initial recognition of the financial liability, the Group assesses whether presenting the amount of change in the fair value of the liability that is attributable to credit risk in OCI would create or enlarge an accounting mismatch in profit or loss. This assessment is made by using a regression analysis to compare:

- the expected changes in the fair value of the liability related to changes in the credit risk; and
- the impact on profit or loss of expected changes in fair value of the related instruments.

Amounts presented in the liability credit reserve are not subsequently transferred to profit or loss. When these instruments are derecognised, the related cumulative amount in the liability credit reserve is transferred to retained earnings.

Term borrowings and subordinated notes without conversion option and that are at fair value through profit or loss are financial liabilities which are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest rate method and adjusted to the extent of fair value changes for the risks being hedged.

(r) Treasury shares

Own equity instruments which are acquired (treasury shares) are deducted from the equity and accounted for at weighted average cost. No gain or loss is recognised in the consolidated income statement on the purchase, sale, issue or cancelation of the Bank's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognised in share premium. If treasury shares are distributed as part of a bonus share issue, the cost of the shares is charged against retained earnings. Voting rights relating to treasury shares are nullified for the Group and no dividends are allocated to them respectively.

(s) Fiduciary assets

Assets held in trust or in a fiduciary capacity are not treated as assets of the Group and accordingly are not included in these consolidated financial statements.

(t) Share based payment

On the grant date fair value of options granted to staff is estimated and the cost is recognised as staff cost, with a corresponding increase in equity, over the period required for the staff to become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the number of share options for which the related service conditions are expected to be met; as such the amount ultimately recognised as an expense is based on the number of share options that do meet the related service and non-market performance conditions at the vesting date. These shares may contribute to the calculation of dilutive EPS once they are deemed as potential ordinary shares.

3 Significant accounting policies *(continued)*

(u) Interest income and expense

Effective interest rate

Interest income and expense are recognised in profit or loss using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Group estimates future cash flows considering all contractual terms of the financial instrument, but not ECL.

The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortised cost and gross carrying amount

The 'amortised cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance.

The 'gross carrying amount of a financial asset' is the amortised cost of a financial asset before adjusting for any expected credit loss allowance.

Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit impaired) or to the amortised cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating rate instruments to reflect movements in market rates of interest. The effective interest rate is also revised for fair value hedge adjustments at the date amortisation of the hedge adjustment begins.

For information on when financial assets are credit-impaired, see Note 3(c)(vii).

Presentation

Interest income calculated using the effective interest method presented in the statement of profit or loss and OCI includes:

- interest on financial assets and financial liabilities measured at amortised cost;
- interest on debt instruments measured at FVOCI;
- the effective portion of fair value changes in qualifying hedging derivatives designated in cash flow hedges of variability in interest cash flows, in the same period as the hedged cash flows affect interest income/expense; and
- the effective portion of fair value changes in qualifying hedging derivatives designated in fair value hedges of interest rate risk.
- negative interest on financial liabilities measured at amortised cost.

3 Significant accounting policies *(continued)*

(u) Interest income and expense *(continued)*

Presentation *(continued)*

Interest expense presented in the statement of profit or loss and OCI includes:

- financial liabilities measured at amortised cost; and
- the effective portion of fair value changes in qualifying hedging derivatives designated in cash flow hedges of variability in interest cash flows, in the same period as the hedged cash flows affect interest income/expense.
- the effective portion of fair value changes in qualifying hedging derivatives designated in fair value hedges of interest rate risk.
- negative interest on financial assets measured at amortised cost.
- Interest expense on lease liabilities.

Interest income and expense on financial assets and financial liabilities at FVTPL are presented as in interest income or interest expense from financial instruments at FVTPL.

(v) Income from Islamic financing activities

Ijara income is recognised on a time-proportion basis over the lease term.

Murabaha income is recognised on a time apportioned basis over the period of the contract based on the principal amounts outstanding. Mudaraba income is recognised based on expected results adjusted for actual results on distribution by the Mudarib, whereas if the Group is the Rab Al Mal the losses are charged to the Group's consolidated income statement when incurred.

(w) Depositors' share of profit

Depositors' share of profit is amount accrued as expense on the funds accepted from banks and customers in the form of wakala and mudaraba deposits and recognised as expenses in the consolidated statement of profit or loss. The amounts are calculated in accordance with agreed terms and conditions of the wakala deposits and Sharia'a principles.

(x) Fee and commission income and expense

The Group earns fee and commission income from a diverse range of services provided to its customers. The basis of accounting treatment of fees and commission depends on the purposes for which the fees are collected and accordingly the revenue is recognised in consolidated statement of profit or loss. Fee and commission income is accounted for as follows:

- income earned from the provision of services is recognised as revenue as the services are provided;
- income earned on the execution of a significant act is recognised as revenue when the act is completed;
- income which forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in "Interest income".

A contract with a customer that results in a recognised financial instrument in the Group's consolidated financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Group first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and then applies IFRS 15 to the residual.

Fee and commission expense relates mainly to transaction and service fees which are expensed as the services are received.

3 Significant accounting policies *(continued)*

(x) Fee and commission income and expense *(continued)*

Customer loyalty programme

The Group operates loyalty programs, which allow customers to accumulate points when they use the Bank's products and services that can then be redeemed for free or discounted products or services, subject to certain conditions. The loyalty programs give rise to separate performance obligations under the separate schemes. The fair value of issued points is generally estimated based on equivalent standalone prices for the mix of awards expected and is recognized in other liabilities until the points get redeemed or lapsed. Management judgment is involved in determining the redemption rate to be used in the estimate of points to be redeemed as evidenced by the Group's historical experience.

(y) Zakat

Zakat is only paid on behalf of shareholders in jurisdictions where zakat payment is made mandatory by the regulations of the jurisdictions. Such payment is made in accordance with the regulations of the jurisdictions.

(z) Net gain/loss on investments and derivatives

Net gain on investments and derivatives comprises realised and unrealised gains and losses on investments at fair value through profit or loss and derivatives, realised gains and losses on non-trading investments and dividend income. Net gain on investment at fair value through profit or loss includes changes in the fair value of financial assets and financial liabilities designated at fair value.

Gains and losses arising from changes in fair value of FVOCI assets are recognised in the statement of other comprehensive income and recorded in fair value reserve with the exception of ECL, interest calculated using the effective interest rate method and foreign exchange gains and losses on monetary assets which are recognised directly in the consolidated statement of profit or loss. Where the investment is sold or realised, the cumulative gain or loss previously recognised in equity under fair value reserve is reclassified to the consolidated statement of profit or loss in case of debt instruments.

Non-trading investment includes FVOCI and amortised cost instruments.

The Group also holds investments in assets issued in countries with negative interest rates. The Group discloses interest paid on these assets in the line where its economic substance of transaction is reflected (note 27).

Amortised cost investments, which are not close to their maturity are not ordinarily sold. However when they are sold or realised, the gain or loss is recognised in the consolidated statement of profit or loss.

Dividend income is recognised when the right to receive payment is established.

(aa) Foreign currency

(i) Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group entities at spot exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot exchange rates at the reporting date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the spot exchange rate at the date on which the fair value is determined. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction.

3 Significant accounting policies *(continued)*

(aa) Foreign currency *(continued)*

(i) Foreign currency transactions *(continued)*

Foreign currency differences arising on transaction are generally recognised in profit or loss. However, foreign currency differences arising from the transaction arising from the translation of the following item are recognised in OCI.

- available for sale equity instruments / FVOCI equity instruments
- a financial liability designated as a hedge of the net investment in a foreign operation to the extent that the hedge is effective
- qualifying cash flow hedges to the extent that the hedge is effective.

(ii) Foreign operations

The activities of subsidiaries and branches based outside the UAE are not deemed an integral part of the head office operations, as they are financially and operationally independent of the head office. The assets and liabilities of the foreign operations are translated into UAE Dirhams at rates of exchange at the reporting date. The income and expense of foreign operations are translated at average rates, as appropriate. Exchange differences (including those on transactions which hedge such investments) arising from retranslating the opening net assets, are taken directly to foreign currency translation adjustment account in other comprehensive income.

When a foreign operation is disposed of such that control is lost, the cumulative amount in the translation reserve related to the foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of only part of its interest in a subsidiary that includes a foreign operation while retaining control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, then foreign currency differences arising on the item form part of the net investment in the foreign operation and recognised in OCI, and accumulated in the translation reserve in the equity.

(ab) Overseas income tax expense

Income tax expense comprises of current and deferred tax. It is recognised in profit or loss except to the extent it relates to items recognised directly in equity or OCI.

Current tax is provided for in accordance with fiscal regulations of the respective countries in which the Group operates and is recognised in the consolidated statement of profit or loss. Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future. Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on laws that have been enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow for all or part of the deferred tax asset to be utilised.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

3 Significant accounting policies *(continued)*

(ab) Overseas income tax expense *(continued)*

In determining the amount of current and deferred tax, the Group considers the impact of tax exposures, including whether additional taxes and interest maybe due. This assessment relies on estimates and assumptions and may involve a series of judgements about future events. New information may become available that causes the Group to change its judgement regarding the adequacy of existing tax liabilities; such changes to tax liabilities would impact tax expense in the period in which such a determination is made.

(ac) Derivative financial instruments and hedging

Derivatives are initially recognised, and subsequently measured at fair value with transaction costs taken directly to the consolidated statement of profit or loss. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative or using valuation techniques, mainly discounted cash flow models.

The method of recognising the resulting fair value gains or losses depends on whether the derivative is held for trading, or is designated as a hedging instrument and, if so, the nature of the risk being hedged. All gains and losses from changes in fair value of derivatives held for trading are recognised in the consolidated statement of profit or loss. When derivatives are designated as hedges, the Group classifies them as either: (i) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; (ii) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction; (iii) hedge of net investment which are accounted similarly to a cash flow hedge. Hedge accounting is applied to derivatives designated as hedging instruments in a fair value or cash flow, provided the criteria are met.

Embedded derivatives

Derivatives may be embedded in another contractual arrangement (a host contract). The Group accounts for an embedded derivative separately from the host contract when:

- the host contract is not an asset in the scope of IFRS 9;
- the host contract is not itself carried at FVTPL;
- the terms of the embedded derivative would meet the definition of a derivative if they were contained in a separate contract; and
- the economic characteristics and risks of the embedded derivative are not closely related to the economic characteristics and risks of the host contract.

Separated embedded derivatives are measured at fair value, with all changes in fair value recognised in profit or loss unless they form part of a qualifying cash flow or net investment hedging relationship. Separated embedded derivatives are presented in the statement of financial position together with the host contract.

Hedge accounting

It is the Group's policy to document, at the inception of a hedge, the relationship between hedging instruments and hedged items, as well as risk management objective and strategy. The policy also requires documentation of the assessment, at inception and on an on-going basis, of the effectiveness of the hedge.

The Group makes an assessment, both at the inception of the hedge relationship as well as on an on-going basis, as to whether the hedging instrument(s) is (are) expected to be highly effective in offsetting the changes in the fair value or cash flows of the respective hedged item(s) during the period for which the hedge is designated. The Group makes an assessment for a cash flow hedge of a forecast transaction, as to whether the forecasted transaction is highly probable to occur and presents an exposure to variations in cash flows that could ultimately affect profit or loss.

3 Significant accounting policies *(continued)*

(ac) Derivative financial instruments and hedging *(continued)*

Fair value hedge

When a derivative is designated as the hedging instrument in a hedge of the change in fair value of a recognised asset or liability or a firm commitment that could affect profit or loss, changes in the fair value of the derivative are recognised immediately in profit or loss. The change in fair value of the hedged item attributable to the hedged risk is recognised in profit or loss. If the hedged item would otherwise be measured at cost or amortised cost, then its carrying amount is adjusted accordingly.

If the hedging derivative expires or is sold, terminated or exercised, or the hedge no longer meets the criteria for fair value hedge accounting, or the hedge designation is revoked, then hedge accounting is discontinued prospectively. However, if the derivative is novated to a clearing counterparty ("CCP") by both parties as a consequence of laws or regulations without changes in its terms except for those that are necessary for the novation, then the derivative is not considered expired or terminated.

Any adjustment up to the point of discontinuation to a hedged item for which the effective interest method is used is amortised to profit or loss as an adjustment to the recalculated effective interest rate of the item over its remaining life.

On hedge discontinuation, any hedging adjustment made previously to a hedged financial instrument for which the effective interest method is used is amortised to profit or loss by adjusting the effective interest rate of the hedged item from the date on which amortization begins. If the hedged item is derecognised, then the adjustment is recognised immediately in profit or loss when the item is derecognised.

Cash flow hedge

When a derivative is designated as the hedging instrument in a hedge of the variability in cash flow attributable to a particular risk associated with a recognised assets or liability that could affect profit or loss, the effective portion of changes in the fair value of the derivatives is recognised in OCI and presented in the hedging reserve within equity. Any ineffective portion of changes in the fair value of the derivative is recognised immediately in the profit or loss. The amount recognised in OCI is reclassified to profit or loss as a reclassification adjustment in the same period as the hedged cash flows which affect profit or loss and in the same line in the statement of profit or loss and OCI.

If the hedging derivative expires is sold, terminated or exercised or the hedge, no longer meets the criteria for cash flow hedge accounting the hedge accounting is discounted prospectively. However if the derivative is novated to a central counterparty by both parties as a consequence of laws or regulations without changes in its terms except for those that are necessary for the novation, then the derivative is not considered as expired or terminated. If the hedged cash flows are no longer expected to occur, then the Group immediately reclassifies the amount in the hedging reserve from OCI to profit or loss. For terminated hedging relationships, if the hedged cash flows are still expected to occur, then the amount accumulated in the hedging reserve is not reclassified until the hedged cash flows affect profit or loss; if the hedged cash flows are expected to affect profit or loss in multiple reporting periods, then the Group reclassifies the amount in the hedging reserve from OCI to profit or loss on a straight-line basis.

Net investments hedges

When a derivative instrument or a non-derivative financial liability is designated as the hedging instrument in a hedge of a net investment in a foreign operation, the effective portion of the changes in the fair value of the hedging instrument is recognised in other comprehensive income in the translation reserve. The effective portion of the change in fair value of the hedging instrument is computed with reference to the functional currency of the parent entity against whose functional currency the hedged risk is measured. Any ineffective portion of the changes in the fair value of the derivative or foreign exchange gains and losses on the non-derivative is recognised immediately in the consolidated statement of profit or loss. The amount recognised under other comprehensive income is fully or partially reclassified to statement of profit or loss on disposal of the foreign operation or partial disposal of the foreign operation, respectively.

3 Significant accounting policies *(continued)*

(ac) Derivative financial instruments and hedging *(continued)*

Other derivatives

Other non-trading derivatives are recognised on balance sheet at fair value. If a derivative is not held for trading, and is not designated in a qualifying hedging relationship, then all changes in its fair value are recognised immediately in profit or loss as a component of net gain on investments and derivatives or net foreign exchange gain.

(ad) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Where the effect of time value of money is material, provisions are determined by discounting the expected future cash flows, at a pre-tax rate, that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(ae) Employees' end of service benefit

The Group provides end of service benefits for its employees. The entitlement to these benefits is based upon the employees' length of service and completion of a minimum service period. The expected costs of these benefits are accrued over the period of employment.

With respect to its UAE national employees, the Group makes contributions to the relevant government pension scheme calculated as a percentage of the employees' salaries. The Group's obligations are limited to these contributions, which are expensed when due.

Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity or to a government organisation and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an employee benefit expense in consolidated statement of profit or loss in the periods during which services are rendered by employees.

Pension and national insurance contributions for eligible employees are made by the Group to Pensions and Benefits Fund in accordance with the applicable laws of country where such contributions are made.

Defined benefit plan

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit gratuity plans is the present value of the defined benefit obligation at the end of the reporting period together with adjustments for unrecognised past-service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation.

Remeasurements of the net defined benefit liability, which comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest), are recognised immediately in OCI. Net interest expense and other expenses related to defined benefit plans are recognised in Staff cost in consolidated statement of profit or loss. When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately to profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

3 Significant accounting policies *(continued)*

(af) Directors' remuneration

Pursuant to Article 169 of the UAE Companies of 2015 and in accordance with the Bank's Articles of Association, Directors' shall be entitled for remuneration which shall not exceed 10% of the net profits after deducting depreciation and reserves.

(ag) Fiduciary activities

Assets held in a fiduciary capacity are not treated as assets of the Group as they are only held in trust where the Group acts as a custodian on customers' behalf. The Group has no liability or obligations towards the customer on these assets held in trust. Accordingly, these assets are not included in these consolidated financial statements.

(ah) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise of convertible notes and share options granted to staff.

(ai) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Chief Executive, being the chief operating decision maker, to make decisions about resources to be allocated to the segment and to assess its performance for which discrete financial information is available. Segment results that are reported to the Group Chief Executive include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

(aj) Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in IFRS 16.

(i) Group acting as a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates consideration in the contract to each lease component on the basis of its relative standalone price. However, for leases of branches and office premises the Group has elected not to separate non-lease components and accounts for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

3 Significant accounting policies *(continued)*

(aj) Leases *(continued)*

(i) Group acting as a lessee *(continued)*

The Group determines its incremental borrowing rate by analysing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets in 'property and equipment' and lease liabilities in 'other liabilities' in the statement of financial position.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including leases of IT equipment. The Group recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(ii) Group acting as a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone selling prices.

When the Group acts as a lessor, it determines at lease inception whether the lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

(ak) Settlement date accounting

Purchases and sales of financial assets are recognised on the settlement date, i.e. the date that the Group settles the purchase or sale of an asset.

3 Significant accounting policies *(continued)*

(al) Taxes

Current income tax assets and liabilities for the current year are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date in the countries where the Group operates and generates taxable income. Taxable profit differs from profit as reported in the consolidated income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible.

Deferred income tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred income tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profits will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised.

(am) Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Certain financial guarantee contracts in the nature of credit default guarantees are not held for proprietary trading purposes and are treated as insurance contracts and accounted for under IFRS 4.

For other financial guarantee contracts, these are initially recognised at their fair value (which is the premium received on issuance). The received premium is amortised over the life of the financial guarantee. The guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment (when a payment under the guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

Financial guarantees are reviewed periodically so as to determine the credit risk to which they are exposed and, if appropriate, to consider whether a provision is required. The credit risk is determined by application of criteria similar to those established for quantifying impairment losses on loans and advances. If a specific provision is required for financial guarantees, the related unearned commissions recognised under other liabilities in the consolidated balance sheet are reclassified to the appropriate provision.

(an) Standards issued but not yet effective

A number of new standards and amendments to standards are effective for annual periods beginning after 1 January 2020 and earlier application is permitted; however, the Group has not early adopted them in preparing these consolidated financial statements.

The following amended standards are not expected to have a significant impact on the Group's consolidated financial statements.

- Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37).
- Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16).
- Reference to Conceptual Framework (Amendments to IFRS 3).
- Classification of Liabilities as Current or Non-current (Amendments to IAS 1).
- IFRS 17 Insurance Contracts and amendments to IFRS 17 Insurance Contracts.

4 Cash and balances with central banks

	2020 AED'000	2019 AED'000
Cash on hand	**1,933,356**	1,991,508
Central Bank of the UAE		
cash reserve deposits	**8,249,013**	29,796,172
certificates of deposits	**15,996,096**	21,989,135
other balances	**25,000,000**	883,662
Balances with other central banks	**176,830,683**	115,194,698
	228,009,148	169,855,175
Less: expected credit losses	**(136,556)**	(153,167)
	227,872,592	169,702,008

As per the new regulations, the bank is allowed to draw their balances held in the reserve account, while ensuring that they meet the reserve requirements over 14 days period.

5 Investments at fair value through profit or loss

	2020 AED'000	2019 AED'000
Investments in managed funds	**6,347**	6,380
Investment in private equity	**1,759,231**	1,591,074
Investments in equities	**106,879**	1,116,477
Debt securities	**19,393,786**	17,385,250
	21,266,243	20,099,181

6 Due from banks and financial institutions

	2020 AED'000	2019 AED'000
Current, call and notice deposits	**16,227,447**	8,098,662
Margin deposits	**7,655,394**	4,597,478
Fixed deposits	**3,547,951**	4,378,331
	27,430,792	17,074,471
Less: expected credit losses	**(73,153)**	(47,969)
	27,357,639	17,026,502

7 Reverse repurchase agreements

The Group enters into reverse repurchase agreements in the normal course of business in which the third party transfers financial assets to the Group for short term financing.

	2020 AED'000	2019 AED'000
Reverse repurchase with banks	**41,096,158**	15,371,565
Reverse repurchase with central banks	**2,992,598**	9,307,224
	44,088,756	24,678,789
Less: expected credit losses	**(19,515)**	(414)
	44,069,241	24,678,375

At 31 December 2020, the fair value of financial assets accepted as collateral that the Group is permitted to sell re-pledge in the absence of default was AED 49,154 million *(2019: AED 26,675 million).*

At 31 December 2020, the fair value of financial assets accepted as collateral that have been sold or re-pledged was AED 26,272 million *(2019: AED 11,729 million)*. The Group is obliged to return equivalent securities.

These transactions are conducted under terms that are usual and customary to standard lending, and securities borrowing and lending activities.

8 Loans and advances

	2020 AED'000	2019 AED'000
Gross loans and advances	**403,288,746**	421,730,328
Less: interest suspended	**(4,206,335)**	(2,799,157)
Less: expected credit loss	**(12,438,415)**	(11,028,143)
Net loans and advances	**386,643,996**	407,903,028

	2020 AED'000	2019 AED'000
By counterparty:		
Government sector	**38,889,069**	66,706,966
Public sector	**92,718,473**	76,683,723
Banking sector	**8,924,677**	24,681,349
Corporate / private sector	**189,101,082**	181,023,861
Personal / retail sector	**73,655,445**	72,634,429
Gross loans and advances	**403,288,746**	421,730,328

8 Loans and advances *(continued)*

	2020 AED'000	2019 AED'000
By product:		
Overdrafts	**26,857,171**	24,421,293
Term loans	**315,249,274**	324,669,217
Trade related loans	**23,177,540**	33,780,306
Personal loans	**31,790,101**	31,599,277
Credit cards	**4,871,801**	6,019,027
Vehicle financing loans	**1,342,859**	1,241,208
Gross loans and advances	**403,288,746**	421,730,328

The Group provides lending against investment in equity securities and funds. The Group is authorised to liquidate these instruments if their coverage falls below the certain agreed threshold. The carrying value of such loans is AED 14,025 million *(2019: AED 15,920 million)* and the fair value of instruments held as collateral against such loans is AED 24,303 million *(2019: AED 17,390 million)*. During the year, the Group has liquidated insignificant amount of collateral due to fall in the coverage ratio.

Islamic financing

Included in the above loans and advances are the following Islamic financing contracts:

	2020 AED'000	2019 AED'000
Ijara	**8,422,609**	9,304,260
Murabaha	**16,651,963**	21,835,448
Others	**241,948**	261,374
Total Islamic financing contracts	**25,316,520**	31,401,082
Less: expected credit loss	**(877,526)**	(785,581)
Less: suspended profit	**(132,904)**	(130,991)
	24,306,090	30,484,510

9 Non-trading investments

	2020 AED'000	2019 AED'000
Fair value through other comprehensive income:		
- with recycle to profit or loss (Debt Investments)	**127,609,415**	108,598,870
- without recycle to profit or loss (Equity Investments)	**557,508**	596,086
Amortised cost	**3,352,977**	5,387,087
Investment in associates and joint venture	**54,207**	63,399
	131,574,107	114,645,442
Less: expected credit losses	**(345)**	(1,020)
	131,573,762	114,644,422

9 Non-trading investments *(continued)*

An analysis of non-trading investments by type at the reporting date is shown below:

	2020 AED'000			2019 AED'000		
	Quoted	**Unquoted**	**Total**	Quoted	Unquoted	Total
Equity investments	**534,846**	**76,869**	**611,715**	523,401	136,084	659,485
Debt investments	**129,844,660**	**1,117,732**	**130,962,392**	113,065,018	920,939	113,985,957
	130,379,506	**1,194,601**	**131,574,107**	113,588,419	1,057,023	114,645,442
Less: expected credit losses	**(336)**	**(9)**	**(345)**	(1,002)	(18)	(1,020)
	130,379,170	**1,194,592**	**131,573,762**	113,587,417	1,057,005	114,644,422

Debt instruments under repurchase agreements included in non-trading investments at 31 December 2020 amounted to AED 32,840 million *(31 December 2019: AED 28,428 million)*.

The non-trading investments include the following investments in associates of the Group:

	Percentage of holding	
	2020	2019
Midmak Properties LLC	**16%**	16%
Emirates Digital Wallet LLC	**23%**	23%
Mercury Payment Services LLC	**30%**	30%

Midmak Properties LLC ("Midmak") is a limited liability company incorporated in the Emirate of Abu Dhabi. Midmak is involved in real estate activities. Although the Group owns 16% of the outstanding shares of Midmak, the investment has been classified as an associate as the Group exercises significant influence due to representation of the Board of Directors.

Emirates Digital Wallet LLC, established in 2017, is jointly owned by 16 of the leading UAE national banks, supported by the UAE Central Bank.

Mercury Payment Services LLC is a limited liability company incorporated in the Emirate of Abu Dhabi to carry on business of investments and payment service schemes.

10 Investment properties

	2020 AED'000	2019 AED'000
As at 1 January	**7,956,854**	7,388,493
Additions / transfer from PPE / Other adjustments	**472,211**	583,789
Disposals / transfer to PPE	**(577,350)**	(8,729)
Fair value adjustment	**(248,485)**	(6,699)
As at 31 December	**7,603,230**	7,956,854

10 Investment properties *(continued)*

Amounts recognised in the consolidated statement of income in respect of net rental income of investment properties are as follows:

	2020 AED'000	2019 AED'000
Rental income derived from investment properties	**100,046**	92,264
Operating expenses	**(50,724)**	(45,154)
Net rental income from investment properties	**49,322**	47,110

Investment properties are stated at fair value which represents the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants under prevailing market conditions at the measurement date.

The Group's investment properties consist of land, buildings and properties under development in Abu Dhabi and Dubai. Management determined that these investment properties consist of two classes of commercial and retail assets, based on the nature, characteristics and risks of each property.

As at 31 December 2020 and 2019, fair value of the properties is based on the valuations performed by third party valuers and all are level 3 under fair value hierarchy. The valuers are accredited with recognised and relevant professional qualifications and with recent experience in the location and category of investment properties being valued. The fair values have been determined based on varying valuation models depending on the intended use of the investment properties; in accordance with the Royal Institution of Chartered Surveyors ("RICS") Valuation Standards.

Description of valuation techniques used and key inputs to valuation on investment properties as at 31 December 2020 and 2019:

	Valuation technique	***Significant unobservable inputs***
Buildings	Comparable and Residual Method Sales Comparison Method	Comparable transactions Current market price of similar assets
Land	Comparable and Residual Method	Cost of construction Developer's profit Financing cost
Properties under development	Discounted cash flow method	Discount rate Cash inflows Cash outflows

11 Property and equipment

	Land, buildings and alterations AED'000	Computer systems and equipment AED'000	Furniture, equipment, safes and vehicles AED'000	Capital work -in-progress AED'000	Total AED'000
Cost					
As at 1 January 2019	3,155,149	1,992,828	392,912	296,762	5,837,651
Additions	280,682	171,849	119,463	1,032,456	1,604,450
Allocations from CWIP	66,428	347,027	11,504	(424,959)	-
Disposals, transfers and write offs[1]	(639,471)	(4,972)	(8,951)	-	(653,394)
At 31 December 2019	2,862,788	2,506,732	514,928	904,259	6,788,707
Additions	**262,488**	**869,693**	**92,275**	**1,896,629**	**3,121,085**
Allocations from CWIP	**7,716**	**12,578**	**(25,170)**	**4,876**	**-**
Disposals, transfers and write offs[1]	**(828,682)**	**(121,101)**	**(4,800)**	**(1,485,790)**	**(2,440,373)**
At 31 December 2020	**2,304,310**	**3,267,902**	**577,233**	**1,319,974**	**7,469,419**
Accumulated depreciation and impairment losses					
As at 1 January 2019	707,750	809,495	329,191	-	1,846,436
Charge for the year	134,462	280,136	36,714	-	451,312
Disposals, transfers and write offs[1]	(117,021)	2,367	(13,373)	-	(128,027)
At 31 December 2019	725,191	1,091,998	352,532	-	2,169,721
Charge for the year	**149,578**	**375,729**	**42,054**	**-**	**567,361**
Disposals, transfers and write offs[1]	**(183,220)**	**50,690**	**(2,259)**	**-**	**(134,789)**
At 31 December 2020	**691,549**	**1,518,417**	**392,327**	**-**	**2,602,293**
Carrying amounts					
At 31 December 2019	2,137,597	1,414,734	162,396	904,259	4,618,986
At 31 December 2020	**1,612,761**	**1,749,485**	**184,906**	**1,319,974**	**4,867,126**

[1] *adjusted for foreign exchange translation impact*

12 Intangibles

	Goodwill AED'000	Customer relationship AED'000	Core deposit AED'000	License AED'000	Brand AED'000	Total AED'000
Cost						
At 1 January 2019	17,370,249	1,774,716	593,335	368,700	22,000	20,129,000
Addition during the year	-	-	-	-	-	-
At 31 December 2019	17,370,249	1,774,716	593,335	368,700	22,000	20,129,000
Addition during the year	-	-	-	-	-	-
At 31 December 2020	**17,370,249**	**1,774,716**	**593,335**	**368,700**	**22,000**	**20,129,000**
Accumulated amortisation and impairment losses						
At 1 January 2019	-	333,046	90,560	-	5,683	429,289
Charge for the year	-	149,870	49,353	-	2,401	201,624
At 31 December 2019	-	482,916	139,913	-	8,084	630,913
Charge for the year	-	**151,170**	**49,047**	-	**1,006**	**201,223**
At 31 December 2020	-	**634,086**	**188,960**	-	**9,090**	**832,136**
Carrying amounts						
At 31 December 2019	17,370,249	1,291,800	453,422	368,700	13,916	19,498,087
At 31 December 2020	**17,370,249**	**1,140,630**	**404,375**	**368,700**	**12,910**	**19,296,864**

Testing goodwill for impairment involves a significant amount of judgment. This includes the identification of independent CGU's and the allocation of goodwill to these units based on which units are expected to benefit from the acquisition.

For the purposes of impairment testing, goodwill is allocated to the Banks's revenue generating units - Corporate & Investment Banking and Personal Banking CGUs. The recoverable amount for the CGUs have been calculated based on their value in use, determined by discounting the future cash flows expected to be generated from the continuing use of the CGUs , assets and their ultimate disposal a discount rate of 8% and a terminal growth rate of 5% were used to estimate the recoverable amount.

No impairment losses were recognized during the year ended 31 December 2020 (*2019: nil*) because the recoverable amounts of the CGU's were determined to be higher than their carrying amounts.

The key assumptions described above may change as economic and market conditions change. The Group estimates that reasonably possible changes in these assumptions would not cause the recoverable amount of above CGUs to decline below the carrying amount.

13 Other assets

	2020 AED'000	2019 AED'000
Interest receivable	**7,521,621**	9,866,628
Acceptances	**6,017,156**	7,529,457
Sundry debtors and other receivables	**2,401,952**	2,550,441
Deferred tax asset	**101,437**	40,336
	16,042,166	19,986,862
Less: expected credit losses	**(91,208)**	(63,611)
	15,950,958	19,923,251

The Group does not perceive any significant credit risk on interest receivable and acceptances.

Acceptances arise when the Group is under an obligation to make payments against documents drawn under letters of credit. After acceptance, the instrument becomes an unconditional liability of the Group and is therefore recognised as a financial liability in the consolidated statement of financial position. However, every acceptance has a corresponding contractual right of reimbursement from the customer which is recognised as a financial asset.

14 Due to banks and financial institutions

	2020 AED'000	2019 AED'000
Banks and financial institutions		
Current, call and notice deposits	**2,477,281**	2,270,422
Margin	**4,745,820**	1,917,342
Fixed deposits	**16,981,767**	12,758,412
	24,204,868	16,946,176
Central banks		
Current and call deposits	**973,292**	144,066
Fixed and certificate of deposits	**32,454,316**	18,917,633
	33,427,608	19,061,699
	57,632,476	36,007,875

Due to banks and financial institutions are denominated in various currencies and carry a rate of interest in the range of -1% to 1.825% *(2019: -0.57% to 4.44%).*

15 Repurchase agreements

The Group enters into repurchase agreements in the normal course of business by which it transfers recognised financial assets directly to third parties.

	2020 AED'000	2019 AED'000
Reverse repurchase with banks / financial institutions	**49,252,314**	38,821,848
Reverse repurchase with central banks	**6,753,000**	-
	56,005,314	38,821,848

15 Repurchase agreements *(continued)*

The carrying value that is also the fair value of financial assets collateralised at the reporting date amounted to AED 33,666 million *(2019: AED 28,763 million)* and their associated financial liabilities amounted to AED 56,005 million *(2019: AED 38,822 million).* The net difference between the fair value of the financial assets collateralised and the carrying value of the repurchase agreement is a shortage AED 22,339 million *(2019: shortage AED 10,059 million).* The shortage is covered by re-pledging financial assets received as collateral against reverse repurchase agreements or through security borrowing arrangement from custodian.

16 Commercial Paper

The Bank has a Euro Commercial Paper programmes with a programme limit of USD 3.5 billion and a US Dollar Commercial Paper programme with a programme limit of USD 10 billion.

The notes outstanding as at the end of the reporting date amounted to AED 31,174 million (*2019: AED 21,237 million*) and have maturity period of less than 12 months.

The Group has not had any defaults of principal, interests or other breaches with respect to its Commercial paper programmes during year ended 31 December 2020.

17 Customer accounts and other deposits

	2020 AED'000	2019 AED'000
By account:		
Current accounts	**211,144,473**	163,661,767
Savings accounts	**12,023,563**	10,338,002
Margin accounts	**2,757,184**	2,921,202
Notice and time deposits	**266,338,758**	311,441,597
	492,263,978	488,362,568
Certificates of deposit	**48,618,494**	30,799,289
	540,882,472	519,161,857

	2020 AED'000	2019 AED'000
By counterparty:		
Government sector	**134,010,748**	152,974,275
Public sector	**114,402,974**	111,074,087
Corporate / private sector	**162,774,636**	144,036,048
Personal / retail sector	**81,075,620**	80,278,158
	492,263,978	488,362,568
Certificates of deposit	**48,618,494**	30,799,289
	540,882,472	519,161,857

17 Customer accounts and other deposits *(continued)*

	2020 AED'000	2019 AED'000
By location:		
UAE	**388,206,397**	394,392,055
Europe	**36,547,379**	31,836,181
Arab countries	**26,289,020**	34,296,726
Americas	**29,066,952**	16,872,179
Asia	**10,199,722**	9,531,168
Others	**1,954,508**	1,434,259
	492,263,978	488,362,568
Certificates of deposit	**48,618,494**	30,799,289
	540,882,472	519,161,857

Concentration by location is based on the residential status of the depositors.

Islamic customers' deposits

Included in the above Customer accounts and other deposits are the following Islamic term deposits:

	2020 AED'000	2019 AED'000
Wakala deposits	**1,331,375**	1,754,317
Mudaraba deposits	**101,580**	136,227
	1,432,955	1,890,544

18 Term borrowings

	2020 AED'000	2019 AED'000
At amortised cost	**61,970,222**	55,352,794
At fair value through profit or loss	**466,881**	399,025
	62,437,103	55,751,819

During the year, the Group has issued various fixed and floating rate notes. The nominal values of the notes issued during the year are stated below:

	2020 AED'000	2019 AED'000
As at 1 January	**55,751,819**	42,268,173
New issuances	**16,692,127**	23,906,212
Redemptions	**(11,960,709)**	(13,529,379)
Fair valuation, exchange and other adjustments	**1,953,866**	3,106,813
As at 31 December	**62,437,103**	55,751,819

18 Term Borrowings *(continued)*

Currency	Interest	2020 Up to 3 months AED'000	2020 3 months to 1 year AED'000	2020 1 to 3 years AED'000	2020 3 to 5 years AED'000	2020 Over 5 years AED'000	2020 Total AED'000	2019 Up to 3 months AED'000	2019 3 months to 1 year AED'000	2019 1 to 3 years AED'000	2019 3 to 5 years AED'000	2019 Over 5 Years AED'000	2019 Total AED'000
AED	Fixed rate of 4.00% to 4.20% p.a.	-	-	-	3,730	94,697	98,427	-	-	-	3,689	92,988	96,677
AUD	Fixed rate of 3.17% p.a.	-	86,397	-	-	-	86,397	-	77,803	78,468	-	-	156,271
AUD	3 month AUD BBSW + upto 0.085% p.a.	-	-	71,129	1,089,438	86,864	1,247,431	-	-	64,403	-	77,557	141,960
CHF	Fixed rate of 0.08% to 0.625% p.a.	-	-	1,676,993	2,097,570	615,825	4,390,388	-	-	762,375	2,089,794	1,118,045	3,970,214
CNH	Fixed rate of 4% to 4.8% p.a.	509,980	995,800	228,496	4,733,608	-	6,467,884	105,760	58,750	1,459,407	1,406,112	-	3,030,029
EUR	Fixed rate of 0.516% to 3.00% p.a.	-	-	-	599,962	278,672	878,634	-	103,202	-	101,366	629,286	833,854
EUR	3 month EURIBOR + 0.33% p.a.	-	-	-	-	-	-	-	246,699	-	-	-	246,699
GBP	Fixed rate of 1.375% to 2.205% p.a.	-	126,411	2,285,968	145,189	108,726	2,666,294	-	-	121,897	-	233,411	355,308
GBP	3 Month GBP LIBOR + till 0.045% p.a.	-	125,389	101,384	-	-	226,773	-	1,647,446	121,012	-	-	1,768,458
HKD	Fixed rate of 1.5% to 4.18% p.a.	76,186	-	1,035,001	587,710	249,521	1,948,418	75,378	169,701	599,435	482,837	231,203	1,558,554
JPY	Fixed rate of 2.60% p.a.	-	-	-	-	372,239	372,239	-	-	-	-	357,315	357,315
MXN	Fixed rate of 0.50% p.a.	-	-	-	-	6,424	6,424	-	-	-	-	3,010	3,010
MYR	Fixed rate of 4.90% p.a.	-	-	-	-	-	-	-	450,428	-	-	-	450,428
USD	Fixed rate of till 5.207% p.a.	610,015	3,256,479	13,493,360	9,892,511	4,958,527	32,210,892	5,870,694	72,519	2,354,991	7,770,416	14,434,213	30,502,833
USD	3 Month LIBOR + till 0.244% p.a.	-	514,220	6,308,558	4,830,474	183,650	11,836,902	346,410	1,368,711	4,628,328	5,753,110	183,650	12,280,209
		1,196,181	5,104,696	25,200,889	23,980,192	6,955,145	62,437,103	6,398,242	4,195,259	10,190,316	17,607,324	17,360,678	55,751,819

18 Term borrowings *(continued)*

During the year, the Group has issued various fixed and floating rate notes. The Group hedges its currency and interest rate exposure on these notes. The nominal values of the notes issued during the year are stated below:

	2020 AED'000	2019 AED'000
Fixed rate		
AED	-	96,677
CHF	-	1,896,474
CNH	**3,428,729**	1,409,954
EUR	-	213,306
USD	**8,150,038**	10,972,190
GBP	**2,249,361**	232,633
HKD	**497,421**	400,003
Floating rate		
AUD	**1,077,930**	77,331
USD	**1,231,413**	10,627,704
EUR	-	1,768,981
GBP	**102,322**	-
	16,737,214	27,695,253

The Group has hedged the interest rate and foreign currency exposure on term borrowings. The nominal value hedged are AED 49.67 billion *(2019: AED 45.71 billion)* and the risks being hedged have a net positive fair value of AED 1,057.06 million *(2019: net negative fair value of AED 499.27 million).* The Group has not had any defaults of principal, interests, or other breaches with respect to its term borrowings during 2020 and 2019.

19 Subordinated notes

	2020 AED'000	2019 AED'000
10 December 2012 issue *(4.75 percent fixed rate maturing on 9 December 2027)*	**470,805**	381,305

The Group has hedged the interest rate and foreign currency exposure on the subordinated notes. The Group has not had any defaults of principal, interests, or other breaches with respect to its subordinated notes during the year ended 31 December 2020.

20 Other liabilities

	2020 AED'000	2019 AED'000
Interest payable	**5,833,330**	8,631,724
Acceptances - net of discounting *(note 13)*	**3,870,232**	5,039,143
Provision employees' end of service benefits	**464,604**	469,894
Accounts payable, sundry creditors and other liabilities	**12,122,067**	9,005,759
Overseas income tax	**297,005**	194,259
	22,587,238	23,340,779

20 Other liabilities *(continued)*

Employees end of service benefits

Defined benefit obligations
The Group provides for end of service benefits for its eligible employees. An actuarial valuation has been carried out as at December 31, 2020 to ascertain present value of the defined benefit obligation. A registered actuary in the UAE was appointed to evaluate the same. The present value of the defined benefit obligation, and the related current and past service cost, were measured using the Projected Unit Credit Method.

The following key assumptions (weighted average rates) were used to value the liabilities:

	2020	**2019**
Discount rate	**2.23 % per annum**	3.13 % per annum
Salary increase rate	**2.32 % per annum**	2.30 % per annum

Demographic assumptions for mortality, withdrawal and retirement were used in valuing the liabilities and benefits under the plan. Because of the nature of the benefit, which is a lump sum payable on exit due to any cause, a combined single decrement rate has been used.

A shift in the in the discount rate assumption by +/- 50 basis points would impact the liability by AED 10,588 thousand and AED 11,172 thousand respectively. Similarly, a shift in the salary increment assumption by +/- 50 basis points would impact the liability by AED 11,097 thousand and AED 10,621 thousand respectively.

The movement in the employees' end of service obligation was as follows:

	2020	2019
	AED'000	AED'000
Balance at 1 January	**469,894**	472,607
Net charge during the year	**65,074**	68,354
Remeasurement gains/losses in OCI	**18,760**	21,980
Paid during the year and other adjustments	**(89,124)**	(93,047)
Balance at 31 December	**464,604**	469,894

Defined contribution plan
The Group pays contributions for its eligible employees which are treated as defined contribution plans. The charge for the year in respect of these contributions is AED 87,314 thousand *(2019: AED 91,718 thousand)*. As at the reporting date, pension payable of AED 14,950 thousand (*2019: AED 12,662 thousand*) has been classified under other liabilities.

Overseas income tax

The Group has provided for overseas income tax in accordance with management's estimate of the total amount payable based on tax rates enacted or substantially enacted as at the reporting date. Where appropriate the Group has made payments of tax on account in respect of these estimated liabilities.

The overseas income tax charge for the year is calculated based upon the adjusted net profit for the year. The movement in the provision was as follows:

	2020	2019
	AED'000	AED'000
Balance at 1 January	**194,259**	192,546
Charge for the year	**341,198**	314,463
Overseas income tax paid, net of recoveries	**(238,452)**	(312,750)
At 31 December	**297,005**	194,259

21 Capital and reserves

Share Capital

	2020 AED'000	2019 AED'000
Ordinary shares of AED 1 each	**10,920,000**	10,920,000
Treasury shares of AED 1 each	**8,980**	18,864

At the Annual General Meeting (AGM) held on 25 February 2020, the shareholders of the Bank approved a cash dividend of AED 0.74 per ordinary shares amounting to AED 8,080 million (2018: AED 0.74 per ordinary share amounting to AED 8,064 million).

Statutory and special reserves

In accordance with the Bank's Articles of Association and the requirements of the Union Law No. (10) of 1980, a minimum of 10% of the annual net profit should be transferred to both statutory and special reserve until each of these reserves equal to 50% of the paid-up share capital. The Statutory and special reserve are not available for distribution to the shareholders. No transfers were made during the year because statutory and special reserve are equal to 50% of the paid-up share capital.

Dividends

The following dividends were paid by the Group during the year ended 31 December:

	2020 AED'000	2019 AED'000
Dividend on ordinary shares paid during the year	**7,891,730**	7,843,642

Other reserves

Other reserves include the following:

	Fair value reserve AED'000	*General reserve* AED'000	*Foreign currency translation reserve* AED'000	*Revaluation reserve* AED'000	*IFRS 9 reserve - specific* AED'000	*IFRS 9 reserve – collective* AED'000	*Total* AED'000
As at 1 January 2020	**1,361,293**	**228,265**	**(354,657)**	**280,601**	**315,908**	**642,622**	**2,474,032**
Other comprehensive income for the year	**(185,270)**	**-**	**(23,194)**	**-**	**-**	**-**	**(208,464)**
Transfer during the year	**-**	**-**	**-**	**(280,601)**	**-**	**-**	**(280,601)**
IFRS 9 reserve movement	**-**	**-**	**-**	**-**	**905,088**	**-**	**905,088**
Realised gain on sale of FVOCI investment	**(7,634)**	**-**	**-**	**-**	**-**	**-**	**(7,634)**
As at 31 December 2020	**1,168,389**	**228,265**	**(377,851)**	**-**	**1,220,996**	**642,622**	**2,882,421**

21 Capital and reserves *(continued)*

Other reserves *(continued)*

	Fair value reserve AED'000	*General reserve* AED'000	*Foreign currency translation reserve* AED'000	*Revaluation reserve* AED'000	*IFRS 9 reserve – specific* AED'000	*IFRS 9 reserve – collective* AED'000	*Total* AED'000
As at 1 January 2019	(598,021)	228,265	(310,931)	280,601	297,621	64,988	(37,477)
Other comprehensive income for the year	1,968,488	-	(43,726)	-	-	-	1,924,762
Transfer during the year	-	-	-	-	-	-	-
IFRS 9 reserve movement	-	-	-	-	18,287	577,634	595,921
Realised gain on sale of FVOCI investment	(9,174)	-	-	-	-	-	(9,174)
As at 31 December 2019	1,361,293	228,265	(354,657)	280,601	315,908	642,622	2,474,032

(i) Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of non-trading investments, until the investment is derecognised or impaired, and cash flow hedge reserve.

	Revaluation reserve – instruments at FVOCI AED'000	*Hedging reserve – cash flow hedge* AED'000	*Total* AED'000
As at 1 January 2020	**1,376,357**	**(15,064)**	**1,361,293**
Net fair value changes	**473,457**	**15,129**	**488,586**
Net cumulative realised gains recognised in the consolidated statement of profit or loss during the year	**(653,246)**	-	**(653,246)**
Impact of ECL	**(28,244)**	-	**(28,244)**
As at 31 December 2020	**1,168,324**	**65**	**1,168,389**

As at 1 January 2019	(512,867)	(85,154)	(598,021)
Net fair value changes	2,633,928	70,090	2,704,018
Net cumulative realised gains recognised in the consolidated statement of profit or loss during the year	(861,904)	-	(861,904)
Impact of ECL	117,200	-	117,200
As at 31 December 2019	1,376,357	(15,064)	1,361,293

The hedging reserve comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments related to hedged transactions. During the year, there has been no significant transfer from cash flow hedge reserve to profit or loss.

21 Capital and reserves *(continued)*

Other reserves *(continued)*

(ii) General reserve

The general reserve is available for distribution to the shareholders at the recommendation of the Board of Directors.

(iii) Foreign currency translation reserve

Foreign currency translation reserve represents the exchange differences arising from translation of the net investment in foreign operations. During the year, there has been no significant transfer from foreign currency translation reserve to profit or loss.

(iv) IFRS 9 reserve

In accordance with CBUAE circular, during any period if provision under CBUAE guidance exceed provision calculated under IFRS 9, such excess is required to be apportioned from retained earnings to IFRS 9 reserve and this reserve shall not be adjusted for future excess provision. The details of the same as below:

	2020	2019
	AED'000	AED'000
Impairment reserve – Specific as at 31 December		
Specific provisions under Circular 28/2010 of CBUAE	**8,206,198**	6,341,246
Less: Stage 3 provisions under IFRS 9	**(6,985,202)**	(6,348,700)
Specific provision transferred to the impairment reserve	**1,220,996**	-
Balance carried forward from prior year	-	315,908
Closing balance	**1,220,996**	315,908

	2020	2019
	AED'000	AED'000
Impairment reserve – Collective as at 31 December		
Collective provisions under Circular 28/2010 of CBUAE	**6,617,775**	6,351,290
Less: Stage 1 and Stage 2 provisions under IFRS 9	**(6,616,462)**	(5,708,668)
Collective provision transferred to the impairment reserve	**-**	642,622
Balance carried forward from prior year	**642,622**	-
Closing balance	**642,622**	642,622

22 Tier 1 capital notes

		2020 AED'000	2019 AED'000
Government of Abu Dhabi Notes (6 month EIBOR plus 2.3 percent per annum)	AED	**8,000,000**	8,000,000
USD 750 million Notes (5.25 percent fixed rate until 2020, thereafter 5 year mid swap rate plus 3.35 percent per annum)	USD	**-**	2,754,750
USD 750 million Notes (4.50 percent fixed rate per annum, thereafter reset on the First Date and every sixth anniversary thereafter on the basis of the aggregate of the Margin and the Relevant Six-Year reset on the relevant U.S. Securities Determination Date)	USD	**2,754,750**	-
		10,754,750	10,754,750

Tier 1 capital notes are perpetual, subordinated, unsecured and carry coupons to be paid semi-annually in arrears. The Bank may elect not to pay a coupon at its own discretion. The note holder does not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default. In addition, there are certain circumstances under which the Bank is prohibited from making a coupon payment on a relevant coupon payment date.

If the Bank makes a non-payment election or a non-payment event occurs, then the Bank will not (a) declare or pay any distribution or dividend or (b) redeem, purchase, cancel, reduce or otherwise acquire any of the share capital or any securities of the Group ranking pari passu with or junior to the Notes except securities, the term of which stipulate a mandatory redemption or conversion into equity, in each case unless or until two consecutive coupon payments have been paid in full.

During the year, the Bank has repaid off AED 2,754,750 thousand (USD 750 million) of tier 1 notes coupon payment election was made by the Bank in the amount of AED 426,253 thousand *(31 December 2019: AED 571,855 thousand).* Subsequently, in the month of October 2020, the Bank has issued new tier 1 capital notes amounting to AED 2,754,750 thousand (USD 750 million).

23 Share based payment

The Group had introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the next three years after the vesting period. The key vesting condition is that the option holder is in continued employment with the Group until the end of the vesting period. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The Group established a subsidiary to issue shares when the vested option is exercised by the employee. These shares are treated as treasury shares until exercised by the option holders.

During the year, 9,884 thousand shares *(31 December 2019: 29,121 thousand)* had been awarded, therefore reallocated from treasury shares held to share capital by AED 9,884 thousand *(31 December 2019: AED 29,121 thousand) and* share premium has been adjusted by AED 104,123 thousand *(31 December 2019: AED 246,418 thousand)* accordingly relating to this.

24 Interest income

	2020 AED'000	2019 AED'000
Interest from:		
Central banks	**425,554**	976,641
Banks and financial institutions	**1,782,108**	1,427,702
Reverse repurchase agreements	**487,804**	700,208
Investments at fair value through profit or loss	**216,238**	343,327
Non-trading investments	**3,306,934**	3,194,015
Loans and advances	**13,881,567**	17,727,054
	20,100,205	24,368,947

25 Interest expense

	2020 AED'000	2019 AED'000
Interest to:		
Banks and financial institutions	**2,163,411**	1,525,185
Repurchase agreements	**449,187**	1,171,377
Commercial paper	**176,129**	481,252
Customer accounts and other deposits	**3,278,323**	6,669,362
Term borrowings	**1,755,689**	1,725,839
Subordinated notes	**20,987**	21,130
	7,843,726	11,594,145

26 Net fee and commission income

	2020 AED'000	2019 AED'000
Fee and commission income		
Trade finance	**875,266**	907,730
Collection services	**12,856**	17,930
Brokerage income	**40,903**	25,743
Asset management and investment services	**57,898**	56,325
Investments, derivatives and risk participation	**1,875**	6,794
Retail and corporate lending	**1,502,065**	1,502,355
Cards and e-services	**1,499,029**	1,764,010
Accounts related services	**38,360**	54,379
Commission on transfers	**93,587**	107,084
Others	**223,695**	288,338
Total fee and commission income	**4,345,534**	4,730,688
Fee and commission expense		
Brokerage commission	**51,860**	54,002
Credit card charges	**1,068,938**	1,076,309
Retail and corporate lending	**279,731**	378,837
Others	**41,864**	52,111
Total fee and commission expense	**1,442,393**	1,561,259
Net fee and commission income	**2,903,141**	3,169,429

27 Net foreign exchange gain

	2020 AED'000	2019 AED'000
Trading and retranslation gain on foreign exchange and related derivatives[1,2]	**592,846**	1,907,725
Dealings with customers[3]	**647,509**	693,253
	1,240,355	2,600,978

[1] Due to effective hedging strategies, the offsetting impact of hedging instruments is reflected in the net gains from sale of non-trading investments *(note 28)*.
[2]Includes negative interest income of AED 420.0 million *(2019: AED 366.49 million)* arising from placement with ECB.
[3]The comparatives have been restated to include customer facing portfolios which were in the prior periods included within Trading and retranslation gain on foreign exchange and related derivatives.

28 Net gain on investments and derivatives

	2020 AED'000	2019 AED'000
Net realised and unrealised gain on investments at fair value through profit or loss and derivatives	**264,584**	611,253
Net gain from sale of non-trading investments	**653,246**	861,902
Dividend income	**33,197**	33,122
	951,027	1,506,277

29 Other Operating Income

	2020 AED'000	2019 AED'000
Investment property income / (loss)	**208,997**	(6,068)
Leasing related income	**119,792**	126,772
Gain on sale of property and equipment	**737,371**	28,929
Other income[1]	**156,749**	47,938
	1,222,909	197,571

[1] During the year, the Bank disposed of it's legacy license held by First Gulf Bank which had earlier been held at zero value. The sale was finalized in December 2020 and a gain of AED 200 million is included within Other Income relating to this.

30 General, administration and other operating expenses

	2020 AED'000	2019 AED'000
Staff costs	**2,783,567**	3,205,375
Other general and administration expenses	**1,438,797**	1,560,519
Depreciation *(note 11)*	**567,361**	451,312
Amortisation of intangibles *(note 12)*	**201,223**	201,624
Sponsorships and donations	**69,317**	80,161
	5,060,265	5,498,991

31 Net impairment charge

	2020 AED'000	2019 AED'000
Impairment charge / (reversal) on		
loans and advances	**2,629,156**	1,742,435
other financial assets	**26,787**	(38,267)
unfunded exposure	**107,087**	181,570
other non-financial instruments	**1,071**	1,353
Recoveries	**(241,735)**	(344,835)
Write-off of impaired financial assets	**97,574**	300,724
	2,619,940	1,842,980

32 Overseas income tax expense

In addition to adjustments relating to deferred taxation, the charge for the year is calculated based upon the adjusted net profit for the year at rates of tax applicable in respective overseas locations.

The charge to the consolidated statement of profit or loss for the year was as follows:

	2020 AED'000	2019 AED'000
Charge for the year	**341,198**	314,463

32 Overseas income tax expense *(continued)*

Reconciliation of Group's tax on profit based on accounting and profit as per the tax laws is as follows:

	2020 AED'000	2019 AED'000
Profit before taxation	**10,893,706**	12,907,086
Effect of higher tax rates in Overseas jurisdictions	**285,240**	313,646
Tax effects of:		
- Income not subject to tax	**-**	827
- Expenses not deductible for tax purpose	**(11,049)**	(14,102)
- Utilisation of previously unrecognised deferred tax	**18,082**	1,705
- Prior year adjustments – Corporation Tax	**9,229**	(1,759)
- Prior year adjustments – Deferred Tax	**1,433**	(5,340)
- Withholding tax deducted at source	**25,126**	10,538
- Mandatory remittance tax	**13,137**	8,948
	341,198	314,463

33 Cash and cash equivalents

	2020 AED'000	2019 AED'000
Cash and balances with Central Banks	**228,009,148**	169,855,176
Due from banks and financial institutions	**27,430,792**	17,074,471
	255,439,940	186,929,647
Less: Balances with Central Banks maturing after three months of placement	**(16,103,734)**	(21,493,508)
Less: Due from banks and financial institutions maturing after three months of placement	**(146,969)**	(14,091,205)
	239,189,237	151,344,934

34 Leases

The Group leases a number of branch and office premises. The leases typically run for a period of 10 years, with an option to renew the lease after that date. For some leases, payments are renegotiated every five years to reflect market rentals. Some leases provide for additional rent payments that are based on changes in local price indices.

The Group also leases IT equipment with contract terms of one to three years. These leases are short-term and/or leases of low-value items. The Group has elected not to recognise right-of-use assets and lease liabilities for these leases.

Information about leases for which the Group is a lessee is presented below and these are grouped with property and equipment:

Leases as lessee

Right-of-use assets

The movement during the year of right-of-use is as follows:

	2020	2019
	AED '000	AED '000
Balance as at 1 January	**217,181**	130,152
Net increase during the year	**67,883**	144,715
Depreciation and other adjustments	**(44,493)**	(57,686)
Balance as at 31 December	**240,571**	217,181

Lease liabilities

	2020	2019
	AED '000	AED '000
Maturity analysis – contractual undiscounted cash flows		
Less than one year	**105,644**	70,455
One to five years	**309,477**	161,209
More than five years	**26,513**	26,011
Total undiscounted lease liabilities at 31 December	**441,634**	257,675

Amounts recognised in profit or loss

	2020	2019
	AED '000	AED '000
Interest on lease liabilities	**11,238**	6,005
Depreciation charge for the year	**71,525**	51,789
Expenses relating to short-term leases and low-value assets	**44,942**	73,249
	127,705	131,043

35 Commitments and contingencies

The Group, in the ordinary course of business, enters into various types of transactions that involve undertaking certain commitments such as letters of credit, guarantees and undrawn loan commitments.

There were no other significant changes in contingent liabilities and commitments during the year other than those arising out of normal course of business.

	2020 AED'000	2019 AED'000
Letter of credit	**61,406,469**	63,227,522
Letters of guarantees	**105,216,467**	102,673,707
Financial guarantees	**129,940**	2,020,873
Trade contingencies	**166,752,876**	167,922,102

	2020 AED'000	2019 AED'000
Undrawn commitment to extend credit	**74,582,341**	39,442,026
Commitments for future capital expenditure	**819,667**	841,722
Commitments for future private equity investments	**536,571**	794,001
	75,938,579	41,077,749
Total commitments and contingencies	**242,691,455**	208,999,851

Credit risk characteristics of these unfunded facilities closely resemble the funded facilities as described in note 43(a) are neither past due nor impaired.

Letters of credit and guarantee ("Trade contingencies") commit the Group to make payments on behalf of customers' contingent upon the production of documents or the failure of the customer to perform under the terms of the contract.

Commitments to extend credit represent contractual commitments to extend loans and revolving credits. Commitments generally have fixed expiration dates or other termination clauses and may require a payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash requirements.

Financial guarantee contracts includes credit default agreements entered with banks and financial institutions amounting to AED 73.5 million *(2019: AED 73.5 million)* which are primarily denominated in US Dollars.

Financial guarantee contracts mainly pertain to the banks and financial institutions.

35 Commitments and contingencies *(continued)*

Concentration by location:

	Undrawn loan commitments		Trade contingencies	
	2020	2019	**2020**	2019
	AED'000	AED'000	**AED'000**	AED'000
UAE	**59,937,746**	24,763,624	**114,852,725**	116,513,529
Europe	**6,120,020**	5,753,526	**19,713,720**	19,210,556
Arab countries	**3,325,351**	3,092,043	**9,330,286**	7,491,914
Americas	**2,533,674**	3,057,299	**11,803,669**	12,099,805
Asia	**1,455,644**	2,396,190	**9,778,194**	9,885,439
Others	**1,209,906**	379,344	**1,274,282**	2,720,859
	74,582,341	39,442,026	**166,752,876**	167,922,102

Concentration by location is based on the residential status of the customers.

36 Derivative financial instruments

In the ordinary course of business the Group enters into various types of transactions that involve derivative financial instruments. Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives enable users to increase, reduce or alter exposure to credit or market risks. Derivative financial instruments include forwards, futures, swaps and options. These transactions are primarily entered with banks and financial institutions.

Forwards and futures

Currency forwards represent commitments to purchase foreign and/or domestic currencies, including non-deliverable spot transactions (i.e. the transaction is net settled). Forward rate agreements are individually negotiated interest rate futures that call for a cash settlement at a future date for the difference between a contracted rate of interest and the current market rate, based on a notional principal amount. Foreign currency and interest rate futures are contractual obligations to receive or pay a net amount based on changes in currency rates or interest rates, or to buy or sell foreign currency or a financial instrument on a future date at a specified price, established in an organised financial market. The credit risk for futures contracts is negligible, as they are collateralised by cash or marketable securities, and changes in the futures' contract value are settled daily with the exchange.

Swaps

Currency and interest rate swaps are commitments to exchange one set of cash flows for another. Swaps result in an economic exchange of currencies or interest rates (for example, fixed rate for floating rate) or a combination of all these (i.e., cross-currency interest rate swaps). No exchange of principal takes place, except for certain cross currency swaps. The Group's credit risk represents the potential loss if counterparties fail to fulfil their obligation. This risk is monitored on an ongoing basis with reference to the current fair value, notional amount of the contracts and the liquidity of the market. To control the level of credit risk taken, the Group assesses counterparties using the same techniques as for its lending activities.

Options

Options are contractual agreements under which the seller (writer) grants the purchaser (holder) the right, but not the obligation, either to buy (a call option) or sell (a put option) at or by a set date or during a set period, a specific amount of a financial instrument at a predetermined price. The seller receives a premium from the purchaser in consideration for the assumption of risk. Options may be either exchange-traded or negotiated between the Group and a customer over the counter (OTC).

Derivatives are measured at fair value by reference to published price quotations in an active market. Where there is no active market for an instrument, fair value is derived from prices for the derivative's components using appropriate pricing or valuation models like counterparty prices or valuation techniques such as discounted cash flows, market prices, yield curves and other reference market data.

The table below shows the positive and negative fair values of derivative financial instruments, which are equivalent to their fair values, together with the notional amounts analysed by the term to maturity. The notional amount is the amount of a derivative's underlying, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

36 Derivative financial instruments *(continued)*

31 December 2020

	Positive market value	Negative market value	Notional amount	Notional amounts by term to maturity: Less than three months	From three months to one year	From one year to three years	From three years to five years	Over five years
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Held for trading:								
Interest rate derivatives								
Swaps	25,182,835	25,928,742	1,457,039,482	181,895,692	246,303,523	406,721,160	261,036,759	361,082,348
Forwards & Futures	5,826	12,384	106,439,606	23,930,835	67,829,857	14,513,630	165,284	-
Options & Swaptions	124,048	176,464	280,868,236	107,780,270	169,372,394	3,617,669	97,903	-
Foreign exchange derivatives								
Forwards	2,517,378	2,716,509	290,992,042	176,764,134	71,268,392	38,047,766	4,450,177	461,573
Options	362,710	246,448	77,414,426	29,935,411	42,218,354	5,260,661	-	-
Other derivatives contracts	1,621,643	638,177	32,107,295	2,332,441	3,329,787	5,602,985	19,847,064	995,018
	29,814,440	29,718,724	2,244,861,087	522,638,783	600,322,307	473,763,871	285,597,187	362,538,939
Held as fair value hedges:								
Interest rate derivatives								
Swaps	2,739,073	8,990,274	183,150,369	13,959,701	31,160,472	30,699,701	43,147,149	64,183,346
	2,739,073	8,990,274	183,150,369	13,959,701	31,160,472	30,699,701	43,147,149	64,183,346
Held as cash flow hedges								
Interest rate derivatives								
Swaps	5,341	18,989	2,475,030	-	1,007,730	1,000,000	-	467,300
Foreign exchange derivatives								
Forwards	27	104,017	17,978,502	17,978,502	-	-	-	-
	5,368	123,006	20,453,532	17,978,502	1,007,730	1,000,000	-	467,300
Total	32,558,881	38,832,004	2,448,464,988	554,576,986	632,490,509	505,463,572	328,744,336	427,189,585

36 Derivative financial instruments *(continued)*

31 December 2019				Notional amounts by term to maturity				
	Positive market value	Negative market value	Notional amount	Less than three months	From three months to one year	From one year to three years	From three years to five years	Over five years
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Held for trading:								
Interest rate derivatives								
Swaps	11,824,387	13,050,401	1,354,394,679	210,476,933	251,548,568	417,580,845	191,507,168	283,281,165
Forwards & Futures	11,672	14,460	63,092,794	20,388,639	40,495,083	1,364,282	293,840	550,950
Options & Swaptions	97,029	160,003	132,010,216	83,466,280	40,681,071	6,981,536	183,650	697,679
Foreign exchange derivatives								
Forwards	1,775,128	1,947,857	339,425,825	164,537,645	119,486,036	47,338,549	7,688,952	374,643
Options	178,057	111,871	64,758,853	18,826,365	39,234,421	6,689,379	8,688	-
Other derivatives contracts	1,177,801	303,608	11,638,589	5,326,346	1,783,324	2,513,361	1,923,733	91,825
	15,064,074	15,588,200	1,965,320,956	503,022,208	493,228,503	482,467,952	201,606,031	284,996,262
Held as fair value hedges:								
Interest rate derivatives								
Swaps	826,068	3,453,143	150,671,464	28,607,570	12,559,318	20,755,142	30,678,692	58,070,742
	826,068	3,453,143	150,671,464	28,607,570	12,559,318	20,755,142	30,678,692	58,070,742
Held as cash flow hedges								
Interest rate derivatives								
Swaps	-	3,506	4,643,918	907,287	2,754,750	981,881	-	-
Foreign exchange derivatives								
Forwards	27,179	183,692	21,254,879	21,254,879	-	-	-	-
Total	27,179	187,198	25,898,797	22,162,166	2,754,750	981,881	-	-
	15,917,321	19,228,541	2,141,891,217	553,791,944	508,542,571	504,204,975	232,284,723	343,067,004

36 Derivative financial instruments *(continued)*

The positive / negative fair value in respect of derivatives represents the gain/loss respectively, arising on fair valuation of the trading and hedging instrument. These amounts are not indicative of any current or future losses, as a similar positive / negative amount has been adjusted to the carrying value of the hedged loans and advances, non-trading investments, term borrowings and subordinated notes.

As at December 31, 2020, the Group received cash collateral of AED 6,471.8 million *(2019: AED 3,010.9 million)* against positive fair value of derivative assets from certain counterparties. Correspondingly, the Group placed cash collateral of AED 7,800.1 million *(2019: AED 12,915.5 million)* against the negative fair value of derivative liabilities.

Derivative related credit risk

This is limited to the positive fair value of instruments that are favourable to the Group. These transactions are primarily entered with banks and financial institutions.

Derivatives held for trading

The Group uses derivatives, not designated in a qualifying hedge relationship, to manage its exposure to foreign currency, interest rate and credit risks or initiates positions with the expectation of profiting from favourable movement in prices, rates or indices. The instruments used mainly include interest rate and currency swaps and forward contracts. The fair values of those derivatives are shown in the table above.

Derivatives held as fair value hedge

The Group uses derivative financial instruments for hedging purposes as part of its asset and liability management strategy by taking offsetting positions in order to reduce its own exposure to fluctuations in exchange and interest rates. The Group uses interest rate swaps to hedge against the changes in fair value arising from specifically identified interest bearing assets such as loans and advances, non-trading investments, term borrowings and subordinate notes. The Group uses forward foreign exchange contracts and currency swaps to hedge against specifically identified currency risks.

Derivatives held as cash flow hedge

The Group uses forward contracts to hedge the foreign currency risk arising from its financial instruments. The Group has substantially matched the critical terms of the derivatives to have an effective hedge relationship.

37 Segmental information

The operating structure consists of four key Business segments across Geographic segments that are driving the business strategy, customer value propositions, products and channel development and customer relationships in addition to supporting the delivery of the Group's financial performance.

Business segments

Corporate & Investment Banking ("CIB")
Covers corporate, institutional and SME clients through dedicated client segments (Corporate Banking, Institutional Banking, Commercial Banking, Privileged Clients Groups, Financial Institutions and Business Banking Group). CIB offers Credit facilities, Global Transaction Services, Corporate Finance, Islamic Finance and Global Markets products to both UAE and international clients.

CIB also includes a diversified business model supported by complementary offerings provided across real estate, property management services through subsidiaries partially or fully owned by the Group, namely FAB Properties, ADNP and Mismak.

Personal Banking Group ("PBG")
The business targets retail, affluent, high net-worth customers and Islamic consumer finance. The products' ranges offered include every day banking products such as current accounts, deposits, credit cards, loans, sophisticated investment solutions and brokerage and securities services. The business furnishes variety of distribution and sales channels, including mobile and internet banking, branches, direct sales agents and through its banking subsidiaries namely Dubai First, Aseel and First Abu Dhabi Islamic Finance and FAB securities.

Subsidiaries
This business covers a subsidiary which is partially owned by the Bank, namely First Gulf Libyan Bank.

Head office
The Group provides centralized human resources, information technology, operations, finance, strategy, investor relations, risk management, credit management, corporate communications, legal & compliance, internal audit, procurement, treasury operations and administrative support to all of its business units.

Geographic segments
The Group is managing its various business segments through a network of branches, subsidiaries and representative offices within the two defined geographic segments which are UAE and International. International business is further sub-divided into two major regions which are Europe, Americas, Middle East and Africa ("EAMEA") and Asia Pacific ("APAC").

- **Europe, Americas, Middle East and Africa (EAMEA)**
  FAB network in the EAMEA region is operated through its presence in United States of America, Brazil, United Kingdom, France, Switzerland, Oman, Bahrain, Qatar, Egypt, Sudan, Kuwait, Lebanon, Jordan, and Kingdom of Saudi Arabia.

- **Asia Pacific (APAC)**
  FAB's business in the Asia region is run through its presence in Singapore, China/Hong kong, Malaysia and India.

37 Segmental information *(continued)*

	Business Segment					Geographic Segment			
	Corporate and Investment Banking AED'000	Personal Banking Group AED'000	Subsidiaries AED'000	Head Office AED'000	Total AED'000	UAE AED'000	Europe, Americas, Middle East and Africa AED'000	Asia - Pacific AED'000	Total AED'000
For the year ended 31 December 2020									
Net Interest income	7,199,803	4,836,269	3,106	217,301	12,256,479	9,922,305	1,918,424	415,750	12,256,479
Net non-interest income	4,873,271	1,319,346	31,382	93,433	6,317,432	5,646,105	493,419	177,908	6,317,432
Operating income	12,073,074	6,155,615	34,488	310,734	18,573,911	15,568,410	2,411,843	593,658	18,573,911
General administration and other operating expenses	2,306,055	2,521,155	27,663	205,392	5,060,265	3,968,323	865,795	226,147	5,060,265
Net impairment charge	1,241,391	1,382,160	9,182	(12,793)	2,619,940	1,949,151	252,780	418,009	2,619,940
Profit before taxation	8,525,628	2,252,300	(2,357)	118,135	10,893,706	9,650,936	1,293,268	(50,498)	10,893,706
Overseas taxation	266,430	43,179	1,193	30,396	341,198	28,042	279,208	33,948	341,198
Net profit for the year	8,259,198	2,209,121	(3,550)	87,739	10,552,508	9,622,894	1,014,060	(84,446)	10,552,508
As at 31 December 2020									
Segment total assets	809,539,992	102,960,943	3,843,838	84,838,429	1,001,183,202	714,888,880	274,538,582	40,307,398	1,029,734,860
Inter segment balances					(82,122,670)				(110,674,328)
Total assets					919,060,532				919,060,532
Segment total liabilities	653,364,307	82,515,217	3,111,864	153,152,822	892,144,210	644,969,060	244,887,735	30,839,073	920,695,868
Inter segment balances					(82,122,670)				(110,674,328)
Total liabilities					810,021,540				810,021,540

37 Segmental information *(continued)*

	Business Segment					Geographic Segment			
	Corporate and Investment Banking AED'000	Personal Banking Group AED'000	Subsidiaries AED'000	Head Office AED'000	Total AED'000	UAE AED'000	Europe, Americas, Middle East and Africa AED'000	Asia - Pacific AED'000	Total AED'000
For the year ended 31 December 2019									
Net Interest income	5,886,735	5,291,535	11,150	1,585,382	12,774,802	10,973,048	1,443,436	358,318	12,774,802
Net non-interest income	5,994,408	1,363,837	53,922	62,088	7,474,255	6,371,610	777,402	325,243	7,474,255
Operating income	11,881,143	6,655,372	65,072	1,647,470	20,249,057	17,344,658	2,220,838	683,561	20,249,057
General administration and other operating expenses	2,363,051	2,699,636	38,358	397,946	5,498,991	4,388,262	886,809	223,920	5,498,991
Net impairment charge	816,691	1,132,059	(122,941)	17,171	1,842,980	1,628,271	116,513	98,196	1,842,980
Profit before taxation	8,701,401	2,823,677	149,655	1,232,353	12,907,086	11,328,125	1,217,516	361,445	12,907,086
Overseas taxation	220,230	70,645	6,990	16,598	314,463	2,811	227,890	83,762	314,463
Net profit for the year	8,481,171	2,753,032	142,665	1,215,755	12,592,623	11,325,314	989,626	277,683	12,592,623
As at 31 December 2019									
Segment total assets	776,006,278	96,870,756	4,112,823	121,605,035	998,594,892	676,908,965	198,604,553	45,150,614	920,664,132
Inter segment balances					(176,626,877)				(98,696,117)
Total assets					821,968,015				821,968,015
Segment total liabilities	566,986,703	80,789,429	3,239,287	239,542,437	890,557,856	584,573,030	190,236,429	37,817,637	812,627,096
Inter segment balances					(176,626,877)				(98,696,117)
Total liabilities					713,930,979				713,930,979

38 Earnings per share

Earnings per share is calculated by dividing the net profit for the year after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the year as set out below:

	2020	2019
Basic earnings per share:		
Net profit for the year (AED'000)	**10,555,229**	12,520,203
Less: payment on Tier 1 capital notes (AED'000)	**(426,253)**	(571,855)
Net profit after payment of Tier 1 capital notes (AED'000)	**10,128,976**	11,948,348
Weighted average number of ordinary shares:		
Number of shares issued / deemed to be outstanding from the beginning of the year ('000)	**10,901,136**	10,872,015
Weighted average number of shares exercised under the share options scheme ('000)	**4,554**	23,692
Weighted average number of ordinary shares ('000)	**10,905,690**	10,895,707
Basic earnings per share (AED)	**0.93**	1.10
Diluted earnings per share:		
Net profit for the year for calculating diluted earnings per share (AED'000)	**10,128,976**	11,948,348
Weighted average number of ordinary shares ('000)	**10,905,690**	10,895,707
Weighted average number of dilutive shares under share options scheme ('000)	**1,172**	3,875
Weighted average number of ordinary shares in issue for diluted earnings per share ('000)	**10,906,862**	10,899,582
Diluted earnings per share (AED)	**0.93**	1.10

39 Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions. Related parties comprise major shareholder, directors and key management personnel of the Group. Key management personnel comprise those executive committee members "EXCO" of the Group who are involved in the strategic planning and decision making of the Group. The terms of these transactions are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

	2020				2019
	BOD AED'000	**Major shareholders AED'000**	**Senior management AED'000**	**Total AED'000**	Total AED'000
Balances with related parties at the reporting date are shown below:					
Financial assets	**10,900,278**	**62,692,025**	**16,111**	**73,608,414**	50,378,990
Financial liabilities	**33,528,213**	**31,574,675**	**27,887**	**65,130,775**	44,841,529
Contingent liabilities	**3,015,537**	**16,660,432**	**-**	**19,675,969**	12,977,634

Transactions carried out during the year ended with related parties are shown below:

	2020				2019
Interest & Other income	**803,582**	**1,760,949**	**331**	**2,564,862**	1,849,534
Interest expense	**646,065**	**94,070**	**433**	**740,568**	583,033

The details of the key management personnel remuneration is as below:

	2020 AED'000	2019 AED'000
Salaries and other benefits	**53,026**	54,752

No ECL has been charged during the year on the related party balances.

40 Fiduciary activities

The Group held assets under management in trust or in a fiduciary capacity for its customers at 31 December 2020 amounting to AED 6,786.1 million *(2019: AED 7,512.8 million)*. Furthermore, the Group provides custodian services for some of its customers.

The underlying assets held in a custodial or fiduciary capacity are excluded from these consolidated financial statements of the Group.

41 Special Purpose Entity

The Group has created a Special Purpose Entity (SPE) with defined objectives to carry on fund management and investment activities on behalf of customers. The equity and investments managed by the SPE are not controlled by the Group and the Group does not obtain benefits from the SPE operations, apart from commissions and fee income. In addition, the Group does not provide any guarantees or assume any liabilities of these entities. Consequently, the SPE assets, liabilities and results of operations are not included in these consolidated financial statements of the Group. The SPE is as follows:

Legal name	Activities	Country of incorporation	Holding 2020
One share PLC	Investment Company	Republic of Ireland	100%

42 Use of estimates and judgements

In the process of applying the Group's accounting policies, IFRS require the management to select suitable accounting policies, apply them consistently and make judgements and estimates that are reasonable and prudent and would result in relevant and reliable information. The management, based on guidance in IFRS and the IASB's Framework for the Preparation and Presentation of Financial Statements has made these estimates and judgements. Listed below are those estimates and judgement which could have the most significant effect on the amounts recognised in the consolidated financial statements.

Key sources of estimation uncertainty

(a) Going concern

The Group's management has made an assessment of the Group's ability to continue as a going concern and is satisfied that the Group has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the consolidated financial statements continue to be prepared on the going concern basis.

(b) Impairment charge on financial assets

Impairment losses are evaluated as described in accounting policy 3(c)(vii).

The measurement of impairment losses both under IFRS 9 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Bank's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

The Group's internal credit grading model, which assigns PDs to the individual grades

- The Group's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a lifetime ECL basis and the qualitative assessment
- The segmentation of financial assets when their ECL is assessed on a collective basis
- Development of ECL models, including the various formulas and the choice of inputs
- Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on PDs, EADs and LGDs
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models

It is the Group's policy to regularly review its models in the context of actual loss experience and adjust when necessary.

42 Use of estimates and judgements

Key sources of estimation uncertainty *(continued)*

(c) Impairment charge on property and equipment

Impairment losses are evaluated as described in accounting policy note 3(l)(iv).

In determining the net realisable value, the Group uses the selling prices determined by external independent valuer companies, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued. The selling prices are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction.

(d) Contingent liability arising from litigations

Due to the nature of its operations, the Group may be involved in litigations arising in the ordinary course of business. Provision for contingent liabilities arising from litigations is based on the probability of outflow of economic resources and reliability of estimating such outflow. Such matters are subject to many uncertainties and the outcome of individual matters is not predictable with assurance.

(e) Share option scheme

The fair value of the share option scheme is determined using the Black-Scholes model. The model inputs comprise of share price, exercise price, share price volatility, contractual life of the option, dividend yield and risk-free interest rate.

(f) Valuation of financial instruments

The valuation techniques of financial instruments may require certain unobservable inputs to be estimated by the management. These are discussed in detail in note 44.

(g) Defined benefit plan

The present value of the defined benefit obligation depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost (income) for obligations include the discount rate. Any changes in these assumptions would impact the carrying amount of the defined benefit obligation.

The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of the estimated future cash flows expected to be required to settle the future obligations. In determining the appropriate discount rate, the Group considers interest rate of high quality corporate bonds that are denominated in the currency in which the benefits will be paid and that have the terms to maturity approximating the terms of related benefit obligation.

Other key assumptions for defined benefit obligations are based in part on current market conditions. Additional information on these assumptions is disclosed in note 20.

Critical accounting judgements in applying the Group's accounting policies include:

(h) Financial asset and liability classification

The Group's accounting policies provide scope for financial assets and liabilities to be designated on inception into different accounting categories in certain circumstances. The classification criteria is mentioned in policy 3(c) (ii).

42 Use of estimates and judgements *(continued)*

Key sources of estimation uncertainty *(continued)*

(i) Qualifying hedge relationships

In designating financial instruments as qualifying hedge relationships, the Group has determined that it expects the hedge to be highly effective over the life of the hedging relationship.

(j) Determination of fair value hierarchy of financial instruments

The Group's determination of fair value hierarchy of financial instruments is discussed in note 44.

(k) Structured entities

For all funds managed by the Group, the investors are able to vote by simple majority to remove the Group as fund manager, and the Group's aggregate economic interest in each fund is not material. As a result, the Group has concluded that it acts as an agent for the investors in these funds, and therefore has not consolidated these funds.

(l) Operating segments

In preparation of the segment information disclosure, management has made certain assumptions to arrive at the segment reporting. These assumptions would be reassessed by the management on a periodic basis. Operating segments are detailed in note 37.

43 Financial risk management

Introduction and overview

Risk management framework

The primary objective of the Group is to manage risk and provide risk adjusted returns to the shareholders in line with the accepted risk profile. In the course of doing its regular business activities, the Group gets exposed to multiple risks notably credit risk, market risk, liquidity and funding risk, interest rate risk, operational risk and other risks like compliance risk, strategic risk, reputation risk, information security risk and business continuity. A well-established risk governance and ownership structure ensures oversight and accountability of the effective management of risk at the Group. The Risk management tone is set right at the top from the Board of Directors ("BOD") and gets implemented through a well-defined risk management structure and framework.

Composition of Board

The Board of Directors ("BOD") is responsible for the overall direction, supervision and control of the Group. The BOD has delegated authority to specialist committees who support the Board in execution of its responsibilities. The day-to-day management of the Group is conducted by the Group Chief Executive Officer ("GCEO") and the Group Executive Committee as delegated by the Board. The BOD has overall responsibility for the Group including approving and overseeing the implementation of its strategic objectives, risk strategy, corporate governance and corporate values within the agreed framework in accordance with relevant statutory and regulatory structures. According to the Group Articles of Association, the BOD should comprise of eleven members, currently it comprises ten members, a member will be considered for election in 2021 General Assembly. Each Director holds his position for three years, which may then be renewed for a further three year term. The Board of Directors of the Bank's subsidiaries has the same fiduciary responsibilities towards their respective entities as the Group's Directors have towards the Bank.

43 Financial risk management *(continued)*

Corporate Governance Framework

The Group has a comprehensive Corporate Governance Framework that puts in place rules, processes and policies through which BOD and Senior Management manages the Group. The BOD drives the implementation of the corporate governance standards and in accordance with its charter has oversight responsibility for the Group's corporate governance framework. The Group's corporate governance standards bind its signatories to the highest standards of professionalism and due diligence in the performance of their duties. The Group Chief Risk Officer ("GCRO") is the custodian of the Corporate Governance Framework document.

Risk Management Structure

The BOD approves risk management plans for the Bank, its subsidiaries, its associates and international offices including representative offices and overseas branches. Under authority delegated by the BOD, the Board Risk and Compliance Committee ("BRCC") through its separately convened risk management meetings formulates high-level enterprise risk management policy, exercises delegated risk authorities and oversees the implementation of risk management framework and controls. The GCRO functionally reports to this Committee.

Board Level Committees within the Group

Board Management Committee ("BMC")

BMC comprises four members of the BOD, and the GCEO. BMC oversees execution of the Group's business plan as per the strategy approved by the Board and oversees and reviews material aspects of the business of the Group. The Committee meets quarterly or more frequently as deemed necessary. The composition, guiding principles and detailed roles and responsibilities are covered in the BMC charter.

Board Risk and Compliance Committee ("BRCC")

BRCC comprises three members of the BOD, the GCEO as a non-voting member and the Group Chief Risk Officer ("GCRO") as a permanent attendee. The BRCC provides oversight and advice to the Group Board in relation to current and potential future risk and compliance exposures of the FAB Group. It also considers and helps direct future risk strategy, including determination of risk appetite and tolerance as well as promote a risk and compliance awareness culture among the Group. The Committee meets quarterly or more frequently as deemed necessary. The composition, guiding principles and detailed roles and responsibilities are covered in the BRCC charter.

Board Audit Committee ("BAC")

BAC comprises four members of the BOD, the GCEO as a non-voting member and the Group Chief Audit Officer ("GCAO") as a permanent attendee. BAC ensures oversight of the effectiveness of the internal control systems and the quality and integrity of financial statements and financial reporting. In addition, it reviews, approves and oversees the internal and external audit programs and ensures coordination between internal and external auditors. The GCAO provides reports to the Committee on Internal controls. The Head of Compliance provides reports to the committee on compliance related matters such as fraud and whistleblowing. The Committee meets quarterly or more frequently as deemed necessary. The composition, guiding principles and detailed roles and responsibilities are covered in the BAC charter.

Remuneration and Nomination Committee ("REMCO")

REMCO comprises three members of the BOD, the GCEO and the Group Chief Human Resources Officer ("GCHRO") as a permanent attendee. REMCO recommends and oversees the appointment and termination of Directors and succession planning for the Group Executive Committee members. This includes an assessment of the skills, knowledge and expertise needed to ensure they are positioned to discharge their responsibilities in the interests of the shareholders and FAB Group. The Committee also reviews and recommends to the Board FAB's reward policy framework, approves and oversees reward design and ensures it is appropriate and consistent with the Group's culture, values, business performance and risk strategy. The Committee meets at least twice a year or more frequently as deemed necessary. The composition, guiding principles and detailed roles and responsibilities are covered in REMCO charter.

43 Financial risk management *(continued)*

Risk management framework *(continued)*

Management Level Committees within the Group

Management committees are responsible for implementing the Risk management framework. The major functions of the ten management committees are listed below:

Group Executive Committee ("EXCO")

EXCO is FAB Group's most Senior Management level committee operating under a delegated authority from the Board. It is responsible for identifying matters required or appropriate for escalation to the Group Board or Board Committees. The Group EXCO also supports the GCEO to determine and implement the Bank's strategy as approved by the FAB Board.

The key responsibilities of the Committee include decisions on the Bank's strategy, annual budgets, capital management, risk management and FAB's more material policies and procedures. The Group EXCO may delegate certain authorities and powers to management committees and individuals, but the Group EXCO reserves the authority to deal with strategy, annual budget and structure; financial reporting and controls; capital management; risk and internal control; contracts; corporate governance matters; executive remuneration and human resources policies, and group policies generally; general meeting of shareholders and communication and any other matters in its discretion. EXCO consists of the executive management team and is chaired by the GCEO. The composition, guiding principles and detailed roles and responsibilities of EXCO are covered in the EXCO charter.

Corporate and Investment Banking Credit Committee ("CIBCC")

CIBCC assists EXCO in the development and implementation of the Group's Corporate and Investment Banking business credit strategy and policies and procedures. The purpose of the CIBCC is to oversee the credit and lending strategies and objectives of the Group, including identifying and managing the Group's Corporate and Investment Banking credit exposures and its response to trends affecting those exposures. It also assists in reviewing the quality and performance of the Group's credit portfolio; and overseeing the Corporate and Investment Banking credit function of the Group, including reviewing internal credit risk and credit policies and establishing portfolio limits. The composition, guiding principles and detailed roles and responsibilities of CIBCC are covered in the CIBCC charter.

Personal Banking Credit Committee ("PBCC")

PBCC assists EXCO in the development and implementation of credit strategy for Group's Personal Banking business. The Committee ensures a holistic overview of the business strategies across the Personal Banking business of the Group. It ensures a seamless coordination across the business to meet customer requirements within the framework of the FAB Group strategy. The Committee oversees the credit and lending strategies, Identifies and manages business credit strategy and strategic response to trends affecting the businesses; reviews the quality and performance of the portfolio; and oversees the credit risk management function including establishing product portfolio limits. The composition, guiding principles and detailed roles and responsibilities of PBCC are covered in the PBCC Charter.

Group Risk Committee ("GRC")

GRC assists BRCC and EXCO in overseeing Group-wide risk strategy and exposures to enable integrated risk management in an effective manner. The committee defines, develops and periodically monitors the Group's risk appetite along with its related methodology, parameters, targets and tolerances taking into account the Bank's strategy and business planning. The GRC reports relevant matters to the Group EXCO, and as appropriate to the BRCC, advising and informing them as required on the Group's risk appetite and framework. The composition, guiding principles and detailed roles and responsibilities of GRC are covered in the GRC charter.

43 Financial risk management *(continued)*

Risk management framework *(continued)*

Management Level Committees within the Group *(continued)*

Group Compliance Committee ("GCC")

GCC assists EXCO in fulfilling its objective of overseeing the Bank's regulatory responsibilities as well as ensuring the Bank's compliance with the applicable laws and regulations issued by various regulatory authorities across the Group. The Committee also oversees that the relevant policies and procedures, including, but not limited to the Group Code of Ethics are complied with across the Group. The GCC reports relevant matters to the Group EXCO, and as appropriate to the BRCC, advising and informing them as required on the Group's compliance with applicable laws and regulations. The composition, guiding principles and detailed roles and responsibilities of GCC are covered in the GCC charter.

Group Asset Liability Management Committee ("GALCO")

G-ALCO is the driving force and key decision maker behind the structure and quality of the balance sheet. G-ALCO is directly accountable to the BRCC for ensuring that the risks within the Group Asset and Liability position are prudently managed by way of strong Group policy and procedures and an appropriate risk framework. The G-ALCO must be constantly aware of and actively manage these risks and their potential impact on the Bank's business and strategic objectives. The composition, guiding principles and detailed roles and responsibilities of G-ALCO are covered in the G-ALCO charter.

Human Resources Steering Committee ("HRSC")

HRSC assists the EXCO and the REMCO in fulfilling its duties with regard to implementing strategic as well as operational HR initiatives in order to deliver long term value. It provides a forum to discuss and approve HR initiatives and policies to ensure that the needs of the organization from an employee perspective are considered and changes, as necessary, are approved or are submitted for approval to the relevant governance body. The Committee is the formal sponsor of all material HR initiatives across FAB in line with its Employee Value Proposition ("EVP"). The composition, guiding principles and detailed roles and responsibilities of HRSC are covered in the HRSC charter.

Group Operational Risk Committee ("GORC")

GORC assists the EXCO, the BRCC and the GRC in fulfilling their objectives of overseeing the Bank's Operational and Technology Risk Management. The responsibilities include defining guidelines to identify and manage Operational and technology risks in all new products, processes and activities. The composition, guiding principles and detailed roles and responsibilities of GORC are covered in the GORC charter.

Information Security Committee ("ISC")

The ISC assists the EXCO, the BRCC and the GRC in fulfilling their objectives of overseeing, reviewing and taking decisions on the implementation of FAB's security controls to ensure that information assets of the Bank are adequately protected, setting the tone for enhancing the Bank's capabilities on matters relating to information security and information security aspects including, Security Program Management, Information Security Risk Management, Cybersecurity, Security Governance, Policy Management, Security Architecture, Security Awareness, Security Monitoring, Data Protection, International Security Compliance, Business Continuity Management and Identity & Access Management at the Bank in alignment with the principles of Enterprise Risk Management. The composition, guiding principles and detailed roles and responsibilities of ISC are covered in the ISC charter.

43 Financial risk management *(continued)*

Risk management framework *(continued)*

Management Level Committees within the Group *(continued)*

Group Technology Steering Committee ("GTSC")

The GTSC assists in fulfilling EXCO's corporate governance and oversight responsibilities of all technology and information systems across the FAB Group and supports the work of the Board Risk and Compliance Committee ("BRCC") in its oversight of the Group IT governance framework. The GTSC will make recommendations to EXCO regarding significant technology investments in support of the Group's strategy. The GTSC ensures alignment of business strategies with technology priorities and acts to protect and enhance the shareholder's investment in technology. The composition, guiding principles and detailed roles and responsibilities of GTSC are covered in the GTSC charter.

Group Risk Management

The Group has a centralized Risk Management functions led by the GCRO. The Risk Management function comprises Enterprise Risk, Credit Risk, Operational Risk, Fraud Risk and Investigations, Market and Liquidity Risk Management Unit, Information Security and Business Continuity Management unit and Corporate Governance function.

Enterprise Risk Management Policy Framework

FAB's Enterprise Risk Management Policy ("ERMP") framework aims to accomplish its core values and purpose of being a world class organization maximizing its risk adjusted returns for all stakeholders by establishing an enterprise wide risk management framework across FAB including local and international branches, subsidiaries, associates and foreign representative offices. Core objective of ERMP is to provide a reasonable degree of assurance to the BOD that the risks threatening FAB's achievement of its core purpose are being identified, measured, monitored and controlled through an effective integrated risk management system. The ERMP framework consists of specific policy documents covering all material risks across FAB; which include ERM policy, Risk Appetite Policy, Corporate and Investment Banking Credit Policy, Personal Banking Credit Policy, IFRS 9 Impairment Policy, Market and Liquidity Risk related policies, Operational Risk Management Policy, Fraud Risk Policy, Compliance Risk related policies, Information Security risk related policies, BCM Policy, Internal Capital Adequacy Assessment Process ("ICAAP") Policy, New Products Approval policy, Outsourcing Policy, Model Risk Management Policy, Strategic Risk Management Policy, Reputational Risk Management Policy, Corporate Governance Framework etc. In addition to these risk management policies, the Group has also put in place detailed operational policies, procedures and programs wherever needed.

FAB manages risks using three lines of defense comprising of business units and enabling functions, control units and Internal Audit. Business units and enabling functions, as the first line of defense, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's risk appetite and are in compliance with all relevant internal policies and processes. Group Credit, Group Risk and Legal and Group Compliance, as the second line of defense, establishes risk controls comprising of policies and processes while also providing oversight and independent challenge to the first line of defense. The Group Chief Risk Officer ("GCRO") has a direct reporting line to the BRCC to ensure the independence of Group Risk from business. Internal audit, as the third line of defense, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defense. The Group Chief Audit Officer has a direct reporting line to the Board Audit Committee.

(a) Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and financial institutions, reverse repurchase agreements and non-trading debt investments, derivative financial instruments and certain other assets.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Management of credit risk

Credit risk identification and assessment at FAB Group is carried out through a comprehensive mechanism comprising three levels of defense. The first level of defense lies with the business units and is responsible for maintaining a sound credit quality of Assets in line with the approved business strategy and credit risk appetite. The second level of defense is with the Group Credit Unit that assesses the risk on a customer and facility level and ensures proper documentation of customer, facility and security documents along with Group Risk management unit that assesses credit risk on a portfolio basis and maintains credit risk policies and credit risk rating models up to date. Internal Audit acts as a third level of defense with regular reviews of credit analysis and the risk functions to check the compliance with policies and procedures of the Group. The unit also reviews the policy documents on a regular basis.

As a part of credit risk monitoring and control framework, regular risk monitoring at both individual and portfolio levels is carried out along several parameters which include credit quality, provisioning levels, exposure limits across several dimensions, financial and operating performance, account conduct, end use of funds, adequacy of credit risk mitigants, adherence to financial and non-financial covenants, recovery performance, rating system performance among others.

The Group has set up a framework for credit risk mitigation as a means towards reducing credit risk in an exposure, at facility level, by a safety net of tangible and realizable securities including approved third-party guarantees/ insurance. The types of Credit Risk Mitigation (CRM) include netting agreements, collaterals, guarantees, credit derivatives and Stand by Letter of Credit (SBLC). The Group ensures that all documentation used in collateralized transactions and for documenting on and off-balance sheet netting, guarantees, credit derivatives and collateral is binding on all parties and is legally enforceable in all relevant jurisdictions. The Group also ensures that all the documents are reviewed by appropriate authority and have appropriate legal opinions to verify and ensure its enforceability.

COVID-19 and Expected Credit Loss (ECL)

On 11 March 2020, the World Health Organization ("WHO") officially declared COVID-19 a global pandemic. In light of the rapid spread of COVID-19 across the globe, various economies and sectors have faced significant disruptions and uncertainty and governments and authorities have instigated a host of measures to contain or delay the spread of the virus.

On 27 March 2020, the IASB issued a guidance note, advising that both the assessment of Significant Increase in Credit risk ("SICR") as explained below in the note 43 (a) and the measurement of Expected Credit Losses (ECLs) are required to be based on reasonable and supportable information that is available to an entity without undue cost or effort. In assessing forecast conditions, consideration should be given both to the effects of COVID-19 and the significant government support measures being undertaken. It is difficult at this time to incorporate the specific effects of COVID-19 and government support measures on a reasonable and supportable basis.

In line with other global regulators, the Central Bank of the UAE, under the Targeted Economic Support Scheme ("TESS"), has facilitated the provision of temporary relief from the payments of principal and/or interest / profit on outstanding loans for all affected private sector corporates, SMEs and individuals with specific conditions. Additionally, the program seeks to facilitate additional lending and liquidity capacity of banks, through the relief of existing capital and liquidity buffers, which have been further elaborated on in the sections below.

A key element in determining the ECL is the assessment of whether a SICR has occurred or not, and hence whether a lifetime Probability of Default (PD) or a 12-month PD is applied. UAE government's support measures including the Central Bank's TESS program, have been considered for SICR assessment which include both quantitative and qualitative criteria and are subject to management judgment due to the rapidly-changing dynamics of COVID-19.The Group continues to closely monitor the impact of COVID-19 on the Bank's portfolio.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

COVID-19 and Expected Credit Loss (ECL) *(continued)*

In addition to the management of credit risk described above, the Bank has undertaken preemptive measures in response to the COVID-19 outbreak. These include significantly reduced underwriting to companies in affected sectors; payment holidays on a case by case basis in the Private sector and SME segment, in line with CBUAE relief program and depending on their underlying credit assessment.

Further, the Group has undertaken comprehensive review of its clients which are susceptible to macroeconomic and accordingly have taken preemptive action identifying clients benefitting under TESS under two main categories as required by Central bank:

Group 1: are the customers who are not expected to face substantial change in their creditworthiness beyond liquidity issue caused by the COVID-19 crisis.

The clients in this sub segment could originally be in Stage 1 or in Stage 2, prior to being subject to deferrals. These clients are expected to remain in their original stage as long as the pandemic has an effect on their business, unless factors unrelated to Covid-19 trigger a credit deterioration. These accounts are not considered to have significant deterioration in credit quality to trigger a stage migration and the staging maybe retained at the same level.

Group 2: customers that are significantly expected to be impacted by COVID-19.

Clients in this sub segment could originally be in Stage 1 or in Stage 2, prior to being subject to deferrals. This sub segment includes borrowers for which the credit deterioration is more significant and prolonged, ranging beyond liquidity issues, with an extended recovery period. For these customers, the deterioration in credit risk maybe so significant that it may trigger a migration to stage 2 in the month following the one that deferrals are processed. In exceptional circumstances the migration to Stage 3 would be triggered due to liquidation / bankruptcy caused by non-financial events or significant disruptions threatening the long-term sustainability of clients' business models.

The Grouping of the client is based on a combination of quantitative analysis and judgmental approach based on subject matter expert views within the Bank.

Macro economic factors

The bank uses a range of macro-economic factors in ECL assessment relevant to multiple jurisdictions of operations which are disclosed in the subsequent notes to this section. The bank periodically reviews and updates selected economic series and applies judgment in determining what constitutes reasonable and forward-looking estimates.

To reflect the current uncertain economic environment, the Group has updated its macro-economic forecast accordingly and taken the impact arising on the ECL calculation and hence management overlays were not required.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

COVID-19 and Expected Credit Loss (ECL) *(continued)*

Clients benefiting from deferrals under Target Economic Support Scheme (TESS) & non-TESS by Segment:

Table 1: Deferrals information as at 31st December 2020.

Segment	Stage	Group	Payment deferrals	Exposure at Default	Impairment allowance
			AED'000	AED'000	AED'000
Retail banking	Stage 1	Group 1	**64,476**	**1,744,328**	**27,929**
		Group 2	**923**	**25,931**	**827**
	Stage 2	Group 1	**10,381**	**138,240**	**960**
		Group 2	**6,459**	**133,951**	**1,899**
Total			**82,239**	**2,042,450**	**31,615**
Wholesale banking	Stage 1	Group 1	**3,283,608**	**35,438,907**	**285,942**
	Stage 2	Group 1	**22,732**	**167,635**	**1,130**
		Group 2	**861,001**	**4,795,853**	**715,401**
	Stage 3	Group 2	**6,758**	**21,725**	**5,059**
Total			**4,174,099**	**40,424,120**	**1,007,532**

Table 2: ECL change (flow) since beginning of year to date

	Non-credit impaired		Credit impaired	
	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Retail banking				
ECL allowance as of start of the year	**26,757**	**8,479**	**665**	**35,901**
Credit card	**138**	**39**	**-**	**177**
Housing loan	**93**	**44**	**-**	**137**
Personal loan	**4,079**	**(1,422)**	**(665)**	**1,992**
Auto loan	**924**	**(24)**	**-**	**900**
Others	**(3,235)**	**(4,257)**	**-**	**(7,492)**
ECL allowance as of end of the year	**28,756**	**2,859**	**-**	**31,615**

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

COVID-19 and Expected Credit Loss (ECL) *(continued)*

Clients benefiting from deferrals under Target Economic Support Scheme (TESS) & non-TESS by Segment *(continued)*:

	Non-credit impaired		Credit impaired	
	Stage 1	Stage 2	Stage 3	Total
	AED'000	AED'000	AED'000	AED'000
Wholesale banking				
ECL allowance as of start of the year	**117,432**	**561,440**	**3,218**	**682,090**
Emirates government	**(104)**	**(571)**	**-**	**(675)**
GRE (Govt. ownership >50%)	**(1,607)**	**-**	**-**	**(1,607)**
Other Corporates	**161,224**	**157,520**	**(1,589)**	**317,155**
High net worth Individuals	**(112)**	**-**	**-**	**(112)**
SMEs	**9,109**	**(1,858)**	**3,430**	**10,681**
ECL allowance as of end of the year	**285,942**	**716,531**	**5,059**	**1,007,532**

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

COVID-19 and Expected Credit Loss (ECL) *(continued)*

Clients benefiting from deferrals under Target Economic Support Scheme (TESS) & non-TESS by Segment *(continued)*:

	Non-credit impaired				Credit impaired					
	Stage 1		Stage 2		Stage 3		POCI		Total	
	AED'000 Exposure at Default	AED'000 Impairment allowance	AED'000 Exposure at Default	AED'000 Impairment allowance	AED'000 Exposure at Default	AED'000 Impairment allowance	AED'000 Exposure at Default	AED'000 Impairment allowance	AED'000 Exposure at Default	AED'000 Impairment allowance
Retail banking										
As of 1 January 2020	1,811,414	26,757	76,098	8,479	1,042	665	-	-	1,888,554	35,901
Transfers from stage 1 to stage 2	(211,841)	(174)	211,841	174	-	-	-	-	-	-
Transfers from stage 2 to stage 1	10,627	1,817	(10,627)	(1,817)	-	-	-	-	-	-
Transfers from stage 3 to stage 2 & 1	268	160	774	505	(1,042)	(665)	-	-	-	-
Other movements	159,791	196	(5,895)	(4,482)	-	-	-	-	153,896	(4,286)
As of end of at 31 December 2020	1,770,259	28,756	272,191	2,859	-	-	-	-	2,042,450	31,615
Wholesale banking										
As of 1 January 2020	33,506,647	117,432	5,214,025	561,440	9,306	3,218	-	-	38,729,978	682,090
Transfers from stage 1 to stage 2	(73,202)	(1,128)	73,202	1,128	-	-	-	-	-	-
Transfers from stage 2 to stage 1	602,344	27,542	(602,344)	(27,542)	-	-	-	-	-	-
Transfers from 1&2 to stage 3	(9,362)	(380)	(10,894)	(269)	20,256	649	-	-	-	-
Transfers from stage 3 to stage 2 & 1	1,706	1,003	2,903	939	(4,609)	(1,942)	-	-	-	-
Other movements	1,410,774	141,473	286,596	180,835	(3,228)	3,134	-	-	1,694,142	325,442
As of end of at 31 December 2020	35,438,907	285,942	4,963,488	716,531	21,725	5,059	-	-	40,424,120	1,007,532

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Credit quality analysis

The following tables set out information about the credit quality of financial assets measured at amortised cost, and FVOCI debt investments without taking into account collateral or other credit enhancement. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. For loan commitments and financial guarantee contracts, the amounts in the table represent the amounts committed or guaranteed, respectively.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Credit quality analysis *(continued)*

As of 31 December 2020	Stage 1		Stage 2		Stage 3		Purchased or originally credit impaired[4]		Total	
	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision
Balances with central banks	222,634,395	15,889	3,441,397	120,667	-	-	-	-	226,075,792	136,556
Due from banks and financial institutions	26,700,399	35,828	730,393	37,325	-	-	-	-	27,430,792	73,153
Reverse repurchase agreements	44,088,756	19,515	-	-	-	-	-	-	44,088,756	19,515
Loans and advances[1]	362,778,965	2,592,811	20,275,910	3,136,473	15,166,539	6,013,657	5,067,332	695,474	403,288,746	12,438,415
Non-trading investments										
Amortised cost	3,352,977	345	-	-	-	-	-	-	3,352,977	345
FVOCI Debt[2]	127,455,847	111,872	153,568	21,168	-	-	-	-	127,609,415	133,040
Other assets[3]	10,758,453	90,301	25,221	451	709	456	-	-	10,784,383	91,208
Unfunded exposure	234,823,309	284,365	5,379,356	130,290	1,132,552	294,777	-	-	241,335,217	709,432
	1,032,593,101	3,150,926	30,005,845	3,446,374	16,299,800	6,308,890	5,067,332	695,474	1,083,966,078	13,601,664

[1]The exposure represents gross loans and advances.
[2]The provision against financial instruments classified as FVOCI is netted off against the fair value reserve.
[3]On certain assets included as part of other assets, ECL is computed based on simplified approach and reported as part of stage 1.
[4]The Group, from an internal credit quality point of view, considers AED 4,885 million as par to non-performing loans.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Credit quality analysis *(continued)*

As of 31 December 2019	Stage 1		Stage 2		Stage 3		Purchased or originally credit impaired[4]		Total	
	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision
Balances with central banks	164,343,649	40,694	3,520,018	112,473	-	-	-	-	167,863,667	153,167
Due from banks and financial institutions	16,186,541	10,310	887,930	37,659	-	-	-	-	17,074,471	47,969
Reverse repurchase agreements	24,678,789	414	-	-	-	-	-	-	24,678,789	414
Loans and advances[1]	385,583,423	1,739,418	19,642,585	3,228,577	11,768,567	4,581,173	4,735,753	1,478,975	421,730,328	11,028,143
Non-trading investments										
Amortised cost	5,387,087	1,020	-	-	-	-	-	-	5,387,087	1,020
FVOCI Debt[2]	108,576,288	159,477	22,582	1,806	-	-	-	-	108,598,870	161,283
Other assets[3]	13,282,010	61,762	46,176	1,363	3,791	486	-	-	13,331,977	63,611
Unfunded exposure	200,490,346	190,504	5,341,218	106,985	1,532,564	304,272	-	-	207,364,128	601,761
	918,528,133	2,203,599	29,460,509	3,488,863	13,304,922	4,885,931	4,735,753	1,478,975	966,029,317	12,057,368

[1]The exposure represents gross loans and advances.
[2]The provision against financial instruments classified as FVOCI is netted off against the fair value reserve.
[3]On certain assets included as part of other assets, ECL is computed based on simplified approach and reported as part of stage 1.
[4]The Group, from an internal credit quality point of view, considers AED 4,560 million as par to non-performing loans.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Credit quality analysis *(continued)*

Classification of investments as per their external ratings:

	Non-trading investments		Investments at fair value through profit or loss	
	2020 AED'000	2019 AED'000	**2020 AED'000**	2019 AED'000
AAA	**19,851,021**	16,237,301	**565,421**	4,076
AA to A	**81,811,445**	71,921,751	**10,291,770**	9,030,149
BBB to B	**26,047,880**	21,514,326	**6,648,558**	6,577,622
CCC and below	**77,676**	-	-	-
Unrated	**3,786,085**	4,972,064	**3,760,494**	4,487,334
	131,574,107	114,645,442	**21,266,243**	20,099,181
Less: expected credit losses	**(345)**	(1,020)	-	-
	131,573,762	114,644,422	**21,266,243**	20,099,181

Unrated investments primarily consist of investments in Private equity funds and investments in equity which doesn't carry credit risk. Investments at fair value through profit or loss are neither past due nor impaired.

Collateral held and other credit enhancements

The Group has set up a framework for credit risk mitigation as a means towards reducing credit risk in an exposure, at facility level, by a safety net of tangible and realizable securities including approved third-party guarantees/ insurance. The types of Credit Risk Mitigation ("CRM") include netting agreements, collaterals, guarantees, credit derivatives and Stand by Letters of Credits ("SBLC"). The Group ensures that all documentation used in collateralized transactions and for documenting on and off-balance sheet netting, guarantees, credit derivatives and collateral is binding on all parties and is legally enforceable in all relevant jurisdictions. The Group also ensures that all the documents are reviewed by the appropriate authority and have appropriate legal opinions to verify and ensure its enforceability.

The Group holds collateral and other credit enhancements against certain of its credit exposures. An estimate of the collateral coverage (after the application of haircuts) against net credit-impaired loans and advances is shown below:

	2020 AED'000	2019 AED'000
Collateral value cover		
0 – 50%	**10,025,681**	8,069,457
51 – 100%	**4,199,749**	3,861,786
Above 100%	**1,619,624**	1,598,753
Total net credit impaired loans	**15,845,054**	13,529,996

The Group's policy is to pursue timely realisation of the collateral in an orderly manner. The Group does not generally use the non-cash collateral for its own operations.

While the Group might not have repossessed significant amount of collateral in 2019 and 2020, maintaining repossession rights assist the Group in the restructuring and settlement of credit-impaired loans.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Derivatives, reverse sale-and-repurchase agreements and securities borrowing

The Group mitigates the credit risk of derivatives, reverse sale-and-repurchase agreements and securities lending by entering into master netting agreements and holding collateral in the form of cash and marketable securities.

Derivative transactions are transacted on exchanges, with clearing counterparties ("CCPs") or entered into under International Swaps and Derivatives Association (ISDA) master agreements. In general, under these agreements, in certain circumstances – e.g. when a credit event such as a default occurs – all outstanding transactions under the agreement with the counterparty are terminated, the termination value is assessed as per the jurisdiction netting rules and the amount (due or payable) in settlement with the counterparty. The Group usually executes a credit support annex in conjunction with the ISDA agreement, which requires the Group and its counterparties to post collateral to mitigate counterparty credit risk. Collateral is also posted daily in respect of derivatives transacted on exchanges and with CCPs.

The Group's sale-and-repurchase, and reverse sale-and-repurchase, transactions and securities borrowing and lending are covered by master agreements with netting terms similar to those of ISDA master netting agreements.

Loans and advances to customers

The general credit worthiness of a corporate customer tends to be the most relevant indicator of credit quality of a loan extended to it. However, collateral provides additional security and the Group generally requests that corporate borrowers provide it. The Group may take collateral in the form of a first charge over real estate, floating charges over all corporate assets and other liens and guarantees.

Because of the Group's focus on corporate customers' creditworthiness, valuation of property collateral are conducted once in two years and more frequently for credit-impaired assets.

Amounts arising from ECL

Inputs, assumptions and techniques used for estimating impairment

See accounting policy 3(c)(vii).

Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and expert credit assessment and including forward-looking information.

For non-retail exposure, objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

- Probability of default at origination adjusted for the loan maturity
- Probability of default at current reporting date adjusted for the remaining life of the loan

Similarly, for retail portfolio, the current and historical performance of the account is used estimate whether a significant increase in credit risk has occurred.

The credit risk may also be deemed to have increased significantly since initial recognition based on qualitative factors linked to the Group's credit risk management processes that may not otherwise be fully reflected in its quantitative analysis on a timely basis. These assessments usually reflects in placement of such exposures under certain categories, for example watch list. In these cases, PD gets calculated on lifetime basis.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Amounts arising from ECL *(continued)*

Significant increase in credit risk *(continued)*

If there is evidence that there is no longer a significant increase in credit risk relative to initial recognition, then the loss allowance on an instrument returns to being measured based on 12-month PD. Some qualitative indicators of an increase in credit risk, such as delinquency or forbearance, may be indicative of an increased risk of default that persists after the indicator itself has ceased to exist. In these cases, the Group determines a probation period during which the financial asset is required to demonstrate good behavior to provide evidence that its credit risk has declined sufficiently. The Group is also complying with all probation period requirements in relevant jurisdictions stipulated by local central banks.

In addition to the quantitative test based on movement of PD, the Group also applies expert credit judgement to incorporate the estimated impact of factors not captured in the modelled ECL results.

Credit risk rating

The Group allocates each Corporate exposure a credit risk rating based on variety of data that is determined to be predictive of the risk of default and applying experienced credit judgement. Credit risk ratings are defined using qualitative and quantitative factors that are indicative of risk of default. These factors vary depending on the nature of the exposure and the type of borrower.

Credit risk ratings are defined and calibrated such that the risk of default occurring increases exponentially as the credit risk deteriorates down the curve.

Each exposure is allocated to a credit risk rating on initial recognition based on available information about the borrower. Exposures are subject to ongoing monitoring, which may result in an exposure being moved to a different credit risk rating.

Definition of default

The Group considers a financial asset to be in default when:

- For non-retail segment, a default shall be considered to have occurred with regard to a particular obligor when FAB Group considers that the obligor is unlikely to pay its credit obligations to itself in full, without recourse by it to actions such as realizing security (if held).

  Some off balance sheet exposures such as bank guarantees, letters of credit etc. should be treated as impaired if the bank believes it is likely they will be called upon and the customer will not be able to meet these commitments. Where the off balance sheet exposure is in the form of a Global Market contracts and there is doubt that all contractual future cash flows will be received from the counterparty, the bank should assess the net marked to market exposure to the counterparty taking into account any enforceable netting arrangements in place. The net position (if due from) thus arrived will be considered impaired.

- For retail, a facility or any material credit obligation to the Group is more than 90 days past due;

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances. The definition of default largely aligns with that applied by the Group for regulatory capital purposes (see 43(e)).

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Amounts arising from ECL *(continued)*

Incorporation of forward-looking information

The Group incorporates forward-looking information into both the assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and the measurement of ECL.

The Group formulates three economic scenarios: a base case, which is the median scenario assigned a 40% probability of occurring, and two less likely scenarios, one upside and one downside, each assigned a 30% probability of occurring. External information considered includes economic data and forecasts published by governmental bodies and monetary authorities in the countries where the Group operates, supranational organisations such as the OECD and the International Monetary Fund, and selected private-sector and academic forecasters.

The Group has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses.

The economic scenarios used as at 31 December 2020 included the following key indicators for the years ending 31 December 2021 to 2025.

Region	Macro Variable[1,2]	Scenario	2021	2022	2023	2024	2025
MENA	Oil Price	Base	17.29%	16.31%	4.18%	2.72%	2.12%
		Upside	30.37%	14.90%	3.92%	2.66%	2.12%
		Downside	-51.32%	81.89%	24.36%	9.44%	6.65%
	UAE Equity Index	Base	6.04%	9.04%	5.76%	4.03%	4.90%
		Upside	32.59%	34.58%	9.74%	0.01%	-1.02%
		Downside	-32.55%	2.45%	1.33%	4.55%	5.01%
	Egypt GDP	Base	4.26%	6.79%	6.38%	6.26%	6.06%
		Upside	7.67%	6.36%	5.98%	6.18%	6.06%
		Downside	-0.52%	7.48%	7.46%	6.93%	6.43%
	Egypt Equity Index	Base	28.45%	13.92%	10.62%	9.40%	9.07%
		Upside	37.02%	13.64%	10.83%	9.34%	9.23%
		Downside	-21.84%	19.31%	12.73%	9.91%	9.35%
UK	UK GDP	Base	2.02%	5.17%	3.45%	1.66%	1.43%
		Upside	5.30%	4.96%	3.39%	1.61%	1.39%
		Downside	-0.75%	5.26%	3.38%	1.75%	1.63%
	UK Equity Index	Base	10.58%	3.92%	4.55%	3.71%	3.33%
		Upside	21.71%	0.08%	1.39%	2.84%	3.41%
		Downside	-5.17%	10.67%	8.92%	4.66%	3.33%

(1) Represents the average annualized increase / decrease over the period.
(2) There are additional macro variables factors used for other regions which are relevant to their market.

Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognised and the renegotiated loan recognised as a new loan at fair value in accordance with the accounting policy set out in Note 3(c)(iv).

When the terms of a financial asset are modified and the modification does not result in derecognition, the determination of whether the asset's credit risk has increased significantly reflects comparison of:

- its remaining lifetime PD at the reporting date based on the modified terms; with
- the remaining lifetime PD estimated based on data on initial recognition and the original contractual terms.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Amounts arising from ECL *(continued)*

Modified financial assets *(continued)*

The Group renegotiates loans to customers in financial difficulties (referred to as 'forbearance activities') to maximise collection opportunities and minimise the risk of default. Under the Group's forbearance policy, loan forbearance is granted on a selective basis if the debtor is currently in default on its debt or if there is a high risk of default, there is evidence that the debtor made all reasonable efforts to pay under the original contractual terms and the debtor is expected to be able to meet the revised terms.

The revised terms usually include extending the maturity, changing the timing of interest payments and amending the terms of loan covenants. Both retail and corporate loans are subject to the forbearance policy. The Group Credit Committee regularly reviews reports on forbearance activities.

For financial assets modified as part of the Group's forbearance policy, the estimate of PD reflects whether the modification has improved or restored the Group's ability to collect interest and principal and the Group's previous experience of similar forbearance action. As part of this process, the Group evaluates the borrower's payment performance against the modified contractual terms and considers various behavioural indicators.

Generally, forbearance is a qualitative indicator of a significant increase in credit risk and an expectation of forbearance may constitute evidence that an exposure is credit-impaired (see Note 3(c)(vii)). A customer needs to demonstrate consistently good payment behavior over a period of time before the exposure is no longer considered to be credit-impaired/in default.

Loans with renegotiated terms

Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position and where the Group has made material concessions that it would not otherwise consider. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish satisfactory track record of performance under the restructuring agreement. The Group determines the twelve-month period to commence from the date of signing of the agreement for restructuring. As at the reporting date, the Group has renegotiated the following exposures:

	2020 AED'000	2019 AED'000
Loans with renegotiated terms		
Gross carrying amount	**11,465,052**	11,323,970
Impaired amount	**2,841,479**	2,742,663
Allowance for impairment	**2,889,749**	2,976,105

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Measurement of ECL

The key inputs into the measurement of ECL are:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

The Lifetime PDs are determined based on maturity profile. The maturity profile looks at how defaults develop on a portfolio throughout the remaining life of the loans. The maturity profile is based on historical observed data.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD term structure based on current collateral, counterparty industry, country of risk and recovery costs that is integral to the financial asset. LGD estimates are recalibrated for different economic scenarios incorporating the impact of change in oil prices, equity index and other parameters.

EAD represents the expected exposure at the time of default. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contractual obligations For undrawn commitments and unfunded facilities such as letter of credit and letter of guarantees, EAD represents the amount of exposure when the facility becomes payable and the funded conversion is based on factors provided by Basel.

However, for credit card facilities that include both a loan and an undrawn commitment component, the Group measures ECL over contractual period and EAD is computed using internal model. .Though the Group can cancel the limits with immediate effect but this contractual right is not enforced in the normal day-to-day management, but only when the Group becomes aware of an increase in credit risk at the facility level.
Modelling of a parameter is carried out on a collective basis wherein the financial instruments are grouped on the basis of shared risk characteristics that include:

- instrument type;
- historical performance;
- industry; and
- geographic location of the borrower.

The groupings are subject to regular review to ensure that exposures within a particular group remain appropriately homogeneous.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Amounts arising from ECL *(continued)*

Loss allowance *(continued)*

The following tables show reconciliations from the opening to the closing balance of the loss allowance by class of financial instrument. The basis for determining transfers due to changes in credit risk is set out in the Group's accounting policy; see Note 3(c)(vii).

	Stage 1[1] AED'000	Stage 2 AED'000	Stage 3 AED'000	Purchased credit impaired AED'000	2020 Total AED'000
Beginning of the year	**2,203,599**	**3,488,863**	**4,885,931**	**1,478,975**	**12,057,368**
Transfers:					
Transfer from Stage 1 to Stage 2	**(75,265)**	**75,265**	**-**	**-**	**-**
Transfer from Stage 1 to Stage 3	**(60,949)**	**-**	**60,949**	**-**	
Transfer from Stage 2 to Stage 1	**152,032**	**(152,032)**	**-**	**-**	**-**
Transfer from Stage 2 to Stage 3	**-**	**(507,951)**	**507,951**	**-**	**-**
Transfer from Stage 3 to Stage 2	**-**	**243,199**	**(243,199)**	**-**	**-**
Transfer from Stage 3 to Stage 1	**18,233**	**-**	**(18,233)**	**-**	**-**
	34,051	**(341,519)**	**307,468**	**-**	**-**
Impact of change in provision	**913,751**	**302,739**	**2,225,884**	**(679,344)**	**2,763,030**
Write-offs and other adjustments	**(475)**	**(3,709)**	**(1,110,393)**	**(104,157)**	**(1,218,734)**
	3,150,926	**3,446,374**	**6,308,890**	**695,474**	**13,601,664**

[1]On certain assets included as part of other assets, ECL is computed based on simplified approach and reported as part of stage 1

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Amounts arising from ECL *(continued)*

Loss allowance *(continued)*

	Stage 1[1] AED'000	Stage 2 AED'000	Stage 3 AED'000	Purchased credit impaired AED'000	2019 Total AED'000
Beginning of the year	1,838,329	4,481,031	4,819,715	1,630,135	12,769,210
Transfers:					
Transfer from Stage 1 to Stage 2	(154,401)	154,401	-	-	-
Transfer from Stage 1 to Stage 3	(53,470)	-	53,470	-	-
Transfer from Stage 2 to Stage 1	151,137	(151,137)	-	-	-
Transfer from Stage 2 to Stage 3	-	(1,142,873)	1,142,873	-	-
Transfer from Stage 3 to Stage 2	-	197,841	(197,841)	-	-
Transfer from Stage 3 to Stage 1	46,493	-	(46,493)	-	-
	(10,241)	(941,768)	952,009	-	-
Impact of change in provision	376,231	(40,094)	1,604,096	(54,495)	1,885,738
Write-offs and other adjustments	(720)	(10,306)	(2,489,889)	(96,665)	(2,597,580)
	2,203,599	3,488,863	4,885,931	1,478,975	12,057,368

[1]On certain assets included as part of other assets, ECL is computed based on simplified approach and reported as part of stage 1.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Maximum exposure to credit risk without taking account of any collateral and other credit enhancements

The table below shows the maximum exposure to credit risk for the components of the balance sheet, including derivatives. The maximum exposure is shown gross, before the effect of mitigation through the use of master netting and collateral agreements.

	Note	**Gross maximum exposure 2020 AED'000**	Gross maximum exposure 2019 AED'000
Balances with Central Bank	*4*	**226,075,792**	167,863,667
Investments at fair value through profit or loss	*5*	**19,393,786**	17,385,250
Due from banks and financial institutions	*6*	**27,430,792**	17,074,471
Reverse repurchase agreements	*7*	**44,088,756**	24,678,789
Loans and advances	*8*	**403,288,746**	421,730,328
Non-trading investments	*9*	**131,519,900**	114,582,043
Other assets		**15,793,737**	19,757,099
Total		**867,591,509**	783,071,647
Derivatives held for trading	*36*	**29,814,440**	15,064,074
Derivatives held for hedging	*36*	**2,744,441**	853,247
Total		**32,558,881**	15,917,321
Contingent liabilities	*35*	**166,752,876**	167,922,102
Commitment	*35*	**74,582,341**	39,442,026
Total		**241,335,217**	207,364,128
Total credit risk exposure		**1,141,485,607**	1,006,353,096

Where financial instruments are recorded at fair value the amounts shown above represent the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

The Group monitors concentrations of credit risk by industry sector, counterparty and geographic location. An analysis of concentrations of credit risk at the reporting date is shown below:

Concentrations by industry sector

	Loans and advances		Investments		Reverse repurchase agreements		Undrawn loan Commitments	
	2020 AED'000	2019 AED'000	**2020 AED'000**	2019 AED'000	**2020 AED'000**	2019 AED'000	**2020 AED'000**	2019 AED'000
Agriculture	**727,782**	667,898	**-**	-	**-**	-		-
Energy	**39,706,125**	35,946,386	**13,252,053**	14,719,913	**-**	-	**15,084,441**	6,767,683
Manufacturing	**21,952,423**	23,859,479	**1,281,092**	1,463,452	**-**	-	**4,126,708**	3,451,075
Construction	**11,151,070**	10,212,445	**463,657**	319,869	**-**	-	**952,842**	972,225
Real estate	**88,477,802**	81,283,262	**1,610,072**	2,391,124	**-**	-	**8,386,588**	12,757,183
Trading	**22,435,927**	25,288,459	**132,731**	117,296	**-**	-	**1,919,410**	1,330,860
Transport and communication	**37,845,095**	25,534,949	**5,606,050**	5,388,929	**-**	-	**1,853,348**	2,706,854
Banks	**8,924,677**	24,681,349	**36,633,986**	29,767,786	**36,569,950**	16,152,282	**91,825**	-
Other financial institutions	**39,335,644**	33,623,785	**11,343,128**	10,433,100	**4,625,639**	2,055,854	**8,391,313**	3,429,740
Services	**20,187,687**	21,290,921	**35,660**	359,996	**-**	-	**3,755,836**	4,881,620
Government	**38,889,069**	66,706,966	**82,481,921**	69,783,158	**2,893,167**	6,470,653	**30,000,000**	3,033,116
Personal – Loans and Credit cards	**51,419,609**	53,826,058	**-**	-	**-**	-	**6,878**	111,670
Personal - Retail Mortgage	**22,235,836**	18,808,371	**-**	-	**-**	-	**13,152**	-
	403,288,746	421,730,328	**152,840,350**	134,744,623	**44,088,756**	24,678,789	**74,582,341**	39,442,026

The above numbers are presented on a gross basis and are not adjusted for provisions or interest in suspense if any.
Included within investments are equity instruments where the credit risk is not applicable.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Concentration by location:

	UAE AED'000	Europe AED'000	Arab countries AED'000	Americas AED'000	Asia AED'000	Others AED'000	Total AED'000
As at 31 Dec 2020							
Cash and balances with central banks	**51,083,313**	**98,253,359**	**12,912,882**	**65,645,017**	**105,685**	**8,892**	**228,009,148**
Investments at fair value through profit or loss	**2,046,352**	**4,339,068**	**5,612,563**	**1,889,944**	**6,499,642**	**878,674**	**21,266,243**
Due from banks and financial institutions	**173,709**	**24,726,420**	**1,356,056**	**789,798**	**235,993**	**148,816**	**27,430,792**
Reverse repurchase agreements	**2,355,652**	**13,822,582**	**22,893,875**	**960,494**	**3,854,139**	**202,014**	**44,088,756**
Derivative financial instruments	**5,929,823**	**19,678,895**	**3,669,924**	**311,997**	**2,515,722**	**452,520**	**32,558,881**
Loans and advances	**253,842,660**	**67,670,110**	**38,039,690**	**19,982,880**	**18,874,483**	**4,878,923**	**403,288,746**
Non trading investments	**40,989,353**	**26,566,919**	**26,039,327**	**14,742,175**	**20,669,329**	**2,567,004**	**131,574,107**
	356,420,862	**255,057,353**	**110,524,317**	**104,322,305**	**52,754,993**	**9,136,843**	**888,216,673**
As at 31 Dec 2019							
Cash and balances with central banks	54,566,643	88,416,330	15,289,971	11,542,835	39,396	-	169,855,175
Investments at fair value through profit or loss	4,301,099	3,038,934	3,618,927	1,267,952	5,292,225	2,580,044	20,099,181
Due from banks and financial institutions	404,163	14,121,121	1,658,071	329,108	233,704	328,304	17,074,471
Reverse repurchase agreements	1,862,437	6,295,022	14,452,444	333,042	1,552,194	183,650	24,678,789
Derivative financial instruments	3,424,370	9,094,116	1,589,852	137,379	1,592,137	79,467	15,917,321
Loans and advances	286,108,908	38,920,838	35,344,158	27,260,040	28,419,159	5,677,225	421,730,328
Non trading investments	37,435,572	20,207,419	23,978,309	12,580,027	17,906,508	2,537,607	114,645,442
	388,103,192	180,093,780	95,931,732	53,450,383	55,035,323	11,386,297	784,000,707

Concentration by location for investments is measured based on the location of the issuer of the security. Concentration by location for all others is measured based on the residential status of the borrower. The above numbers are presented on a gross basis and are not adjusted for provisions or interest in suspense if any. Concentration by location for undrawn commitments is stated in note 35 of these consolidated financial statements.

43 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Classification of investments as per their counterparties:

	Non-trading investments		Investments at fair value through profit or loss	
	2020 AED'000	2019 AED'000	**2020 AED'000**	2019 AED'000
Government sector	**68,001,252**	58,151,621	**11,538,832**	7,973,070
Supranational	**879,774**	1,806,646	**2,062,063**	1,851,821
Public Sector	**23,496,751**	23,953,560	**509,076**	1,442,491
Banking sector	**31,621,387**	23,049,215	**5,012,599**	6,718,571
Corporate / private sector	**7,574,943**	7,684,400	**2,143,673**	2,113,228
	131,574,107	114,645,442	**21,266,243**	20,099,181
Less: allowance for impairment (expected credit loss) on amortised cost securities	**(345)**	(1,020)	-	-
	131,573,762	114,644,422	**21,266,243**	20,099,181

Settlement risk

The Group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. Any delay in settlement is rare and monitored.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive market value of instruments that are favourable to the Group. The positive market value is also referred to as the "replacement cost" since it is an estimate of what it would cost to replace transactions at prevailing market rates if a counterparty defaults. The majority of the Group's derivative contracts are entered into with other banks and financial institutions.

(b) Liquidity risk

Liquidity risk is defined as the risk that the Group is unable to meet its financial obligations as and when they fall due or that it can only do so at an excessive cost.

Liquidity risk arises from cash flows generated by assets and liabilities, including derivatives and other off-balance sheet commitments, not being matched in currency, size, and term. FAB ensures that all liabilities can be met as they fall due under both businesses as usual and stress conditions without incurring undue cost.

Management of liquidity risk

The Group has defined the liquidity risk appetite at a level so as to ensure that the Group has a controlled liquidity risk position with adequate cash or cash-equivalents to be able to meet its financial obligations, in all foreseeable circumstances and without incurring substantial additional costs, for a rolling period of three months. . The risk appetite is supported by a comprehensive risk management framework that includes Group ALCO approved limits for key funding and liquidity metrics, stress testing and a contingency funding plan.

43 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

Management of liquidity risk *(continued)*

The liquidity risk appetite is also defined at a level to ensure continued compliance with current and proposed liquidity regulation from both domestic and international regulators, and aligned to support the Group's external credit rating objectives.

One of the critical means to measure adequacy of liquidity as per extant global regulation is through Liquidity Coverage Ratio ("LCR"). FAB has been complying with UAE regulation on Basel III LCR and has been reporting the same for a considerable period of time. Accordingly, FAB has invested heavily in ensuring systems and controls framework is in place to comply with all the qualitative and quantitative aspects of Basel III. In addition the Group also ensures that it is compliant with UAE Central Bank liquidity regulation on Eligible Liquid Assets Ratio ("ELAR") at all times.

Liquidity limits are defined at the Group level and are cascaded down throughout the organisation to ensure that the Group complies with the defined Group Liquidity Risk appetite. Similarly International limits are cascaded to ensure compliance with any additional local regulatory requirements on liquidity management.

All liquidity policies and procedures are subject to review and approval by G-ALCO.

Exposure to liquidity risk

The contractual asset and liability maturity mismatch report without considering the Group's retention history is detailed below.

43 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The maturity profile of the assets and liabilities as at 31 December 2020

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	227,872,592	223,905,913	3,966,679	-	-	-	-
Investments at fair value through profit or loss	21,266,243	10,213,641	4,867,090	3,239,471	297,517	776,067	1,872,457
Due from banks and financial institutions	27,357,639	27,355,628	-	2,011	-	-	-
Reverse repurchase agreements	44,069,241	26,708,963	17,360,278	-	-	-	-
Derivative financial instruments[1]	32,558,881	2,353,427	2,650,672	6,583,610	6,086,367	14,884,805	-
Loans and advances	386,643,996	84,642,731	57,178,448	94,851,592	65,678,038	84,293,187	-
Non-trading investments	131,573,762	12,577,929	13,267,198	19,747,489	30,533,782	54,835,649	611,715
Investment properties	7,603,230	-	-	-	-	-	7,603,230
Property and equipment	4,867,126	-	-	-	-	-	4,867,126
Intangibles	19,296,864	-	-	-	-	-	19,296,864
Other assets	15,950,958	11,963,218	3,987,740	-	-	-	-
	919,060,532	399,721,450	103,278,105	124,424,173	102,595,704	154,789,708	34,251,392
Liabilities and equity							
Due to banks and financial institutions	57,632,476	52,023,025	5,609,451	-	-	-	-
Repurchase agreements	56,005,314	41,709,010	8,731,590	5,564,714	-	-	-
Commercial Paper	31,174,128	20,173,640	11,000,488	-	-	-	-
Derivative financial instruments[1]	38,832,004	2,502,075	2,328,898	6,854,523	6,386,747	20,759,761	-
Customer accounts and other deposits	540,882,472	397,719,777	108,900,672	32,944,781	321,792	995,450	-
Term borrowings	62,437,103	1,196,181	5,104,696	25,200,889	23,980,192	6,955,145	-
Subordinated notes	470,805	-	-	-	-	470,805	-
Other liabilities	22,587,238	16,940,428	5,646,810	-	-	-	-
Equity	109,038,992	-	-	-	-	-	109,038,992
	919,060,532	532,264,136	147,322,605	70,564,907	30,688,731	29,181,161	109,038,992
Undrawn commitments to extend credit	74,582,341	35,615,793	34,905,831	2,329,407	1,637,894	93,416	-
Trade contingencies	166,752,876	74,801,994	26,546,608	27,543,244	10,687,371	27,173,659	-

[1]*The Group has the option to liquidate the derivatives at any point of time.*

43 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The maturity profile of the assets and liabilities as at 31 December 2019:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	169,702,008	157,052,194	12,649,814	-	-	-	-
Investments at fair value through profit or loss	20,099,181	7,039,406	4,988,693	3,804,611	768,014	784,526	2,713,931
Due from banks and financial institutions	17,026,502	15,553,869	1,470,664	1,969	-	-	-
Reverse repurchase agreements	24,678,375	14,548,779	10,129,596	-	-	-	-
Derivative financial instruments[1]	15,917,321	1,577,301	1,716,629	2,947,588	2,986,952	6,688,851	-
Loans and advances	407,903,028	101,578,990	40,796,737	87,188,070	60,981,193	117,358,038	-
Non-trading investments	114,644,422	10,026,052	11,575,687	19,638,363	26,383,410	46,361,425	659,485
Investment properties	7,956,854	-	-	-	-	-	7,956,854
Property and equipment	4,618,986	-	-	-	-	-	4,618,986
Intangibles	19,498,087	-	-	-	-	-	19,498,087
Other assets	19,923,251	14,943,541	4,979,710	-	-	-	-
	821,968,015	322,320,132	88,307,530	113,580,601	91,119,569	171,192,840	35,447,343
Liabilities and equity							
Due to banks and financial institutions	36,007,875	32,689,185	3,318,690	-	-	-	-
Repurchase agreements	38,821,848	31,022,552	4,066,570	3,732,726	-	-	-
Commercial Paper	21,236,955	19,934,339	1,302,616	-	-	-	-
Derivative financial instruments[1]	19,228,541	1,503,596	1,690,847	3,232,732	3,338,054	9,463,312	-
Customer accounts and other deposits	519,161,857	459,015,160	54,213,676	3,589,339	1,152,926	1,190,756	-
Term borrowings	55,751,819	6,398,243	4,195,259	10,190,316	17,610,323	17,357,678	-
Subordinated notes	381,305	-	-	-	-	381,305	-
Other liabilities	23,340,779	17,505,377	5,835,402	-	-	-	-
Equity	108,037,036	-	-	-	-	-	108,037,036
	821,968,015	568,068,452	74,623,060	20,745,113	22,101,303	28,393,051	108,037,036
Undrawn commitments to extend credit	39,442,026	8,634,424	21,590,701	3,239,297	2,134,177	3,843,427	-
Trade contingencies	167,922,102	77,220,091	20,842,492	33,130,448	10,041,478	26,687,593	-

[1]*The Group has the option to liquidate the derivatives at any point of time.*

43 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The table below summarizes the maturity profile of the Group's financial liabilities based on contractual undiscounted repayment obligations.

Liabilities	Total AED'000	Gross nominal cash flows AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000
As at 31 December 2020							
Due to banks and financial institutions	**57,632,476**	**57,702,161**	**52,079,562**	**5,622,599**	**-**	**-**	**-**
Repurchase agreements	**56,005,314**	**56,112,668**	**41,745,847**	**8,741,442**	**5,625,379**	**-**	**-**
Commercial Paper	**31,174,128**	**31,192,115**	**20,176,417**	**11,015,698**	**-**	**-**	**-**
Customer accounts and other deposits	**540,882,472**	**545,721,598**	**400,535,450**	**109,374,427**	**34,327,755**	**376,834**	**1,107,132**
Term borrowings[1]	**62,437,103**	**78,204,322**	**1,543,887**	**6,380,000**	**28,314,872**	**25,119,209**	**16,846,354**
Subordinated notes	**470,805**	**608,287**	**-**	**21,684**	**43,427**	**43,368**	**499,808**
	748,602,298	**769,541,151**	**516,081,163**	**141,155,850**	**68,311,433**	**25,539,411**	**18,453,294**
Undrawn commitments to extend credit[2]	**74,582,341**	**74,582,341**	**35,615,793**	**34,905,831**	**2,329,407**	**1,637,894**	**93,416**
Trade contingencies	**166,752,876**	**166,752,876**	**74,801,994**	**26,546,608**	**27,543,244**	**10,687,371**	**27,173,659**
As at 31 December 2019							
Due to banks and financial institutions	36,007,875	36,211,011	32,862,711	3,348,300	-	-	-
Repurchase agreements	38,821,848	39,131,621	31,206,879	4,179,726	3,745,016	-	-
Commercial Paper	21,236,955	21,277,912	19,966,199	1,311,713	-	-	-
Customer accounts and other deposits	519,161,857	527,077,505	464,357,773	55,913,718	4,009,781	1,316,654	1,479,579
Term borrowings[1]	55,751,819	91,784,613	6,815,902	4,781,987	11,717,654	18,205,708	50,263,362
Subordinated notes	381,305	619,632	-	21,384	42,769	42,593	512,886
	671,361,659	716,102,294	555,209,464	69,556,828	19,515,220	19,564,955	52,255,827
Undrawn commitments to extend credit[2]	39,442,026	39,442,026	8,634,424	21,590,701	3,239,297	2,134,177	3,843,427
Trade contingencies	167,922,102	167,922,102	77,220,091	20,842,492	33,130,448	10,041,478	26,687,593

[1]Includes borrowings with callable feature for which the undiscounted contractual cash flows based on final contractual maturity are presented above without consideration of the call option.
[2]Calculated as per the contractual maturity profile.

43 Financial risk management *(continued)*

(c) Market risk

Market risk is the risk that the Group's income or capital will fluctuate on account of changes in the value of a financial instrument because of movements in market factors such as interest rates, credit spreads, foreign exchange rates and market prices of equity and commodity.

Management of market risk

The Group separates its exposure to market risk between trading, investment and non-trading portfolios. Trading and investment portfolios are held by the Global Markets Division and are managed on a fair value basis.

Investment Management Committee ("IMCO") is responsible for oversight and guidance to Global Markets' trading and investment activities. It ensures effective management of market risks in accordance with the principles laid down in the market risk management policy. IMCO acts as a sub-committee of Group Asset and Liabilities ("G-ALCO") which has the overall authority and responsibility to manage market risks.

Market Risk Group is responsible for the development and implementation of detailed market risk appetite, risk management methodologies and policies including the control framework that is reviewed by IMCO and submitted to G-ALCO and BRCC for approval.

Exposure to market risks – trading portfolios

The principal analytical tool used to measure and control market risk exposure within the Group's trading portfolios which comprise of investments at fair value through profit or loss and trading derivatives is Value at Risk ("VaR"). The VaR of a trading portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model uses historical simulation based on a 99% confidence level and assumes a 1-day holding period. Using market data from the previous two years, and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

The Group uses VaR limits for foreign exchanges, interest rates, credit spread and equities. The overall structure of Trading VaR limits is subject to review and approval by the IMCO and then ratified at G-ALCO. VaR limits are then cascaded down to trading desks.

VaR is driven by actual historical observations and hence, it is not an estimate of the maximum loss that the Group could experience from an extreme market event. As a result of this limitation the VaR is further supplemented with other position and sensitivity limit structures, including limits to address potential concentration risks within each trading portfolio. Moreover the trading activity at Group and desk level is subject to Management Action Triggers ("MAT") that are limits on maximum losses that trigger actions from management. The VaR is as follows:

	2020 AED'000	**2020 AED'000**	**2020 AED'000**	**2020 AED'000**	2019 AED'000
	As at	**Average**	**Max**	**Min**	As at
VaR – Trading Book					
All	**67,417**	**41,420**	**77,658**	**19,971**	24,736
Interest rate	**40,300**	**27,470**	**69,432**	**23,182**	24,863
Credit	**27,531**	**18,066**	**29,507**	**6,908**	9,132
Foreign Exchange	**14,045**	**10,171**	**14,199**	**9,914**	6,010
Equity	**1,606**	**3,543**	**9,026**	**685**	683
Commodity	**204**	**316**	**1,055**	**44**	-
Diversification Benefit	**(16,269)**	**(18,146)**	**(45,561)**	**(20,762)**	(15,952)

Commodity risk was not captured in the VaR model for 2019 however the same is part of the VaR model for the year 2020.

43 Financial risk management *(continued)*

(c) Market risk *(continued)*

Exposure to market risk – banking portfolios

Exposure to Market Risk in the banking portfolios which comprise of non-trading investments, reverse repurchase agreements and certain derivative instruments which are designated as hedging instruments arise primarily from the investment portfolios, interest rate gaps in the banking book, and the Group's overall FX positions.

The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"). The VaR model is the same as the one used for the trading portfolios. The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of Banking VaR limits is subject to review and approval by IMCO and then ratified by G-ALCO. VaR limits are then cascaded to different Investment desks. The investment risk VaR is as follows:

	2020 AED'000	**2020 AED'000**	**2020 AED'000**	**2020 AED'000**	2019 AED'000
	As at	**Average**	**Max**	**Min**	As at
VaR – Banking Book					
All	483,064	411,708	510,864	158,482	166,793
Interest rate	31,676	31,813	58,625	18,241	26,499
Credit	451,288	395,145	483,816	177,390	180,865
Foreign Exchange	16,675	18,002	22,721	7,180	15,548
Equity	15,472	12,358	15,770	5,904	6,901
Diversification Benefit	(32,047)	(45,610)	(70,068)	(50,233)	(63,020)

Interest rate risk

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities. Overall interest rate risk positions are managed by using derivative instruments to manage overall position arising from the Group's interest bearing financial instruments. The use of derivatives to manage interest rate risk is described in note 36.

Interest rate risk is also assessed by measuring the impact of reasonable possible change in interest rate movements. The Group assumes a fluctuation in interest rates of 50 basis points *(2019: 50 basis points)* and estimates the following impact on the net profit for the year and equity at that date:

	Net profit for the year		**Equity**	
	2020 AED'000	2019 AED'000	**2020 AED'000**	2019 AED'000
Fluctuation in yield	**±519,145**	±412,239	**±1,456,459**	±1,260,108

The interest rate sensitivities set out above are based on AED 723,379 million *(2019: AED 616,651 million)* interest bearing assets and AED 575,855 million *(2019: AED 549,194 million)* interest bearing liabilities with interest re-pricing less than one year, for assessing the impact on net profit. The impact on equity as given in the table below is based on the sensitivity of interest bearing assets and liabilities. The sensitivity does not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.

43 Financial risk management *(continued)*

(c) Market risk *(continued)*

The Group's interest rate gap and sensitivity position based on contractual cash flow arrangements at 31 December 2020 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Non-interest bearing AED'000
Assets							
Cash and balances with central banks	227,872,592	208,131,076	3,966,679	-	-	-	15,774,837
Investments at fair value through profit or loss	21,266,243	10,834,708	4,044,281	1,902,859	297,517	2,521,220	1,665,658
Due from banks and financial institutions	27,357,639	24,119,805	-	2,011	-	-	3,235,823
Reverse repurchase agreements	44,069,241	26,708,963	17,360,278	-	-	-	-
Derivative financial instruments	32,558,881	32,558,881	-	-	-	-	-
Loans and advances	386,643,996	289,762,759	63,617,202	10,813,336	7,155,974	15,294,725	-
Non-trading investments	131,573,762	18,186,859	12,732,103	17,627,238	29,003,412	53,599,815	424,335
Investment properties	7,603,230	-	-	-	-	-	7,603,230
Intangible assets	19,296,864	-	-	-	-	-	19,296,864
Property and equipment	4,867,126	-	-	-	-	-	4,867,126
Other assets	15,950,958	7,171,349	4,184,785	93,032	51,474	3,629,168	821,150
	919,060,532	617,474,400	105,905,328	30,438,476	36,508,377	75,044,928	53,689,023
Liabilities and equity							
Due to banks and financial institutions	57,632,476	48,853,769	5,277,182	-	-	-	3,501,525
Repurchase agreements	56,005,314	39,503,091	8,731,590	7,770,633	-	-	-
Commercial Paper	31,174,128	20,173,640	11,000,488	-	-	-	-
Derivative financial instruments	38,832,004	38,832,004	-	-	-	-	-
Customer accounts and other deposits	540,882,472	268,754,062	109,585,308	32,415,109	128,752,664	1,375,329	-
Term borrowings	62,437,103	15,212,334	798,691	8,741,667	14,075,719	23,608,692	-
Subordinated notes	470,805	-	-	-	-	470,805	-
Other liabilities	22,587,238	5,818,950	3,313,808	536,231	344,156	-	12,574,093
Equity	109,038,992	-	-	-	-	-	109,038,992
	919,060,532	437,147,850	138,707,067	49,463,640	143,172,539	25,454,826	125,114,610
On statement of financial position gap		180,326,550	(32,801,739)	(19,025,164)	(106,664,162)	49,590,102	(71,425,587)
Off statement of financial position gap		31,844,732	(2,603,095)	(1,205,064)	(14,763,453)	(13,273,120)	-
Total interest rate sensitivity gap		212,171,282	(35,404,834)	(20,230,228)	(121,427,615)	36,316,982	(71,425,587)
Cumulative interest rate sensitivity		212,171,282	176,766,448	156,536,220	35,108,605	71,425,587	-

43 Financial risk management *(continued)*

(c) Market risk *(continued)*

The Group's interest rate gap and sensitivity position based on contractual cash flow arrangements at 31 December 2019 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Non-interest bearing AED'000
Assets							
Cash and balances with central banks	169,702,008	118,546,742	12,649,814	-	-	-	38,505,452
Investments at fair value through profit or loss	20,099,181	7,724,439	4,400,968	1,699,223	688,152	2,317,558	3,268,841
Due from banks and financial institutions	17,026,502	13,130,412	1,469,648	1,969	-	-	2,424,473
Reverse repurchase agreements	24,678,375	14,548,779	10,129,596	-	-	-	-
Derivative financial instruments	15,917,321	15,917,321	-	-	-	-	-
Loans and advances	407,903,028	315,624,872	57,832,645	10,220,078	8,546,551	15,678,882	-
Non-trading investments	114,644,422	14,201,971	11,337,755	18,045,151	24,564,226	45,835,834	659,485
Investment properties	7,956,854	-	-	-	-	-	7,956,854
Intangibles	19,498,087	-	-	-	-	-	19,498,087
Property and equipment	4,618,986	-	-	-	-	-	4,618,986
Other assets	19,923,251	14,475,328	4,661,085	93,284	53,649	-	639,905
	821,968,015	514,169,864	102,481,511	30,059,705	33,852,578	63,832,274	77,572,083
Liabilities and equity							
Due to banks and financial institutions	36,007,875	30,199,502	3,392,824	-	-	-	2,415,549
Repurchase agreements	38,821,848	31,022,552	4,066,570	3,732,726	-	-	-
Commercial Paper	21,236,955	19,934,339	1,302,616	-	-	-	-
Derivative financial instruments	19,228,541	19,228,541	-	-	-	-	-
Customer accounts and other deposits	519,161,857	351,048,138	54,114,220	3,081,938	109,828,078	1,089,483	-
Term borrowings	55,751,819	21,323,690	857,255	5,295,540	11,367,549	16,907,785	-
Subordinated notes	381,305	-	-	-	-	381,305	-
Other liabilities	23,340,779	9,166,969	3,536,481	308,344	270,661	-	10,058,324
Equity	108,037,036	-	-	-	-	-	108,037,036
	821,968,015	481,923,731	67,269,966	12,418,548	121,466,288	18,378,573	120,510,909
On statement of financial position gap		32,246,133	35,211,545	17,641,157	(87,613,710)	45,453,701	(42,938,826)
Off statement of financial position gap		40,229,529	(1,580,669)	(9,538,714)	(11,581,070)	(17,529,076)	-
Total interest rate sensitivity gap		72,475,662	33,630,876	8,102,443	(99,194,780)	27,924,625	(42,938,826)
Cumulative interest rate sensitivity		72,475,662	106,106,538	114,208,981	15,014,201	42,938,826	-

43 Financial risk management *(continued)*

(c) Market risk *(continued)*

Foreign exchange risk

Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. At 31 December, the Group had the following significant net exposures denominated in foreign currencies:

	Net spot position (short)/long	**Forward position (short)/long**	**Total 2020 (short)/long**	Total 2019 (short)/long
	AED'000	**AED'000**	**AED'000**	AED'000
Currency				
US Dollar	**(10,113,815)**	**63,202,864**	**53,089,049**	32,311,916
UK Sterling Pound	**(736,933)**	**517,918**	**(219,015)**	279,973
Euro	**62,339,392**	**(61,809,504)**	**529,888**	414,669
Kuwaiti Dinar	**(111,070)**	**250,776**	**139,706**	(2,387,464)
Saudi Riyal	**4,195,335**	**(5,349,980)**	**(1,154,645)**	(7,645,853)
Japanese Yen	**6,492,930**	**(6,548,628)**	**(55,698)**	620,871
Swiss Franc	**(3,837,911)**	**3,833,437**	**(4,474)**	90,939
Bahraini Dinar	**2,268,659**	**(2,233,717)**	**34,942**	(1,151,476)
Egyptian Pound	**2,660,273**	**(2,488,263)**	**172,010**	(143,732)
Indian Rupees	**1,032,173**	**3,886**	**1,036,059**	1,051,549
Libyan Dinar	**225,434**	**-**	**225,434**	300,239
Others	**(3,451,451)**	**3,178,548**	**(272,903)**	779,268

As AED, SAR and BHD are pegged against US Dollar, the Group's risk exposure to these currencies is limited to that extent. Exposure to other foreign currencies is insignificant.

The tables below indicate the currencies to which the Group had significant exposure at 31 December 2020 and 2019 on its monetary assets, liabilities and net derivatives forward position. The analysis estimates the effect of a reasonably possible movement of AED against other currencies, with all other variables held constant on the consolidated income statement.

Currency	EUR	GBP	JPY	INR
Assumed change in exchange rates	1%	1%	1%	1%
Impact on net income in exchange rate:				
2020 (AED'000)	**±5,299**	**± 2,190**	**± 557**	**± 10,361**
2019 (AED'000)	±4,147	± 2,800	± 6,209	± 10,516

At 31 December 2020 and 2019, the effect of the assumed changes in exchange rates on equity is insignificant.

43 Financial risk management *(continued)*

(c) Market risk *(continued)*

Equity price risk

FAB is exposed to equity price risk on equity investments, either through holding of equities of another entity or through equity derivatives such as forward contracts, options or swaps. The fair value of these instruments will fluctuate due changes in the market price of the underlying equity instruments. The Group manages this risk through setting Equity Delta, Vega and Gamma limits. The Group also enforces diversification of investments in terms of geographical distribution and industry concentration.

The following table estimates the sensitivity to a possible change in equity markets on the Group's income statement. The sensitivity of the income statement is the effect of the assumed change in the reference equity benchmark on the fair value of investments carried at fair value through the income statement.

	Assumed level of change %	**Impact on net income 2020 AED'000**	Impact on net income 2019 AED'000
Investments at fair value through profit or loss			
Reference equity benchmarks:			
Abu Dhabi Securities Exchange Index	5%	**1,045**	230
Dubai Financial Market Index	5%	**2,221**	50,743
Net asset value of managed funds and private equities	5%	**88,279**	74,329
Other equity exchanges	5%	**2,078**	10,394
		93,623	135,696

The effect on equity as a result of a change in the fair value of equity instruments held as available for sale at 31 December 2020 and 2019, due to a reasonably possible change in equity indices, with all other variables held constant, is as follows:

	Assumed level of change %	**Impact on net Income 2020 AED'000**	Impact on net Income 2019 AED'000
Non-trading investments (excluding investment in associates and joint ventures)			
Reference equity benchmarks:			
Abu Dhabi Securities Exchange Index	5%	**8,780**	9,772
Dubai Financial Market Index	5%	**1,411**	1,692
Other equity exchanges	5%	**16,552**	17,215
Unquoted	5%	**1,133**	1,124
		27,876	29,803

43 Financial risk management *(continued)*

(d) Operational risk

Operational risk is defined as the risk of losses resulting from inadequate or failed processes, people and systems or from external events.

Operational risks arise across all businesses in the Group. The primary responsibility to ensure these risks are managed and monitored, resides with the businesses within the Group. Group's businesses are supported by embedded risk resources and Group Operational Risk Management as 'second line of defense' to ensure robust risk management.

Further, there are reviews conducted by Group Internal Audit as the 'third line of defense'. The results of internal audit reviews are discussed with the management of the respective divisions and summaries are submitted to the Board Audit Committee.

The Group has an established Operational Risk framework consisting of policies and procedures to identify, assess, monitor, control, and report and to manage risks and to notify, identify and resolve incidents. The Operational Risk framework also provides the interrelation with other risk categories. Where appropriate, risk transfer in the form of insurance.

Typically, Operational Risk events are classified as:

- Internal fraud: Risk of unauthorized activity and fraud perpetrated by employees
- External fraud: Risk of fraud or breach of system security by an external party
- Employee practices and workplace safety: Risk of failures in employee relations, diversity and discrimination, and health and safety risks across the group
- Damage to physical assets: Risk of impact to the group due to natural disasters
- Clients, products and business practices: Risk of failing in assessing client suitability, fiduciary responsibilities, improper business practices, flawed products and advisory activities.
- Business disruption and system failures: Risk of not planning and testing business continuity and disaster recovery for systems
- Execution delivery and process management: Risk of failed transaction execution, customer intake and documentation, vendor management and monitoring and reporting.

The Board has oversight responsibilities for operational risk management across FAB Group. These responsibilities are delegated and exercised through the Group Operational Risk Committee, which is the senior management forum responsible for the oversight of Operational Risk.

Key responsibilities of Group Operational Risk Committee with regards to Operational risk include to ensure:

- Approval of the Group Operational Risk Management Framework and oversight over its implementation
- Approve the strategy and direction for Operational Risk across FAB Group.
- Establish an effective Governance structure across FAB Group

(e) Capital management

CBUAE regulations govern regulatory capital requirements for the Group; in addition the overseas branches and subsidiaries may be directly supervised by their local regulators. The capital management process for the Group is linked to the overall business strategy to ensure that capital is adequate to the level of inherent risk in the business and within the firm's capital risk appetite The Group conducts capital planning in conjunction with the financial budgeting exercise.

The Board and top management define the long term strategic direction for the Group. This provides the framework for the development of a bottom up plan based on the projections from individual business units. The bottom up plan is an input to the annual budgeting process and is conducted at a business unit and country level. These are consolidated for each business division and finally, for the entire Group. Business units, within each division, develop forecasted balance sheet and income statements for the next year, by considering the following key parameters:

43 Financial risk management *(continued)*

(e) Capital management *(continued)*

- the short term (one year) goals
- risk appetite and strategy
- target growth rates
- target returns

The Group's capital management policies aim to ensure that it has sufficient capital to cover the risks associated with its activities and the allocation of capital across the Group. The assessment of the various risks across the Group and their likely impact is carried out in conjunction with the ICAAP undertaken annually. As part of the ICAAP process, Group Risk function identifies the various risks the Group is exposed to as part of its day-to-day operations. Next, the Group assesses these risks against the existing policies and procedures, frameworks and methodologies, contingency plans and other processes to measure, manage and mitigate the impact of such risks. Finally the Group determines the capital requirements for the material risk exposures.

The key objectives of the Group's capital management process are:

- Maintain sufficient capital to meet minimum capital requirement set by CBUAE.
- Maintain sufficient capital to support Group's Risk Appetite and strategic objectives as per long-term strategic plan.
- Maintain adequate capital to withstand stress scenarios including increased capital requirements determined through ICAAP.
- To support the Group's credit rating.

The Group conducts regular stress test exercises to assess the resilience of the group to adverse market developments under stress scenarios. The risk factors are shocked using the assumptions made under the respective scenarios and the corresponding impact on the capital adequacy is determined. The Group uses macroeconomic stress tests in order to project capital need and capital levels under various stress scenarios. The stress testing is perceived as an important tool in internal capital planning. The stress test result during 2020 shows that the Group has adequate capital even under adverse scenarios.

During the year, CBUAE finalized Basel III Capital adequacy standards and guidance. CBUAE has also introduced additional requirements with respect to leverage ratio which Domestic-Systemically Important Banks (D-SIBs) must maintain at least 3.5%. CBUAE also released a revised set of disclosures and reporting frequencies for Pillar III. These standards shall be implemented in a phased manner from June 2021 to June 2022.

Further, as part of the TESS relief provided by the UAE Central Bank in response to COVID-19, the Bank is able to fully utilise its 1.50 % D-SIB buffer and 60% of its capital conservation buffer without supervisory consequences until 31 December 2021.

As per the CBUAE standards regarding the capital definition, the expected / proposed dividends are to be deducted from CET1. Consequently, the Capital Adequacy ratio as computed below takes into account the impact of proposed dividend.

43 Financial risk management *(continued)*

(e) Capital management *(continued)*

	2020 AED'000	2019 AED'000
Tier 1 capital		
Ordinary share capital	**10,920,000**	10,920,000
Share premium	**53,538,584**	53,434,461
Retained earnings	**18,980,989**	18,469,164
Statutory and special reserve	**10,920,000**	10,629,011
General reserve and share option scheme	**478,081**	478,081
Fair value reserve	**525,775**	612,744
Non-controlling Interests	**290,996**	330,417
Foreign currency translation reserve	**(377,851)**	(354,657)
IFRS transitional arrangement: Partial addback of ECL	**907,796**	-
Less: Proposed dividend	**(8,080,800)**	(8,080,800)
Eligible Tier 1 capital (a)	**88,103,570**	86,438,421
Deductions:		
Treasury shares	**(8,980)**	(18,864)
Deferred tax assets	**(101,437)**	(40,336)
Goodwill and Intangible assets	**(20,765,636)**	(20,621,922)
Other deductions	**(219,197)**	(141,752)
Total deductions	**(21,095,250)**	(20,822,874)
	67,008,320	65,615,547
Additional Tier 1		
Tier 1 capital notes	**10,754,750**	10,754,750
	77,763,070	76,370,297
Tier 2 capital		
Qualifying subordinated liabilities	**282,483**	305,044
Allowance for collective impairment	**5,514,812**	5,292,741
	5,797,295	5,597,785
Total regulatory capital base	**83,560,365**	81,968,082
Risk weighted assets:		
Credit risk	**441,184,990**	423,419,311
Market risk	**28,419,038**	25,737,601
Operational risk	**35,735,719**	35,913,142
Risk weighted assets	**505,339,747**	485,070,054
Ratios with transition impact:		
CET 1 ratio	**13.3%**	13.5%
Tier 1 capital ratio	**15.4%**	15.7%
Capital adequacy ratio	**16.5%**	16.9%

The Group and its overseas branches and subsidiaries have complied with all externally imposed capital requirements for all periods presented.

43 Financial risk management *(continued)*

(f) Country risk

Country risk is the likelihood of economic, social, and political events in a foreign country negatively influencing the willingness or ability of state owned and/or privately owned customers in that country to pay their debts on time.

The Group undertakes a detailed qualitative analysis pertaining to country risk as a part of the business decision process. These factors include economic, social and political stability in each country, the monetary policy, the foreign exchange control measure, the transparency of information, the financial and market structure, banking regulations and supervision, the legal system, and the accounting standards among others. Country risks are monitored and controlled using country limits set by the Group; these limits are in accordance with overall business strategy, capital adequacy and provisions for potential risks, risk rating of each country, acceptable level of risk, and business opportunities in each country.

(g) Strategic risk

Strategic risk refers to the risk of current or prospective impact on the Group's earnings, capital, reputation or standing arising from changes in the environment the Group operates in and from adverse strategic decisions, improper implementation of decisions or lack of responsiveness to industry, economic or technological changes. It is a function of compatibility of Group's strategic goals, strategies developed to achieve those goals, resources deployed to meet those goals and the quality of implementation.

The Group uses several factors to identify and assess impact of strategic risk on its books, including level of integration of risk management policies and practices in the strategic planning process, aggressiveness of strategic goals and compatibility with developed business strategies, capital support for the strategic initiatives to take care of earnings volatility, effectiveness of communication and consistency of application of strategic goals, objectives, corporate culture, and behaviour throughout the Group.

Strategic risks are monitored and controlled as part of the strategic planning process wherein the Group reviews the progress on strategic initiatives vis-à-vis the plan and considers whether the progress is in line with the plan and the external business environment. The strategic plan is periodically reviewed and updated subject to an approval process which is also a part of the strategic planning process.

(h) Compliance risk

Compliance risk refers to the risk to earnings or capital or reputation or continued business existence arising from violations of, or non-conformance with, laws, rules, regulations, prescribed practices, or ethical standards.

The Group, on a continuous basis, identifies and assesses such risks inherent in all new and existing "material" products, activities, processes and systems. This includes risk assessments on non-conformance with laws, rules, regulations, prescribed practices, or ethical standards. The Group Compliance function has a group-wide compliance unit that develops internal policies under which such risks are managed, and it is supported by the Risk Management, Internal Audit and Legal functions.

In order to monitor compliance and financial crime risks, the Group has developed and implemented due diligence processes, reviews of policies and procedures across the Group, implementation of integrated compliance and financial crime systems which manage name clearance, transaction monitoring, payment monitoring activities, assessment through compliance check-lists etc.

Compliance risk is largely mitigated by way of focused policies and procedures, extensive checklist based and on-spot due diligence, annual risk assessments, monitoring and assurance, communications and regular training sessions.

43 Financial risk management *(continued)*

(i) Reputational risk

Reputational risk is the risk to earnings or capital arising from negative public opinion. This can be due to external or internal events.

The Group identifies and assesses reputational risk by clearly defining types of risks to be captured, establishing key sources of reputational risk it may be exposed to, based on individual circumstances, describing the risks identified in terms of the nature of risk and the potential consequences that the risks may bring to its reputation. The Group also refers to other relevant information for risk identification purposes. Such information may be sourced from media reports, stakeholder analysis reports, internal audit and compliance reports, management exception reports or other early warning indicators.

For reputational risks, apart from the regular monitoring of external and internal events that can result in possible reputational risks, the Group also has processes to track risks that may affect its reputation. These processes allow the BOD and senior management to take prompt corrective actions to address any anticipated reputational event in advance.

In order to manage reputational risks, the Group has set in place a mechanism that entails drawing up action plans to identify reputational risk events and facilitate subsequent monitoring of the progress made; for those risks that may be very difficult or too costly to eliminate entirely the mechanism requires development of contingency plans as response actions.

44 Financial assets and liabilities

(a) Valuation framework

The Group has an established control framework for the measurement of fair values. Several control functions support this framework (Valuation Control and Product Control within Finance and Market Risk Analytics within Risk functions) that are independent of Front Office Management. Specific controls include:

- Independent verification of market data used in the valuation process and valuation adjustments when significant deviations are observed;
- Review of significant unobservable and stale inputs and significant changes to the fair value measurement of Level 3 instruments;
- Measurement of exit valuation ('Bid Offer');
- Validation and approval process for new models and frequent review of existing models or when changes are performed;
- Quarterly calibration and back-testing of models against observed market transactions;
- Model adjustments when inputs are overly simplified or the model has limitations deriving the fair value of a position;
- Analysis and investigation of significant daily valuation movements.

When third party information, such as broker quotes or pricing services is used to measure fair value, Valuation Control assesses and documents the evidence obtained from the third parties to support the conclusion that the valuations meet the requirements of IFRS Standards. This includes:

- Verifying that the broker or pricing service is approved by the Group for use in pricing the relevant type of financial instrument;
- Understanding how the fair value has been arrived at, the extent to which it represents actual market transactions and whether it represents a quoted price in an active market for an identical instrument;
- When prices for similar instruments are used to measure fair value, understanding how these prices have been adjusted to reflect the characteristics of the instrument subject to measurement; and
- If a number of quotes for the same financial instrument have been obtained, then understanding how fair value has been determined using those quotes.

Significant valuation issues are reported to the Group Valuation and Audit Committees.

44 Financial assets and liabilities

(b) Valuation models

The Group measures fair values using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements.

- Level 1: Inputs that are quoted market prices (unadjusted) in active markets for identical instruments.
- Level 2: Inputs other than quoted prices included within Level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data.
- Level 3: Inputs that are unobservable. This category includes all instruments for which the valuation technique includes inputs that are not observable and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which observable market prices exist, Black-Scholes and polynomial option pricing models and other valuation models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premiums used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices and expected price volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date.

The Group uses widely recognised valuation models to determine the fair value of common and simple financial instruments, such as interest rate and currency swaps, that use only observable market data and require little management judgement and estimation. Observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded derivatives and simple OTC derivatives such as interest rate swaps. The availability of observable market prices and model inputs reduces the need for management judgement and estimation and also reduces the uncertainty associated with determining fair values. The availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

For more complex instruments, the Group uses proprietary valuation models, which are usually developed from recognised valuation models. Some or all of the significant inputs into these models may not be observable in the market, and may be derived from market prices or rates or estimated based on assumptions. Examples of instruments involving significant unobservable inputs include certain OTC structured derivatives, certain loans, securities for which there is no active market. Valuation models that employ significant unobservable inputs require a higher degree of management judgement and estimation in the determination of fair value. Management judgement and estimation are usually required for the selection of the appropriate valuation model to be used, determination of expected future cash flows on the financial instrument being valued, determination of the probability of counterparty default and prepayments, determination of expected volatilities and correlations and selection of appropriate discount rates.

OTC structured derivatives

As part of its trading activities, the Group enters into OTC structured derivatives – primarily options indexed to credit spreads, equity prices, foreign exchange rates and interest rates – with customers and other banks. Some of these instruments are valued using models with significant unobservable inputs, principally expected long-term volatilities and expected correlations between different underlyings.

44 Financial assets and liabilities *(continued)*

(b) Valuation models *(continued)*

Measurement on the basis of net exposures to risks

If the Group measures portfolios of financial assets and financial liabilities on the basis of net exposures to market risks, then it applies judgement in determining appropriate portfolio-level adjustments such as bid-ask spreads. These adjustments are derived from observable bid-ask spreads for similar instruments and adjusted for factors specific to the portfolio. Similarly, when the Group measures portfolios of financial assets and financial liabilities on the basis of net exposure to the credit risk of a particular counterparty, it takes into account any existing arrangements that mitigate the credit risk exposure – e.g. master netting agreements with the counterparty.

Credit and Debit Valuation Adjustments ("CVA" and "DVA")

CVA and DVA are incorporated into derivative valuations to reflect the impact on fair value of counterparty credit risk and own credit quality respectively. These adjustments are calculated for both uncollateralised and collateralised derivatives across all asset classes. CVA and DVA are calculated using estimates of expected positive and negative exposures respectively, probability of default and recovery rates, at a counterparty level. Counterparties include (but are not limited to) financial institutions, corporates, sovereigns and sovereign agencies and supranationals. Expected exposure is generally estimated through the simulation of underlying risk factors through Monte Carlo simulation techniques.

Probability of default and recovery rate information is generally sourced from the CDS markets. Where this information is not available, or considered unreliable, alternative approaches are taken based on mapping the counterparty to a sector curve based on the rating, the region and the industry sector. Net adjustment for CVA and DVA remained constant at AED 136 million (2019: AED 68.8 million) during the year.

Model-related adjustments

Model related adjustments are applied when either model inputs are overly simplified or the model has limitations deriving the fair value of a position. These adjustments are required to correct existing model weaknesses or deficiencies that were highlighted during the model review process.

44 Financial assets and liabilities *(continued)*

(c) Fair value of financial instruments

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2020:

	Designated at fair value through profit or loss AED'000	Fair value through profit or loss AED'000	FVOCI – with recycle to profit or loss AED'000	FVOCI – without recycle to profit or loss AED'000	Amortised cost AED'000	Carrying amount AED'000
Financial Assets						
Cash and balances with central banks	-	-	-	-	**227,872,592**	**227,872,592**
Investments at fair value through profit or loss	-	**21,266,243**	-	-	-	**21,266,243**
Due from banks and financial institutions	-	-	-	-	**27,357,639**	**27,357,639**
Reverse repurchase agreements	-	-	-	-	**44,069,241**	**44,069,241**
Derivative financial instruments	**2,744,441**	**29,814,440**	-	-	-	**32,558,881**
Loans and advances	-	-	-	-	**386,643,996**	**386,643,996**
Non-trading investments	-	-	**127,609,070**	**557,508**	**3,352,977**	**131,519,555**
Other assets	-	-	-	-	**15,763,630**	**15,763,630**
	2,744,441	**51,080,683**	**127,609,070**	**557,508**	**705,060,075**	**887,051,777**
Financial Liabilities						
Due to banks and financial institutions	-	-	-	-	**57,632,476**	**57,632,476**
Repurchase agreements	-	-	-	-	**56,005,314**	**56,005,314**
Commercial Paper	-	-	-	-	**31,174,128**	**31,174,128**
Derivative financial instruments	**9,113,280**	**29,718,724**	-	-	-	**38,832,004**
Customer accounts and other deposits	-	-	-	-	**540,882,472**	**540,882,472**
Term borrowings	**466,881**	-	-	-	**61,970,222**	**62,437,103**
Other liabilities[1]	-	**336,420**	-	-	**20,630,429**	**20,966,849**
Subordinated notes	-	-	-	-	**470,805**	**470,805**
	9,580,161	**30,055,144**	-	-	**768,765,846**	**808,401,151**

[1] *Other liabilities that are held for trading are classified as level 1 in the fair value hierarchy.*

44 Financial assets and liabilities *(continued)*

(c) Fair value of financial instruments *(continued)*

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2019:

	Designated at fair value through profit or loss AED'000	Fair value through profit or loss AED'000	FVOCI – with recycle to profit or loss AED'000	FVOCI – without recycle to profit or loss AED'000	Amortised cost AED'000	Carrying amount AED'000
Financial Assets						
Cash and balances with central banks	-	-	-	-	169,702,008	169,702,008
Investments at fair value through profit or loss	-	20,099,181	-	-	-	20,099,181
Due from banks and financial institutions	-	-	-	-	17,026,502	17,026,502
Reverse repurchase agreements	-	-	-	-	24,678,375	24,678,375
Derivative financial instruments	853,247	15,064,074	-	-	-	15,917,321
Loans and advances	-	-	-	-	407,903,028	407,903,028
Non-trading investments	-	-	108,597,850	596,086	5,387,087	114,581,023
Other assets	-	-	-	-	19,693,488	19,693,488
	853,247	35,163,255	108,597,850	596,086	644,390,488	789,600,926
Financial Liabilities						
Due to banks and financial institutions	-	-	-	-	36,007,875	36,007,875
Repurchase agreements	-	-	-	-	38,821,848	38,821,848
Commercial Paper	-	-	-	-	21,236,955	21,236,955
Derivative financial instruments	3,640,341	15,588,200	-	-	-	19,228,541
Customer accounts and other deposits	-	-	-	-	519,161,857	519,161,857
Term borrowings	399,025	-	-	-	55,352,794	55,751,819
Other liabilities[1]	-	325,634	-	-	21,687,480	22,013,114
Subordinated notes	-	-	-	-	381,305	381,305
	4,039,366	15,913,834	-	-	692,650,114	712,603,314

[1] *Other liabilities that are held for trading are classified as level 1 in the fair value hierarchy.*

44 Financial assets and liabilities *(continued)*

(c) Fair value of financial instruments *(continued)*

Financial instruments measured at fair value - hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 December 2020				
Investment at fair value through profit or loss	**9,921,320**	**5,292,365**	**6,052,558**	**21,266,243**
FVOCI - with recycle to profit or loss	**111,756,913**	**12,709,056**	**3,143,446**	**127,609,415**
FVOCI - without recycle to profit or loss	**534,846**	**-**	**22,662**	**557,508**
Derivative financial instruments (Assets)	**47,620**	**32,511,261**	**-**	**32,558,881**
	122,260,699	**50,512,682**	**9,218,666**	**181,992,047**
Term borrowings	**-**	**466,881**	**-**	**466,881**
Derivative financial instruments (Liabilities)	**108,153**	**38,720,806**	**3,045**	**38,832,004**
	108,153	**39,187,687**	**3,045**	**39,298,885**
As at 31 December 2019				
Investment at fair value through profit or loss	14,886,433	3,561,090	1,651,658	20,099,181
FVOCI - with recycle to profit or loss	98,442,036	9,335,801	821,033	108,598,870
FVOCI - without recycle to profit or loss	573,601	-	22,485	596,086
Derivative financial instruments (Assets)	5,393	15,900,261	11,667	15,917,321
	113,907,463	28,797,152	2,506,843	145,211,458
Term borrowings	-	399,025	-	399,025
Derivative financial instruments (Liabilities)	65,112	19,162,637	792	19,228,541
	65,112	19,561,662	792	19,627,566

44 Financial assets and liabilities *(continued)*

(c) Fair value of financial instruments *(continued)*

The following table shows the transfer between the hierarchies:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 December 2020				
Investment at fair value through profit or loss				
Transfer from 1 to 2	**-**	**152,045**	**-**	**152,045**
Transfer from 1 to 3	**-**	**-**	**282,570**	**282,570**
Transfer from 2 to 3	**-**	**-**	**12,074**	**12,074**
Non-trading investments				
Transfer from 1 to 2	**-**	**5,161,377**	**-**	**5,161,377**
Transfer from 2 to 1	**3,538,569**	**-**	**-**	**3,538,569**
Transfer from 2 to 3	**-**	**-**	**113,088**	**113,088**
	3,538,569	**5,313,422**	**407,732**	**9,259,723**
As at 31 December 2019				
Investment at fair value through profit or loss				
Transfer from 2 to 1	68,438	-	-	68,438
Non-trading investments				
Transfer from 1 to 2	-	34,851	-	34,851
Transfer from 2 to 1	13,912	-	-	13,912
	82,350	34,851	-	117,201

The following table shows a reconciliation of instruments measured at fair value and classified as Level 3:

	2020 AED'000	2019 AED'000
Balance as at 1 January	**2,506,843**	1,845,932
Additions / Transfers	**6,922,464**	1,103,733
Settlements and other adjustments	**(210,641)**	(442,822)
Balance as at 31 December	**9,218,666**	2,506,843

The Level 3 financial instruments includes private equity investments, and their valuations are based on the last net asset published by the fund manager. The effect of changes in its valuation is covered as part of equity price risk included in note 43(c). The remaining mainly comprise of debt instruments which are priced using last available prices.

45 Comparative figures

Certain comparative figures have been reclassified where appropriate to conform to the presentation adopted in these consolidated financial statements.

During the year the group has made adjustments to its retained earnings. These adjustments relate to property revaluations in one of its subsidiaries undertaken in the finalization of the subsidiary's stand alone accounts, which only happened in Q2 2020 due to the COVID-19 situation. These adjustments to initial estimates were considered material from a standalone reporting of the entity, the entity's year end reported figures were adjusted accordingly. However, from a group perspective these adjustments were not considered material and hence have been disclosed as an adjustment in the current year.

46 Subsequent event

On 20 January 2021, the Bank has signed a definitive agreement with Bank Audi sal (Bank Audi) to purchase 100% of the share capital of Bank Audi SAE (Egypt), Bank Audi's subsidiary in Egypt. The transaction is expected to be completed within the next few months, following the satisfaction of customary conditions, including the receipt of regulatory approvals both in the UAE and Egypt.